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IMPACT ASSESSMENT REPORT

Accompanying the documents

Commission Regulation (EU) declaring certain categories of aid in the rail, inland waterways and multimodal transport sector compatible with the internal market in application of Articles 93, 107 and 108 of the Treaty on the Functioning of the European Union

and

Communication from the Commission - Guidelines on State aid for land and multimodal transport

{C(2026) 1645 final} - {C(2026) 1646 final} - {SEC(2026) 78 final} - {SWD(2026) 90 final}

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Glossary

Term or acronym	Meaning or definition
CfE	Call for Evidence
CEEAG	Climate Energy and Environmental Aid Guidelines
CISAF	Framework for State aid measures to support the Clean Industrial Deal
DAC	Digital Automatic Coupling
ERTMS	European Rail Traffic Management System
ETS2	Emission Trading System 2
EU	European Union
GBER	General Block Exemption Regulation
GHG	Greenhouse gas
GLs	Guidelines
Hz	hertz
IIA	Inception Impact Assessment
ISSG	Interservice Steering Group
IWW	Inland Waterways
kV	kilovolt
NGO	Non-governmental organisation
PSO	Public Service Obligation
R&R Guidelines	Rescue and Restructuring Guidelines
RGL	2008 Community guidelines on State aid for railway undertakings
RSB	Regulatory Scrutiny Board
SAM	State Aid Modernisation
SDG	Sustainable Development Goal
SGEI	Services of general economic interest
SLT	Sustainable land transport
SME	Small and medium-sized enterprise
SMC	Small mid-cap

Term or acronym	Meaning or definition
SSMS	Sustainable and Smart Mobility Strategy
SWL	Single Wagon Load
TBER	Transport Block Exemption Regulation
TEN-T	Trans-European Transport Network
TFEU	Treaty on the Functioning of the European Union

1. INTRODUCTION: POLITICAL AND LEGAL CONTEXT

1.1. State aid control policy in the field of sustainable land transport

Competition is a major driver of growth. It incentivises enterprises to enter markets and to innovate, improving their productivity and competitiveness.

State aid control is part of European Union ('EU') rules on competition laid down in the Treaty on the Functioning of the European Union ('TFEU' or the 'Treaty'). The basic rationale of State aid control is to avoid undue market distortions and subsidy races when aid is granted, to safeguard the internal market and to create a competitive landscape with a level playing field[1].

According to Article 107(1) TFEU, State aid is support given by a Member State with State resources that provides an undertaking or a group of undertakings with an advantage over competitors[2]. State aid can be granted in a variety of ways, most notably through subsidies or financial instruments (loans, guarantees, etc.) granted on terms not available on the market.

While Article 107(1) TFEU lays down a general prohibition of State aid granted by Member States to undertakings, other Treaty provisions allow for exceptions. In accordance with Article 93 TFEU, aid that meets the needs of the coordination of transport shall be compatible with the internal market[3]. This includes aid that leads to a modal shift from transport modes such as road to more sustainable ones involving lower external costs (costs to society which are not borne by the transport mode). Sustainable land transport ('SLT') encompasses rail and inland waterways ('IWW') transport, as well as multimodal transport[4] where at least one of the transport modes is rail or IWW, or where land transport is combined with short-sea shipping.

State aid control is meant to ensure that any detriment arising from distortions of competition by State aid is justified by the public purpose pursued. In accordance with Articles 107 and 108 TFEU, the assessment of the compatibility of State aid measures is the exclusive competence of the Commission. The Commission defines the conditions under which State aid may be considered compatible with the internal market by adopting horizontal and sectoral guidelines, which set out the approach that it will take when assessing the compatibility of State aid measures notified by Member States. The Commission regularly revises such guidelines to adapt them to technological, economic, legal and policy-related developments. In the field of SLT, the relevant guidelines are the 2008 Community guidelines on State aid for railway undertakings ('RGL')[5].

The Commission has the possibility to exempt from notification measures for which it has developed enough positive enforcement practice, or which pose fewer challenges to the internal

[1] I.e. giving all market participants an equal chance to succeed without external interventions affecting the players' ability to compete fairly.
[2] Commission Notice on the notion of State aid as referred to in Article 107(1) of the Treaty on the Functioning of the European Union, OJ C 262, 19.7.2016.
[3] Article 93 TFEU applies only to land transport, i.e. it excludes aviation and maritime transport.
[4] Multimodal transport encompasses all transport involving several transport modes, both for passengers and freight. It often involves a first/last mile by road with a main leg operated by rail, IWW or short-sea shipping. Intermodal transport is a subset of multimodal transport and encompasses all freight transport without a change in loading units, i.e. where the actual freight remains within the same loading unit throughout the transport operation.
[5] Communication from the Commission, Community guidelines on State aid for railway undertakings, OJ C 184, 22.7.2008.

market, subject to compliance with rules defined ex ante[6]. The Commission exempts measures from notification notably through Commission Regulation (EU) No 651/2014 of 17 June 2014 declaring certain categories of aid compatible with the internal market in application of Articles 107 and 108 of the Treaty (the General Block Exemption Regulation or 'GBER')[7]. The GBER is however based only on Articles 107 and 108 TFEU; measures related to SLT are therefore only very rarely exempted from the notification obligation today.

In the years from 2008 until 2024, 258 State aid decisions were adopted pertaining to SLT. The number of decisions has increased steadily from around 10 in 2008 to a peak of 34 in 2022 (peak year of decisions, possibly related to the COVID-19 pandemic). In the years 2021, 2023 and 2024, the number of adopted State aid decisions on SLT was steady at 25-26. While the number of decisions concerning SLT has doubled since 2008, the growth in approved State aid amounts was significantly greater still, increasing more than 10-fold between 2009, the first full year of application of the RGL (EUR 455 million) and 2024 (EUR 4.7 billion).

The most relevant aid categories are operating aid to cover the external cost difference or infrastructure costs (130 State aid decisions and 70% of State aid amounts approved between 2008 and 2024), investment aid for interoperability and modernisation (42 State aid decisions and 9.5% of State aid amounts approved between 2008 and 2024) and State aid for infrastructure in the form of facilities and private sidings (48 State aid decisions and 12.8% of State aid amounts approved between 2008 and 2024). Aid for the acquisition of vehicles (16 decisions and 3.34% of State aid amounts approved between 2008 and 2024) and start-up aid (5 decisions and 0.3% of State aid amounts approved between 2008 and 2024) were less frequent. The main grantors of State aid to SLT are Germany, France, Poland, Italy and Austria.

As is to be expected with sectoral rules covering only a sub-sector of the transport sector, the aid granted to SLT constitutes a small part of the overall State aid measures and spending, also as horizontal rules exist, under which much more significant State aid spending occurs. The latest version of the State aid Scoreboard dating from 2024 and containing data up to 2023[8] reports 3 222 new measures[9] and EUR 186.8 billion overall State aid spending in 2023. The 26 measures and EUR 4.9 billion of State aid approved[10] in SLT in 2023 therefore account for less than 1% of new measures and for around 2.6% of overall State aid spending on new measures in 2023. There were 597 State aid decisions adopted in 2023 overall (most measures are block exempted and do not require a State aid decision for approval)[11]. Discounting block-exempted and crisis measures (pertaining to Russia's war of aggression against Ukraine and the COVID-19 pandemic), 211 State aid decisions were adopted overall in 2023. The 26 measures approved related to SLT in 2023 then account for 12.3% of measures in that year.

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[6] Further information on the relevant provisions of the TFEU can be found in Annex 9.

[7] Commission Regulation (EU) No 651/2014 of 17 June 2014 declaring certain categories of aid compatible with the internal market in application of Articles 107 and 108 of the Treaty, OJ L 187, 26.6.2014.

[8] https://competition-policy.ec.europa.eu/document/download/68225c70-5570-4e10-b983-53efde939d7f_en?filename=state_aid_scoreboard_note_2024.pdf.

[9] New measures are defined in the State aid Scoreboard as measures under which the Member States started spending State aid. They are not fully equivalent to the number of block exempted measures put into place in that year and measures approved in that year, but can serve as an approximation.

[10] The amount of State aid approved is used as an approximation of the amount of State aid spent, as there is currently no reporting of State aid spending in the SLT sector, as set out in Section 1.3.

[11] https://competition-cases.ec.europa.eu/search?caseInstrument=SA&caseLastDecisionDate=from-2023-01-01-to-2023-12-31&sortField=caseLastDecisionDate&sortOrder=DESC.

This Impact Assessment Report concerns both the revision of the RGL into the envisaged revised guidelines ('the revised GLs') and the envisaged parallel adoption of a new Block Exemption Regulation in the area of land Transport ('TBER')[12].

1.2. Relationship with other EU initiatives

General context: the European Green Deal

The European Climate Law establishes that the EU needs to reduce its greenhouse gas ('GHG') net emissions by 55% by 2030 as compared to 1990 levels and achieve climate neutrality by 2050[13]. This goal cannot be reached without a fundamental transformation of European transport, which accounts for 25% of all the EU's GHG emissions. Therefore, the objective was set to (i) achieve a 90% reduction in transport GHG emissions by 2050 through the promotion of multimodal transport and less polluting transport modes and (ii) shift 75% of inland freight carried today by road to rail and IWW[14].

Other initiatives under the Sustainable and Smart Mobility Strategy

The Commission Communication of 9 December 2020 on a Sustainable and Smart Mobility Strategy – putting European transport on track for the future ('SSMS')[15] further operationalised these objectives. Milestones of the SSMS include the following:

- rail freight traffic should double by 2050,
- IWW and short-sea shipping transport should increase by 50% by 2050, and
- high-speed passenger rail traffic should double by 2030 and triple by 2050.

The uptake of SLT also depends on available infrastructure capacity, innovation and digitalisation. One of the key objectives the SSMS advocates for is the completion of the comprehensive trans-European transport ('TEN-T') network[16], fully equipped with the European Rail Traffic Management System ('ERTMS') by 2050. The SSMS also aims to internalise the external costs of transport at the latest by 2050[17].

The revised GLs and new TBER will need to be consistent with other EU initiatives flowing from the SSMS, notably (i) Regulation (EU) 2024/1679 of 13 June 2024 on Union guidelines for the development of the trans-European transport network (amended TEN-T Regulation)[18]; (ii) the Communication from the Commission of 24 June 2021 on NAIADES III: Boosting

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[12] An Enabling Regulation to this effect has been adopted: Council Regulation (EU) 2022/2586 of 19 December 2022, on the application of Articles 93, 107 and 108 of the Treaty on the Functioning of the European Union to certain categories of State aid in the rail, IWW and multimodal transport sector, OJ L 338, 30.12.2022.

[13] Regulation (EU) 2021/1119 of the European Parliament and of the Council, of 30 June 2021, establishing the framework for achieving climate neutrality and amending Regulations (EC) No 401/2009 and (EU) 2018/1999, OJ L 243, 9.7.2021.

[14] Communication from the Commission, The European Green Deal, of 11 December 2019, COM(2019) 640 final.

[15] Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions, Sustainable and Smart Mobility Strategy – putting European transport on track for the future, of 9 December 2020, COM(2020) 789 final.

[16] The TEN-T policy network comprises railways, IWW, short-sea shipping routes and roads linking urban nodes, maritime and inland ports, airports and terminals. The EU's TEN-T policy is a key instrument for the development of coherent, efficient, multimodal and high-quality transport infrastructure across the EU.

[17] The internalisation of external costs refers to the adoption of policy measures that ensure that the 'polluter pays'. The SSMS targets measures such as emissions trading, infrastructure charges and vehicle taxes.

[18] Regulation (EU) 2024/1679 of the European Parliament and of the Council of 13 June 2024 on Union guidelines for the development of the trans-European transport network, amending Regulations (EU) 2021/1153 and (EU) No 913/2010 and repealing Regulation (EU) No 1315/2013, OJ L, 2024/1679, 28.6.2024.

future-proof European IWW transport[19]; (iii) the Communication from the Commission of 5 November 2025 on Connecting Europe through High-Speed Rail ('High-Speed Rail Plan')[20]; and (iv) potential future rules prescribing the internalisation of external costs.

This initiative is complementary to the EU's TEN-T policy, which is a key instrument for planning and developing a coherent, efficient, multimodal, and high-quality transport infrastructure across the EU. By codifying the rules applicable to investment aid to facilities, the present initiative facilitates the granting of aid and allows Member States to promote the development of facilities, in particular along the TEN-T corridors. By increasing support possibilities for interoperability investments, the present initiative also promotes the development of an interoperable European transport network.

Another example of such complementarity concerns the IWW sector, which will in the future benefit from codified rules making clearer and more transparent the conditions under which Member States can finance it, in line with the NAIADES III programme aiming to boost future-proof IWW in the EU. By facilitating modernisation and interoperability aid which enhances the efficiency and safety of rail operations, this initiative also supports the High-Speed Rail Plan unveiled by the Commission in November 2025, which builds on the TEN-T and aims to accelerate the development of high-speed rail across the EU, offering passengers significantly reduced travel times. Key actions include removing cross-border bottlenecks, a dedicated EU financing strategy, legislation supporting the development of a second-hand market for rolling stock, cross-border rail ticketing, simplified train driver certification and a 2026 European ERTMS Deployment Plan for interoperability[21].

In addition, while the full internalisation of external costs is a long-term project up to 2050, revised and new State aid rules are needed already now, as State aid to promote SLT has a decisive role to play in terms of achieving the modal shift objectives in the short and medium term. As regards in particular the Emission Trading System 2 ('ETS2')[22], which also covers emissions trading for fuel suppliers in the road sector as of 2027, with a possibility to delay the entry into force of the system to 2028 which has recently been agreed by the Council[23] and the European Parliament[24], it will partially address the issue of external climate costs of road transport, but not that of other external cost categories. According to the Commission Handbook[25], external costs relating to climate only account for 10-12% of the overall external cost difference between rail and road passenger transport and for 3-16.5% of the external cost difference between rail or IWW and road freight transport. Accident, congestion, air pollution and noise costs are all more important in terms of the external cost difference. The present initiative is thus also complementary to the ETS2 as it will serve as an enabling framework,

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[19] Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions, of 24 June 2021, NAIADES III: Boosting future-proof European IWW transport, COM(2021) 324 final.

[20] Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions, of 5 November 2025, Connecting Europe through High-Speed Rail, COM/2025/903 final.

[21] https://transport.ec.europa.eu/transport-modes/rail/high-speed-rail-plan_en.

[22] https://climate.ec.europa.eu/eu-action/carbon-markets/ets2-buildings-road-transport-and-additional-sectors_en.

[23] Council of the EU, Press release, 5 November 2025, "2040 climate target: Council agrees its position on a 90% emissions reduction": https://www.consilium.europa.eu/en/press/press-releases/2025/11/05/2040-climate-target-council-agrees-its-position-on-a-90-emissions-reduction/.

[24] European Parliament, Press Release, 10 November 2025, "EU 2040 climate target: MEPs seek 90% emissions reduction": https://www.europarl.europa.eu/news/en/press-room/20251110IPR31332/eu-2040-climate-target-meps-seek-90-emissions-reduction.

[25] https://op.europa.eu/en/publication-detail/-/publication/696d402f-a45a-11e9-9d01-01aa75ed71a1.

laying down possibilities for Member States to support SLT as an alternative to road transport. In addition, such State support allows Member States to alleviate the increasing costs of road transport for businesses and households by promoting more affordable SLT alternatives, thereby incentivising the modal shift.

The Fourth railway package of 2016

The Fourth railway package is a set of six legislative texts designed to complete the single market for rail services ('Single European Railway Area')[26]. Its overarching goal is to make the rail sector more competitive. It comprises a market pillar and a technical pillar.

The market pillar establishes the general right for railway undertakings established in one Member State to operate all types of passenger services everywhere in the EU and introduces the principle of mandatory tendering for public service contracts in rail.

There are two types of rail passenger services in the EU: commercial "open access" services and services under public service contracts. The latter stem from the fact that many passenger lines are not served by the market at terms that Member States consider appropriate (e.g. outside rush hours) and/or are not profitable even when an efficient operator undertakes to provide the service. Member States are allowed to lay down public service obligations ('PSOs') for such routes, thereby compensating operators for running loss-generating services. PSOs for rail passenger services are regulated and PSO compensation is block exempted by Regulation (EC) 1370/2007 of 23 October 2007 on public passenger transport services by rail and by road ('Regulation 1370/2007')[27]. In 2022, 58.7% of the total passenger kilometres in the EU27 were operated under public service contracts[28]. In 2021, Member States granted EUR 27 billion in State aid under Regulation 1370/2007[29].

The Fourth railway package liberalised rail services in the passenger segment (the freight segment had already been fully liberalised since 2007[30]). It mandated the end of the legal monopoly on the passenger market on 1 January 2019 for "open access" services[31] and created an obligation to tender public service contracts by 3 December 2019, with a transitional period until 24 December 2023, until which date public contracts of at most a ten-year duration could still be awarded directly[32].

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[26] https://transport.ec.europa.eu/transport-modes/rail/railway-packages/fourth-railway-package-2016_en.

[27] Regulation (EC) 1370/2007 of the European Parliament and of the Council of 23 October 2007 on public passenger transport services by rail and by road and repealing Council Regulations (EEC) Nos 1191/69 and 1107/70, OJ L 315, 3.12.2007.

[28] Ninth monitoring report on the development of the rail market under Article 15(4) of Directive 2012/34/EU of the European Parliament and of the Council, COM(2025) 439 final.

[29] State aid Scoreboard: Scoreboard State Aid data - European Commission. The category "PSOs and pensions" consists of PSO spending only.

[30] Directive 2004/51/EC of the European Parliament and of the Council of 29 April 2004 amending Council Directive 91/440/EEC on the development of the Community's railways (OJ L 164, 30.4.2004) established a right of access for railway undertakings in relation to all types of freight services (national and international) from 1 January 2007.

[31] Article 3 of Directive (EU) 2016/2370 of the European Parliament and of the Council of 14 December 2016 amending Directive 2012/34/EU as regards the opening of the market for domestic passenger transport services by rail and the governance of the railway infrastructure, OJ L 352, 23.12.2016.

[32] Article 1(9) of Regulation (EU) 2016/2338 of the European Parliament and of the Council of 14 December 2016 amending Regulation (EC) No 1370/2007 concerning the opening of the market for domestic passenger transport services by rail, OJ L 354, 23.12.2016.

The technical pillar of the fourth railway package was designed to boost the competitiveness of the railway sector e.g. by reducing administrative burdens. Among others, it aims to:

- harmonise a large number of national rules; and
- create a "one stop shop" in the case of operations beyond one single Member State, by enabling the European Railways Agency to issue vehicle authorisations valid throughout the EU.

In 2022, in the EU27 new entrants[33] had a market share of 49.6% on average in the rail freight market (up 10.7 percentage points from 2018), compared to a market share of 12.6% in the "open access" rail passenger market (up from 6.0% in 2020) and 21% in the PSO rail passenger sector (up from 18.5% in 2020)[34].

The obligatory tendering of public service contracts in the rail passenger transport sector as of 2024, the effects of which will unfold over the next years, when the last directly-awarded contracts will run out, will allow all railway undertakings to bid for public service contracts, attaining scale and bringing additional efficiency to these contracts. This regulatory development, as well as the liberalisation overall, will increase competition within the rail sector as part of SLT and therefore also boost its cost-effectiveness and competitiveness. This initiative is therefore complementary to these developments.

The impact of the COVID-19 pandemic on the data for the railway sector

Revenues from passenger rail operations decreased by an estimated 41% in 2020 and 36% in 2021, while those of rail freight decreased by an estimated 12% in 2020 and 10% in 2021. Overall, the revenue loss for the railway sector is estimated at about EUR 50 billion for the two years[35]. This was partially offset by State aid in the form of damage compensation payments. Data for 2020 and 2021 therefore have to be assessed with particular caution and often have to be considered as outliers. This Impact Assessment Report will use data from 2022 to 2024, where available, or, where not and there is a risk of skewed data, from 2019 as the last full year before the COVID-19 pandemic.

Other State aid rules

Important tools to support the Green Deal in the area of State aid are the Guidelines on State aid for climate, environmental protection and energy 2022 ('CEEAG')[36], the GBER and the Framework for State aid measures to support the Clean Industrial Deal ('CISAF'[37]). These tools include compatibility criteria for aid measures related to the reduction of GHG emissions or air pollution. The CEEAG and the GBER include specific rules for aid measures for the acquisition and leasing of clean vehicles (including those used for rail and IWW). These tools complement the present initiative, as the CEEAG stipulate that in case there are specific provisions applying to the very same measure in sector specific State aid guidelines, the latter prevail.

[33] New entrants are railway undertakings that were set up after the liberalisation of the rail sector, i.e. they are all railway undertakings that are not incumbents.
[34] See footnote 28. This document refers to new entrants as "competitors".
[35] UIRR, "COVID Impact Tracker: rail freight lost 4 billion in 2021": https://www.uirr.com/web-news/covid-impact-tracker-rail-freight-lost-4-billion-2021.
[36] Communication from the Commission, Guidelines on State aid for climate, environmental protection and energy 2022, OJ C 80, 18.2.2022.
[37] https://competition-policy.ec.europa.eu/about/contribution-clean-just-and-competitive-transition/clean-industrial-deal-state-aid-framework-cisaf_en.

In any event, none of these instruments directly address the issues of the transport sector. The objective of State aid covered by the present initiative is to achieve modal shift, which serves the purpose of limiting all externalities, including e.g. congestion and accidents, which are also lower in SLT. These additional externalities justify additional support. Also, the SLT sector consists of a complex network of relationships between facilities and transport operators and between different transport modes. A more targeted design of aid measures is therefore necessary to efficiently achieve the modal shift objective.

EU Funding - The Recovery and Resilience and the Connecting Europe Facilities, Cohesion policy funds

The Recovery and Resilience Facility[38] mobilised EUR 650 billion to help Member States repair the damage caused by the COVID-19 pandemic. It also contributes significantly to the objectives of the SSMS through the mobilisation of a total of EUR 87 billion to support sustainable mobility.

The Connecting Europe Facility for Transport aims to support investments in transport infrastructure on the TEN-T. In the years 2021-2027, it makes available EUR 25.8 billion to support transport infrastructure projects[39].

Cohesion policy funds (European Regional Development Fund, Cohesion Fund, Just Transition Fund, Interreg) provide EUR 59.5 billion in co-financing in the years 2021-2027 for investments that mitigate territorial disparities in transport infrastructure and that facilitate the green and digital transitions in the transport sector. For example, Member States have allocated EUR 14.1 billion to clean urban transport infrastructure and rolling stock, EUR 12 billion to TEN-T rail (incl. 0.5 billion for ERTMS), and EUR 2.7 billion to rail rolling stock[40]. Funds for mobility investments are also available under the InvestEU programme[41].

The EU Industrial Maritime Strategy

The European Commission has started preparations for an EU Industrial Maritime Strategy that aims to improve the competitiveness of the EU's waterborne transport sectors (including IWW). The Strategy also aims to tackle difficult access to finance for ship buyers, including SMEs and mid-cap businesses specifically[42]. In view of the provisional information in the CfE and taking account of the non-legislative nature of this initiative, it appears that the strategy is likely to be coherent with and complementary to the present initiative.

[38] https://commission.europa.eu/business-economy-euro/economic-recovery/recovery-and-resilience-facility_en.
[39] https://cinea.ec.europa.eu/programmes/connecting-europe-facility/transport-infrastructure_en.
[40] https://ec.europa.eu/regional_policy/funding/cohesion-fund_en.
[41] https://investeu.europa.eu/investeu-programme/investeu-fund/investeu-indicators_en#implementation-per-policy-window.
[42] CfE of the initiative: https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/14745-EU-industrial-maritime-strategy_en.

1.3. Fitness Check

The RGL were evaluated as part of the 2020 Fitness Check[43] of the 2012 State aid modernisation ('SAM') package[44] (the 'Fitness Check').

The Fitness Check contained findings specifically on the excessively narrow scope of the RGL limited to operating aid and aid for investments in interoperability. The Fitness Check also set out achievements in terms of modal shift resulting from operating aid schemes, as well as problems in applying State aid rules to facilities as a category not covered by the RGL. In more detail:

Section 6 of the RGL on aid for the coordination of transport, which covers (i) operating aid for external costs reduction, (ii) operating aid for infrastructure use, and (iii) investment aid for interoperability, is the part of the RGL that was the most used. No issues were identified during the annual sample-based monitoring exercises[45], which verified compliance with Commission decisions approving aid under the RGL. The Fitness Check found that the scope of section 6 of the RGL has proved in many cases too narrow, as it only refers to railway undertakings. As a result, the rules laid down in section 6 have been applied by analogy (directly under Article 93 TFEU) to beneficiaries on the 'demand side', such as logistics companies, and to other sectors, such as IWW and multimodal transport. Moreover, assessments for example as regards facilities have been carried out directly under Article 93 TFEU, which generally increased the duration of such cases and added an additional burden, and created some inconsistencies between decisions, as will be further detailed below.

Besides section 6, Member States have used the RGL to a very limited extent and some sections have expired in the meantime. An overview of the sections and the compatibility conditions of section 6 of the RGLs is provided in Annex 10.

In addition, as the RGL were not part of the SAM launched in 2012, they do not implement systematically and explicitly the applicable common assessment principles[46]. The SAM imposed the publication of all aid awards above EUR 500 000 on national or regional websites. The absence of this obligation in the RGL helps explain why there is little data available on State aid measures in the SLT sector. In any case, the Fitness Check concluded that *"(t)he Railway Guidelines (…) should be adapted to SAM*." The revised GL will therefore have to be aligned with the general principles of SAM, which apply across the board to the entire corpus

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[43] Staff Working Document, Fitness Check of the 2012 State aid modernisation package, railways guidelines and short-term export credit insurance, SWD(2020) 258 final: https://eur-lex.europa.eu/legal-content/en/TXT/?uri=CELEX:52020SC0258.

[44] SAM was a reform of EU State aid policy launched in 2012. The objectives of SAM were threefold: (1) to foster sustainable, smart and inclusive growth in a competitive internal market by means of so-called 'good aid' (aid that is well-designed, targeted at identified market failures and objectives of common interest, and the least distortive); (2) to focus the Commission's *ex ante* scrutiny on cases with the biggest impact on the internal market; and (3) to streamline the rules and provide for faster decisions.

[45] In line with Article 108 (1) TFEU and Articles 21 (1), 26 (1) and 27 of Council Regulation (EU) 2015/1589 of 13 July 2015 laying down detailed rules for the application of Article 108 of the TFEU, OJ L 248, 24.9.2015 ('the Procedural Regulation').

[46] https://competition-policy.ec.europa.eu/state-aid/legislation/modernisation_en. The common assessment principles that would apply under Article 93 comprise the need for State intervention, appropriateness, proportionality and transparency of the aid, incentive effect, avoidance of undue negative effects on competition and trade between Member States, and cumulation. In specific cases, schemes may also be made subject to *ex post* evaluation and be subject to monitoring.

of State aid legislation. Such an alignment would therefore not be a real option and will therefore not be further assessed as an option in this Impact Assessment Report.

Overall, the Fitness Check concluded that the RGL, dating from 2008, were not fit for purpose and needed a full-fledged review to align them with market and regulatory developments, while providing additional incentives to encourage a significant modal shift.

1.4. Sustainable development goals

This initiative contributes to the following sustainable development goals ('SDGs')[47]: SDG 7 (affordable and clean energy), SDG 13 (Take urgent action to combat climate change and its impacts), as it targets the promotion of more climate friendly transport modes, SDG 9 (Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation), as it promotes the development of infrastructure for clean modes of transport and the utilisation of innovative technologies in the relevant transport sectors, SDG 11 (Make cities and human settlements inclusive, safe, resilient and sustainable), as it includes sustainable transport in particular in cities, and SDG 12 (Ensure sustainable consumption and production patterns), as SLT has superior energy efficiency than road transport.

1.5. The future of European Competitiveness

The challenges of the railway sector were mentioned in the 2024 report by Enrico Letta, which acknowledged that '*the Single European Railway Area has not yet fully materialised. Rail market opening […] has been hampered by the fragmentation of markets and infrastructure, the persistence of legal and de facto monopolies, as well as formidable technical barriers*', while stressing that '*the strategic development of the transport sector is indispensable for the EU's ambitious agenda to transition towards a green economy*'[48].

In addition, the report on the future of European competitiveness ('the Draghi report')[49] observes that the EU transport sector contributes 5% of the EU's GDP and jobs, with a further four jobs in other sectors of the economy linked to every job in the transport sector. At 12%, transport is the third highest category of household expenditure in the EU, after housing and food.

The Draghi report also finds that the transport sector accounts for one quarter of GHG emissions in the EU and that transport stands out as the only big sector where emissions have increased since 1990 (see Figure 1), with heavy-goods transport on road being costly to decarbonise and its emissions therefore particularly hard to abate.

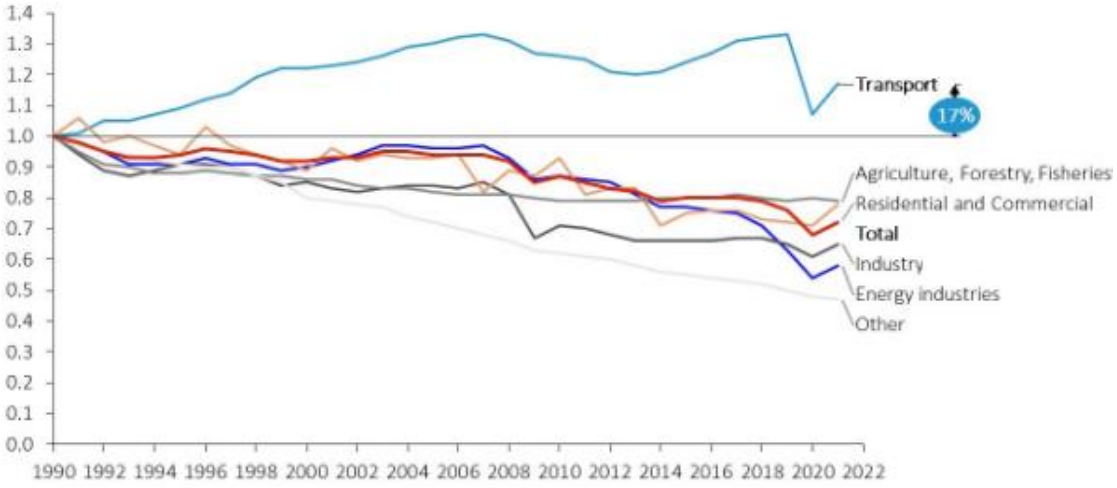
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[47] https://commission.europa.eu/strategy-and-policy/sustainable-development-goals_en.

[48] Enrico Letta, Much more than a market, "Speed, security, solidarity – empowering the Single Market to deliver a sustainable future and prosperity for all EU Citizens", April 2024, page 84: https://www.consilium.europa.eu/media/ny3j24sm/much-more-than-a-market-report-by-enrico-letta.pdf.

[49] The future of European competitiveness – In-depth analysis and recommendations, 9 September 2024, https://commission.europa.eu/topics/strengthening-european-competitiveness/eu-competitiveness-looking-ahead_en.

Figure 1: Evolution of GHG emissions by sector in the EU, index 1990 = 1



Source: the Draghi report, 2024.

2. PROBLEM DEFINITION

The problems and their drivers set out in this Section are substantiated by evidence from the Fitness Check, a study[50], an Inception Impact Assessment ('IIA')[51], a public consultation[52], a targeted consultation[53], a CfE about the TBER specifically[54], and the Commission's case practice in applying the RGL and Article 93 TFEU directly. Further information on these sources of evidence is provided in Annexes 1, 2, 6, and 8.

2.1. What is the problem?

The problem is that the modal share of SLT is too low. As further detailed below, over the past years, the modal shares of rail and IWW transport have either stagnated or declined slightly, in favour of a further increase in the already dominant modal share of road transport (see Figure 2).

[50] Impact assessment support study for the review of the Community guidelines on State aid for railway undertakings, https://competition-policy.ec.europa.eu/document/36a36ea6-3143-4fe8-8ead-c4e7fc424fc2_en (the 'study').

[51] https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/13154-Rail-transport-revision-of-State-aid-guidelines_en.

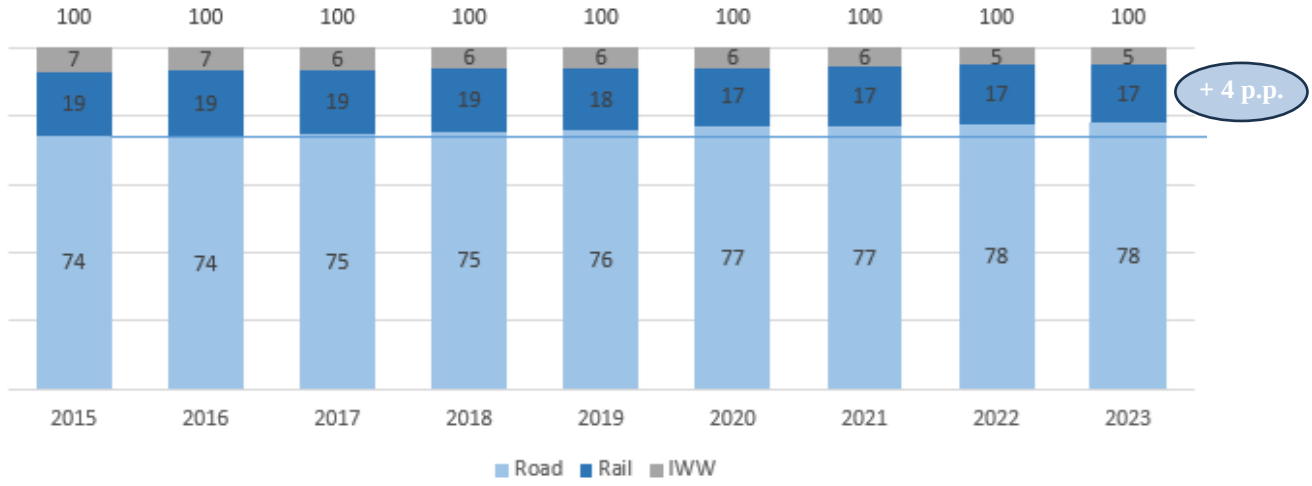
[52] https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/13154-Rail-transport-revision-of-State-aid-guidelines/public-consultation_en.

[53] https://competition-policy.ec.europa.eu/public-consultations/2024-lmtg-and-tber_en.

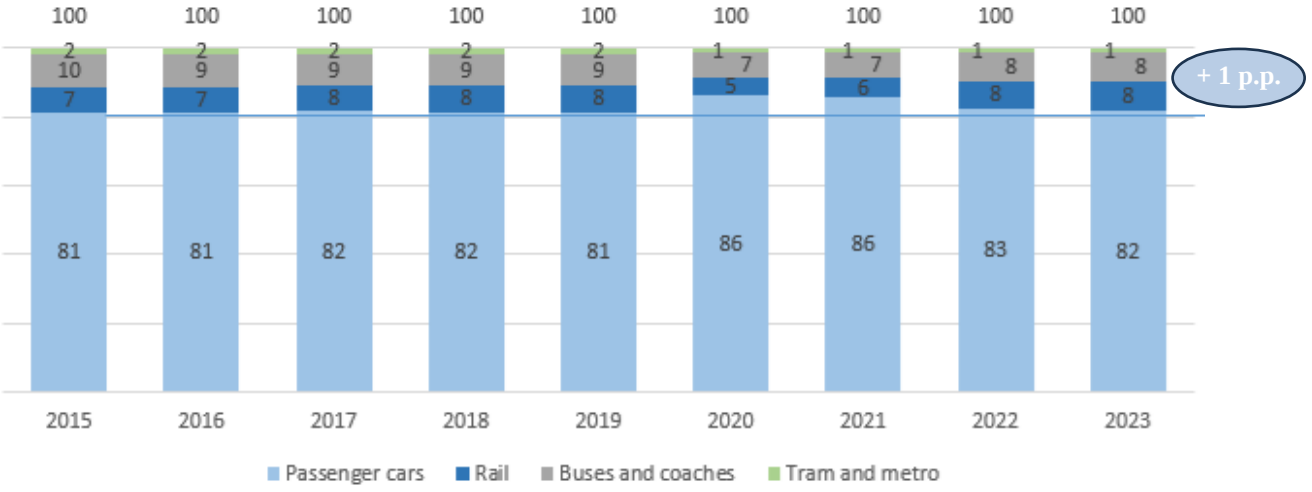
[54] https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/14184-Block-exemption-regulation-on-the-application-of-Articles-93-and-108-of-the-Treaty-to-State-aid-for-the-land-transport-sector_en.

Figure 2: Modal share in EU land transport by mode

Freight transport



Passenger transport



Source: the Draghi report, 2024, data updated using the 2025 Statistical Pocketbook[55].

To reach the ambitious objectives of the Green Deal, as further detailed in the SSMS, the modal share of SLT will have to increase significantly. Member States will need to implement a broad range of measures, including providing public financing to promote SLT, which in many cases constitutes State aid and therefore requires the Commission's approval or coverage under a block exemption.

The problem of the low modal share of SLT is reflected in the following sub-problems: (i) SLT operations are not cost-competitive, (ii) the roll out of interoperability technologies is slow, (iii) vehicle fleets are old and ageing and (iv) there is insufficient access to facilities & private sidings.

[55] European Commission, Statistical pocketbook 2025, EU Transport in figures: https://transport.ec.europa.eu/facts-funding/studies-data/eu-transport-figures-statistical-pocketbook/statistical-pocketbook-2025_en.

2.1.1. Sustainable land transport operations are not cost-competitive

The study concluded that for most Member States analysed, operations in the rail freight sector were overall loss-making[56]. As explained in the study[57], the cost of rail freight transport is influenced by multiple factors that impact its profitability and competitiveness. Key factors include the train type and travel distance.

The travel distance is a key factor of competitiveness, since SLT operations typically include fixed transhipment costs. In the case of longer operations, these fixed costs can be spread out more. According to a study on transhipment technologies in intermodal transport, the cost of a multimodal SLT operation is lower than road transport as of distances of 1000 km or greater[58]. If the external costs of transport were fully internalised for both SLT and road transport, SLT would become cheaper as of distances of 600 km. Moreover, according to data from Eurostat[59], in 2023 85.3% of the total tonne-kilometres in road freight operations in the EU came from operations which were less than 1000 km long. SLT being cheaper than road transport as of 600 km, instead of 1000 km, could therefore generate a very significant modal shift.

Among the train types, a notable finding of the study is that single wagon load ('SWL') services are structurally loss-making and have costs per tonne-kilometre that are more than twice as high as those for block trains. Definitions of SWL vary, but the general understanding is that they are rail shipments where the freight carried does not allow the filling of a full train from the origin to the destination (which are called block train operations). According to the study, the average train length in Europe is 28 wagons, with costs per tonne-kilometre decreasing by an estimated 2% per wagon added (the efficiency gains are higher the shorter the train is, i.e. adding wagons to shorter trains reduces costs per tonne-kilometre to a higher extent; for SWL operations, adding a wagon decreases costs per tonne-kilometre by 12% on average). Due to their low profitability, railway undertakings have been downsizing SWL services significantly.

2.1.2. Slow roll-out of key interoperability technologies

Transport undertakings face acute difficulties in offering their services across borders within the EU. In the rail sector in particular, transport operators need almost as many control systems on board as the number of Member States they cross, given that there are 20 existing national rail systems. At the same time, 50% of rail freight tonne kilometres cross at least one border in the EU[60]. This is also an obstacle to high-speed rail connections, for example in the form of night-trains. According to the study, crossing a border increases the costs of a freight operation by 15-20%. To promote the interoperability of trains within the EU, a system of standards for

[56] Austria, Germany, Romania, Slovakia, Sweden. In Czechia, Lithuania and Spain rail freight operations at least break even.
[57] Chapter 4 of the study.
[58] European Commission, Comparative evaluation of transhipment technologies for intermodal transport and their cost, 2022: https://transport.ec.europa.eu/news-events/news/study-analyses-transhipment-options-more-competitive-intermodal-transport-and-terminal-capacity-ten-2022-05-05_en.
[59] Indicator *road_go_ta_dctg*: https://ec.europa.eu/eurostat/databrowser/view/road_go_ta_dctg/default/table?lang=en.
[60] European Union Agency for Railways, Report "Cross-border rail transport potential", 12 December 2022: https://www.era.europa.eu/system/files/2022-12/20225455_PDFA2A_TR0522377ENA_002.pdf. For passengers, the figure is 6-7% of all passenger kilometres.

the management and interoperation of signalling for railways was developed: ERTMS. The deployment of ERTMS should reduce cost[61] and improve safety and capacity[62].

However, deployment has been slow so far: at the end of 2023, only about 15% of tracks on the core network corridors[63] were compatible with ETCS, the signalling and control component of ERTMS[64]. Outside of the core network corridors, the proportion was well below 10%[65]. At the end of 2020, an estimated 17% of vehicles were equipped with ETCS. Between 2015 and 2019, it is estimated that 54% of new vehicles were put on the market without being ETCS-compatible[66].

The EU railway industry has been equally slow to adopt other productivity-enhancing technologies such as digital automatic coupling ('DAC'), a technology that automates the process of coupling and de-coupling wagons. The benefits of an EU-wide rollout of DAC have been estimated at EUR 760 million per year[67].

The Draghi report notes that urgent investment is needed to roll out technologies projected to boost rail capacity, such as ERTMS and DAC.

2.1.3. Vehicle fleets are old and ageing

According to data available in 2019 and analysed in the study[68], more than 50% of the freight wagon fleet in Europe was older than 30 years, with approximately 10% being older than 50 years. The average age of rolling stock used for passenger transport is even higher[69]. Meanwhile, various experts estimate that freight wagons have a maximum useful life of 40 to 50 years and passenger rolling stock of 30 to 40 years. On the basis of national vehicle registers, the study has found that 38% of freight wagons, 44% of passenger rolling stock, and 22% of tractive rolling stock in the EU are older than their maximum useful life and, based on renewal rates, these figures are expected to increase over the next decade. Incumbents' fleets are significantly younger than those of new entrants on average[70].

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[61] ERTMS would provide large savings for infrastructure managers, since they can eliminate equipment such as trackside signalling, track circuits and axle counters. Still, the triggered reduction of track-access charges would be marginal at best for railway undertakings.

[62] ERTMS can increase capacity on existing infrastructure by up to 40% by reducing headway between trains, according to UNISIG, an international consortium of 9 companies contributing to the ERTMS specifications.

[63] Core network corridors cover the most important long-distance flows in the core network, which consists of those parts of the network which are of the highest strategic importance.

[64] Besides ETCS, the key components of ERTMS are the system used to communicate between trains and traffic control centres (GSM-R or FRMCS, a system designed specifically for railways and meant to replace GSM-R) and automatic train operations (ATO).

[65] European Union Agency for Railways, Rail environmental report, 2 July 2024: https://www.era.europa.eu/content/2024-rail-environmental-report.

[66] ERTMS, Second Work Plan of the European Coordinator, July 2022, https://transport.ec.europa.eu/system/files/2023-09/ERTMS_work_plan-second_edition.pdf.

[67] According to HWH transport, a German consultancy, as cited in the study.

[68] Pages 54 and 55.

[69] On the basis of an analysis of 5 countries: Germany, Italy, Poland, Slovakia and Spain, which account for around 45% of EU rolling stock.

[70] In 2010, the average age of freight wagons was 37 years for incumbents and 36 years for new entrants, while new entrants' fleets were on average 30 years and 7 years older for passenger rolling stock and tractive rolling stock respectively.

Similarly, as regards IWW transport, the fleet is relatively old, with the majority of vessels built before 2000, and ill-equipped to deal with the planned transition to zero-emission mobility[71]. For example, based on an international fleet database (IVR), about half of the active vessels in Belgium, Germany and the Netherlands were built more than 50 years ago. In France, these vessels represent approximately 80% of the total fleet. There are still some vessels (19% of the European fleet) which were built before 1940, particularly in the Netherlands and in Germany[72]. In addition, most operators are small and medium-sized enterprises ('SMEs')[73]. In Germany, in 2017 the proportion of IWW undertakings that employed up to nine persons amounted to 82%[74].

2.1.4. Insufficient access to facilities and private sidings

As regards SLT, the relevant facilities consist of (i) facilities used for unimodal railway operations (e.g. maintenance facilities for trains or storage facilities), (ii) transhipment facilities (in particular sustainable multimodal terminals)[75] involving rail and/or IWW and (iii) private sidings, i.e. rail tracks that connect industrial sites directly to the general rail network. This initiative does not cover the general rail network (tracks), as investments there typically do not constitute State aid[76].

The study finds evidence of a suboptimal number of essential (unimodal) rail service facilities in certain Member States, as well as a lack of multimodal terminals and insufficient capacity of existing terminals. Moreover, the International Union of Railways suggests that a lack of open-access terminals and lack of terminal capacity are significant bottlenecks[77]. The SSMS draws specific attention to the pronounced scarcity of transhipment facilities, and of multimodal terminals in particular, in certain parts of Europe, concluding that tackling those insufficiencies should be given the highest priority.

The study[78] also finds that the number of private sidings has been declining across Europe. For instance, in Germany, the number of sidings declined from about 13 000 in 1993 to 1 300 in 2013, while in Austria it declined from 840 in 2010 to 521 in 2020. The study indicates that at least part of the journey of most rail freight transport operations in Europe is spent on private sidings. This includes for example almost 85% of transport volumes in Germany, and around 60% in Austria. In most cases private sidings rely on railway undertakings offering SWL services, which are typically loss-making. If freight cannot be moved directly to loading points (such as industrial sites or warehouses), the transport operation will necessarily require a road

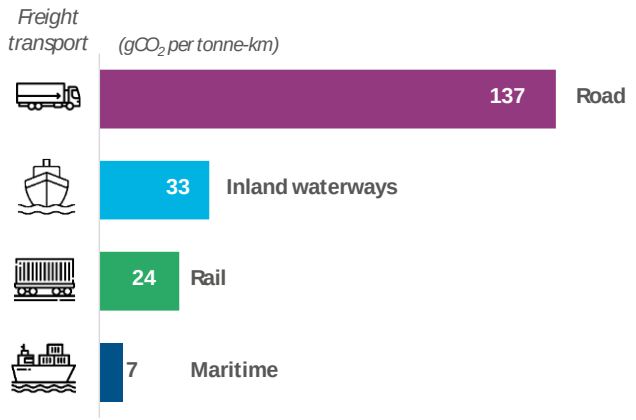
[71] Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions, NAIADES III, COM(2021) 324 final.
[72] Central Commission for the Navigation of the Rhine, Market Report 2014-2019: https://inland-navigation-market.org/wp-content/uploads/2021/04/Market-report-2014-2019_Web_BD.pdf.
[73] European Parliament resolution of 14 September 2021 towards future-proof inland waterway transport in Europe (2021/2015(INI)), OJ C 117, 11.3.2022, pp. 7–17: https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A52021IP0367&qid=1764149188191.
[74] See footnote 72.
[75] Terminals where goods are moved from one mode of transport to another or between rail systems of different width (gauge).
[76] See footnote 2.
[77] https://uic.org/IMG/pdf/uic_uirr_report_2024-2.pdf.
[78] Pages 79 and 80.

leg and an additional transhipment. Transhipment adds at least 10% to the cost of a typical multimodal transport operation[79], while the road leg generates additional external costs.

2.2. Why is it a problem?

Road freight transport emits more than four and five times as much CO_2 per tonne-km than IWW and rail freight transport, respectively (see Figure 3).

Figure 3: CO2 emissions by mode of freight transport (2018)



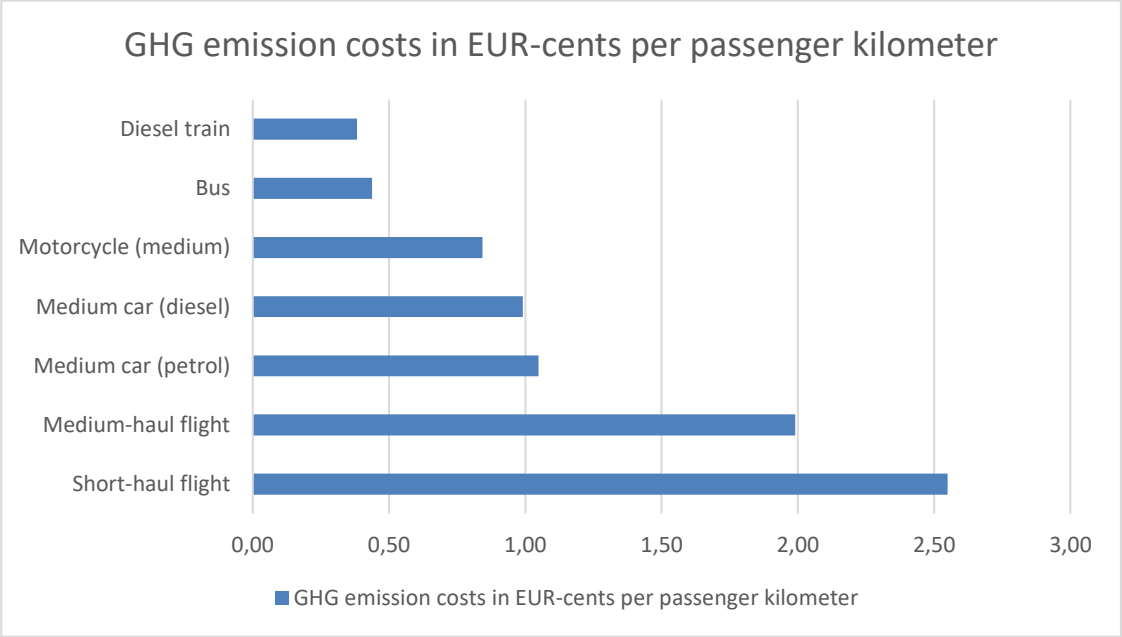
Source: European Court of Auditors Special report[80].

As regards passenger transport, the advantages of rail (and ferry) in terms of GHG emissions are of similar magnitude (see Figure 4). The direct GHG emissions of electric trains are zero.

[79] Commission Staff Working Document Impact Assessment Report Proposal for a Directive of the European Parliament and the European Council amending Council Directive 92/106/EC as regards a support framework for intermodal transport of goods and Regulation (EU) 2020/1056 of the European Parliament and the Council as regards calculation of external costs savings and generation of aggregated data, SWD(2023) 351 final: https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex:52023SC0351.

[80] European Court of Auditors Special Report: Intermodal freight transport, EU still far from getting freight off the road, https://www.eca.europa.eu/Lists/ECADocuments/SR-2023-08/SR-2023-08_EN.pdf. This source has been used based on data from 2018, as it contains data on road, rail and IWW (which is particularly difficult to find). DG MOVE's Statistical pocketbook has more recent data on GHG emissions and tonne- and passenger-kilometres for rail and road from 1990-2020. This data shows that the GHG emissions per passenger-kilometre between road and rail transport have grown further apart, https://transport.ec.europa.eu/facts-funding/studies-data/eu-transport-figures-statistical-pocketbook/statistical-pocketbook-2022_en.

Figure 4: GHG emissions of passenger transport



Source: State of play of Internalisation in the European Transport Sector ('the Commission Handbook'), European Commission, July 2019.

Two important reasons for the comparatively high GHG emissions of road transport and aviation are the high energy use (compared to both rail and IWW)[81] and the high degree of fossil fuel use in propulsion. As of 2022, 82% of train-km operated in the EU used electricity as its source of energy and 52% of energy in rail transport was obtained from renewable sources[82].

Other external costs in the transport sector include air pollution, noise pollution, accidents, and congestion. For both passenger and freight transport, SLT modes involve significantly lower external costs than road transport (see Table 1 and Table 2). Data on external costs by transport mode and Member State have been compiled and published by the European Commission, most recently in 2019 in the Commission Handbook[83].

[81] In rail, for example, rolling friction losses of steel-to-steel contacts are 85%-95% lower than those of truck tyres on road (The Future of Rail - Opportunities for energy and the environment, International Energy Agency, 2019: https://iea.blob.core.windows.net/assets/fb7dc9e4-d5ff-4a22-ac07-ef3ca73ac680/The_Future_of_Rail.pdf).

[82] https://wikis.ec.europa.eu/display/primeinfrastructure/Prime+Infrastructure+Homepage?preview=/44167372/136316178/PRIME_External%20Report_2022%20data_Final.pdf.

[83] https://op.europa.eu/en/publication-detail/-/publication/696d402f-a45a-11e9-9d01-01aa75ed71a1See footnote 25. Annexes available at: https://transport.ec.europa.eu/document/download/a9dd34f0-f37b-400b-9078-50c86c07c6d2_en. Even though the base data of this 2019 publication refers to 2016, it should be noted that there exists no alternative to this data source, and it is used in all the Commission's decisional practice. A revision is currently ongoing.

Table 1: External cost of transport per mode, EUR-cent per passenger-kilometre, EU-28.

2016	Rail (electric)	Rail (diesel)	Road (passenger car)	Aviation (short haul)
Accident	0.47	0.47	4.5	0.041
Air Pollution	0.01	0.8	0.71	0.30
Climate Change	-	0.342	1.177	2.39
Noise	0.8	1.38	0.6	0.46
Congestion	-	-	4.86	-
Well-to-Tank[84]	0.8	0.11	0.38	1.06
Habitat	0.57	0.84	0.55	0.027
Total	**2.65**	**3.942**	**12.78**	**4.278**

Source: State of play of Internalisation in the European Transport Sector, European Commission, July 2019.

Table 2: External cost of transport per mode, EUR-cent per ton-kilometre (freight), EU-28.

2016	Rail (electric)	Rail (diesel)	IWW	Road (Heavy Goods Vehicle)
Accident	0.07	0.07	0.1	1.3
Air Pollution	0.004	0.68	1.294	0.76
Climate Change	-	0.25	0.265	0.525
Noise	0.65	0.45	-	0.4-1.2
Congestion	-	-	-	0.93
Well-to-Tank	0.16	0.14	0.13	0.2
Habitat	0.24	0.25	0.2	0.19
Total	**1.124**	**1.84**	**1.989**	**4.305-5.105**

Source: State of play of Internalisation in the European Transport Sector, European Commission, July 2019.

2.3. What are the problem drivers?

This section covers the main problem drivers that are contributing to the low and stagnating modal share of SLT. The transport sector is one of the biggest economic sectors, responsible for 5% of EU GDP[85]. The modal share of SLT is the result of market failures (such as negative externalities, coordination failures and access to finance difficulties) and regulatory failures (such as insufficient internalisation of negative externalities, regulatory barriers to interoperability and unsuitable State aid rules). The lack of sufficiently well-designed and targeted State aid rules that facilitate and incentivise support to SLT contributes to the chronic

[84] Well-to-Tank refers to all emissions caused in the production of the energy that is used by the transport mode concerned, such as in the extraction of energy sources, the processing and transmission of energy, and the building of energy plants.
[85] Section 1.5.

lack of competitiveness of SLT compared to road transport and is one of the regulatory failures responsible for the low modal share of SLT.

2.3.1. Market failures

Problem Driver 1: Negative externalities of road transport

The main market failure for SLT is the fact that external costs of transport are insufficiently internalised into the costs of transport operators and thus not reflected in the prices charged to customers (e.g. passengers or freight forwarders).

In 2016, the road transport sector in the EU-27 caused EUR 532.0 billion in total external costs, while paying EUR 307.8 billion in taxes and charges, leaving a remaining cost to society of EUR 224.2 billion. Rail and IWW combined caused a total of EUR 19.3 billion in external costs, while paying EUR 18.0 billion in taxes and charges, leaving a remaining cost to society of EUR 1.3 billion[86]. Available data on external costs suggests that the remaining cost to society has worsened since 2016. Estimates on external costs in 2022 show that they have increased by 8.5% for road and by only 4.5% for rail, compared to 2016 levels[87].

The external costs of transport are insufficiently internalised, leading to a very substantial implicit subsidy to the road sector of more than EUR 200 billion per year.

According to the study, the 50% differential of external costs between rail and road close to or even exceeds 30% of the total rail freight costs in multiple countries, including Czech Republic, Germany, Lithuania, Poland, Romania, and Spain. While current State aid spending levels of around EUR 4.8 billion per year (see Section 1.1) fall far short of covering the external cost gap of more than EUR 200 billion per year, these figures do show that, where operating aid is granted, it has a significant impact on the cost base of the beneficiaries. Given an elasticity of rail volumes to rail prices of -1.0 (see section 6.1.1), operating aid covering 50% of the external cost differential can have a significant impact on the prices and thus on the modal share of rail transport.

Problem Driver 2: Coordination failures in achieving interoperability

The slow adoption of ERTMS and other interoperability technologies can be explained by the initial lack of any private benefits from installing these technologies and the need for coordination between market participants. ERTMS needs to be installed alongside track infrastructure and on-board all rolling stock using that infrastructure. In the absence of rolling stock with on-board ERTMS units, infrastructure managers do not have any incentive to install ERTMS equipment alongside railway tracks, and vice versa.

The initial private benefits of ERTMS are minimal because it only leads to productivity gains if all railway undertakings active on a certain network, as well as the infrastructure manager, have equipped ERTMS. This requires a coordination of investment activities.

[86] State of play of internalisation in the European transport sector, 2019: https://op.europa.eu/en/publication-detail/-/publication/696d402f-a45a-11e9-9d01-01aa75ed71a1.

[87] The author of the existing Commission Handbook has partially updated and extended the external cost figures from 2016 to 2022, using data from Eurostat, the EEA and the European Union Agency for Railways (https://uic.org/support-activities/economics/article/external-costs). The update does not include new figures for IWW.

The rollout of DAC faces coordination failures as well. According to the study, around 80% of the existing freight wagons in Europe belong to signatories of the 'General Contract of Use for Wagons' and are enlisted for mutual exchange between railway undertakings; this means that freight wagons belonging to the signatories end up forming trains with wagons of competitors. Accordingly, a railway undertaking that equips its wagons with DAC cannot be sure that it will benefit from the efficiencies gained. Indeed, if a train is composed of a mix of DAC-compatible and manual wagons, it is not possible for any digital coupling to take place These arrangements have resulted in Europe being the last continent where manual coupling is still common.

Similar market dynamics affect the roll-out of other technologies in rail, but also in other sustainable transport modes[88]. Taking into account these difficulties, in its case practice, the Commission has accepted aid intensities for some interoperability investments higher than 50% (which are in principle foreseen in the RGL) in at least 12 cases, in some cases even up to 100%.

Problem Driver 3: Access to finance difficulties for smaller companies and new entrants

In view of the ongoing liberalisation of the rail sector in the passenger segment, incumbent operators benefit from network effects and economies of scale. The near-monopoly occupation of the rail network makes it difficult for new entrants and smaller companies[89] to enter the market. While it has grown over the past few years, the market share of new entrants is still only 12.6% in the open access passenger segment and 21% in the national PSO passenger market.

The benefits of incumbency are especially acute as regards the acquisition of vehicles. First, as concerns the passenger segment, it is common for public service contracts to include the provision of rolling stock, leading to rolling stock used by incumbents mainly being financed by public service compensation (for the duration of those contracts). Second, as concerns both the passenger and freight segments, incumbents (i) being State-owned enterprises, benefit – according to certain research findings – from an implicit State guarantee[90]; and (ii) are often vertically integrated, combining the infrastructure manager and the railway undertaking in a single company.

Data specific to the EU rail sector is difficult to find, but more general findings suggest that the implicit State guarantee may lower financing costs by several percentage points (see section 6.4.1). As regards vertical integration, a holding company may raise debt at group level, blending the risk-free conditions of the infrastructure manager with the riskier conditions of the railway undertaking.

The findings of one established credit rating agency confirm that those factors lead to incumbents having easier access to finance for acquiring rolling stock and better financing

[88] For example, the automation of vessels requires investments in ports and locks in ports to ensure interoperability.
[89] For the purposes of this impact assessment, "smaller companies" includes both SMEs and small mid-caps ('SMCs'). The limits for the number of employees, turnover and balance sheet total below which an undertaking is considered an SMC are twice as high as those for SMEs (Article 2 of the GBER).
[90] E.g. Florence School of Regulation: '*State-owned incumbents enjoy an advantage over [new] entrants […] as they have access to cheaper more liquid borrowing. This creates an uneven playing field, which hinders private investment'*, https://cadmus.eui.eu/bitstream/handle/1814/77188/RSC_PB_2024_25.pdf?sequence=1&isAllowed=y; p. XVI of the study.

conditions[91]. The CfE on the EU Industrial Maritime Strategy also mentions the difficulty of access to finance for family-owned SMEs and mid-cap businesses in the IWW sector.

Rolling stock and IWW vessels are core assets and have long depreciation periods. Forecasting the profitability of such investments is subject to many uncertainties. Therefore, smaller and less established actors might not be able to raise sufficient funds on the market for such investments. In the public consultation, 66% (46 out of 70)[92] and 69% (48 out of 70)[93] of the respondents considered that railway undertakings still face difficulties in accessing freight and passenger rolling stock respectively. The study found that in the rail sector '*the constraints [in accessing finance for rolling stock] are mainly financial and small operators in particular may not have access to credit on competitive terms*'. The IWW sector is composed mainly of SMEs, and these companies also more frequently face access to finance difficulties[94].

The market failure of difficult access to finance for SMEs has been established more generally, across sectors. The Impact Assessment Report on the Commission Guidelines on State aid to promote risk finance investments[95] noted (in a more general context) that '*SMEs, especially when they are young, are often unable to demonstrate their credit-worthiness or the soundness of their business plans to investors*'. The 2024 EU Competitiveness report[96] highlights the need for targeted support to SMEs.

2.3.2. Regulatory failures

Problem driver 4: Insufficient internalisation of negative externalities

There is currently no legislation nor legislative proposal aiming to fully internalise the external costs in the transport sector. At EU level a pertinent initiative is ETS 2, but it only concerns external costs related to climate, which only account for 10-12% of the overall external cost difference between rail and road passenger transport and for 3-16.5% of the external cost

[91] See for example the analysis made by S&P Global ratings concerning DB in July 2022: '*We believe strong German state support will continue to reinforce DB's credit profile*', https://ir.deutschebahn.com/fileadmin/Deutsch/2022/Anhaenge/RatingsDirect_ResearchUpdateDeutscheBahnAGOutlookRevisedToStableFromNegativeOnTrafficRecoveryAndStrongStateSupportAAAffirmed_52290630_Jul-29-2022.pdf and further analysis by S&P Global ratings concerning SNCF in October 2020: '*The proceeds of the capital injection will be transferred to the subsidiary SNCF Réseau* [i.e. the infrastructure manager] *and, in our view, the support benefits the entire group'*, https://www.groupe-sncf.com/medias-publics/2024-03/sp_sncf_ratingsaffirmed.pdf.

[92] 17 companies, 8 business associations, 11 public authorities, 4 NGOs, 2 trade unions, 2 EU citizens, 2 other respondents.

[93] 16 companies, 8 business associations, 12 public authorities, 4 NGOs, 3 trade unions, 2 EU citizens, 3 other respondents.

[94] For example, a report found that State guarantees could cover a significant part of the risks on loans provided by commercial banks for the acquisition of vessels and help investment decisions, https://platina3.eu/wp-content/uploads/2022/10/221024_PLATINA3_D2.5_Fundingfinancing-energy-transition-European-IWT-fleet.pdf.

[95] Commission Staff Working Document Impact Assessment Accompanying the document Communication from the Commission Guidelines on State aid to promote risk finance investment SWD(2014) 7: https://ec.europa.eu/smart-regulation/impact/ia_carried_out/docs/ia_2014/swd_2014_0006_en.pdf .

[96] Communication from the Commission to the European Parliament, the Council, the European Economic and Social Committee and the Committee of the Regions of 14 February2024, The 2024 Annual Single Market and Competitiveness Report, COM/2024/77 final: https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A52024DC0077 https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:52024DC0077.

difference between rail or IWW and road freight transport[97]. Directive 1999/62[98] allows Member States to vary toll rates by 'vehicle emission classes', but does not require them to do so (nor does it require Member States to apply tolls in the first place).

Problem driver 5: regulatory barriers to interoperability

No EU-wide binding deadline exists for phasing out national signalling systems, which reduces the incentive to upgrade the network infrastructure, since trains can continue to operate under older signalling systems. Even if ERTMS is installed trackside, this set-up may prolong dual-system operations, inflating costs and maintaining cross-border barriers.

Three different track gauges exist in the EU: the broad gauge, used in the Baltics and Finland (1 520 – 1 524 mm difference between rails), the Iberian broad gauge (1 668 mm) used in Spain and Portugal, and the standard gauge used in rest of the EU (1 435 mm). Different track gauges require transhipment or an axle change, which both add considerable costs. Crossing a border increases the costs of a freight operation by 15-20% on average (see section 2.1.2), but the study found that between France and Spain, costs increase by 38.6% at border crossing points where transhipment is required, and by 73.2% at points where an axle change is required. While there is no requirement to standardise track gauges across the EU, Member States do have to ensure that any new railway line of the core network and the extended core network of the TEN-T network provides for the European standard nominal track gauge of 1 435 mm[99]. In addition, the military mobility package[100] foresees that when upgrading dual-use sections of military mobility corridors, Member States shall prioritise migration to the EU standard gauge[101].

Different electricity systems exist in the EU, both in terms of current type (direct and alternating current), in voltage (varying kilovolt) and frequency levels varying hertz levels for alternating current). According to the study, the main systems in use are 15 kV 16.7 Hz AC, applicable to Germany, Austria, Switzerland, Sweden and Norway; 25 kV 50 Hz AC in Northern France, Portugal and in some parts of Belgium, Netherlands and Luxembourg; 3 kV DC in Italy, Russia, Poland, Spain and Belgium and finally 1.5 kV DC in Southern France and the Netherlands. At this stage, there is no plan at EU level to unify existing voltage systems, although the use of alternating current is mandated for new high-speed rail lines[102].

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[97] Annex II of the ETS lists the greenhouse gases; CO2, methane and nitrous oxide are relevant to road transport. In the Commission Handbook, these gases are treated as climate costs, and there is no overlap with what the Handbook considers to be air pollution.

[98] Directive 1999/62/EC of the European Parliament and of the Council of 17 June 1999 on the charging of heavy goods vehicles for the use of certain infrastructures, OJ L 187, 20.7.1999, pp. 42–50.

[99] Article 17(1) of Regulation (EU) 2024/1679 of the European Parliament and of the Council of 13 June 2024 on Union guidelines for the development of the trans-European transport network, amending Regulations (EU) 2021/1153 and (EU) No 913/2010 and repealing Regulation (EU) No 1315/2013, OJ L, 2024/1679, 28.6.2024. See: https://eur-lex.europa.eu/eli/reg/2024/1679/oj/eng.

[100] https://transport.ec.europa.eu/news-events/news/commission-moves-towards-military-schengen-and-transformation-defence-industry-2025-11-19_en.

[101] Proposal for a Regulation of the European Parliament and of the Council on establishing a framework of measures to facilitate the transport of military equipment, goods and personnel across the Union {SWD(2025) 847 final}, Article 32(1). See: https://transport.ec.europa.eu/document/download/4557a31a-0444-4489-a26f-2ef156f10d9f_en?filename=COM_2025_847.pdf.

[102] See Commission Regulation (EU) No 1301/2014 of 18 November 2014 on the technical specifications for interoperability relating to the energy subsystem of the rail system in the Union, OJ L 356 12.12.2014, p. 179, Section 4.2.3. A consolidated version is available here: https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX%3A02014R1301-20230928.

If rolling stock is equipped with multi-voltage systems (which adds cost), switching to a different voltage system may cost 5-10 minutes, reducing capacity. If not, a switch of rolling stock is required, adding significantly greater costs and delays[103].

Problem driver 6: State aid rules not suitable to creating modal shift

The current State aid legal framework does not sufficiently empower Member States to invest in SLT and generate modal shift, because (i) the scope of the rules is too narrow, (ii) the compatibility conditions are too strict, and (iii) the administrative burdens are high, in particular because every measure has to be notified.

First, the scope of the RGL is too narrow because it excludes types of aid and modes of transport that contribute to modal shift. The current RGLs only cover (i) the rail sector, to the exclusion of IWW transport and short-sea shipping; (ii) operating and interoperability aid, to the exclusion of other kinds of investment aid such as aid to facilities and private sidings; and (iii) transport operators (i.e. railway undertakings), to the exclusion of transport organisers such as freight forwarders and logistics companies.

In the public consultation, 64.8% of respondents[104] considered that the scope of the RGL should include other pivotal actors such as IWW transport operators (with clear majorities of public authorities, railway undertakings and civil society in favour). The public consultation also confirmed that the absence of codified rules for State aid to facilities and infrastructure (91% of those expressing a view) is considered a problem by stakeholders. All categories of respondents (business associations, public authorities, civil society and individual businesses) shared this view. Of the fifteen stakeholders[105] providing feedback on the IIA, 7 specifically mentioned in their replies that they welcome the proposed broadening of the scope of the rules to cover other actors involved in the multimodal chain, such as logistics operators[106].

The analysis of past decision practice confirms that these other types of aid and beneficiaries are important contributors to modal shift. Out of the about 258 decisions issued between 2008 and 2024 as regards SLT, a significant proportion have fallen outside the scope of the RGL (20% of all cases concern IWW, another 20% concern facilities and private sidings and 3.3% the acquisition of vehicles, all of which fall outside the scope of the RGL).

The fact that compatibility criteria for the above-mentioned measures are not set out in the RGLs or other instruments and are not readily available for Member States to apply adds to legal uncertainty and administrative burden, since it makes it necessary for Member States to research existing decisional practice and how it has evolved over time.

Article 93 TFEU provides that aid in the form of public service compensation for land transport shall be compatible with the internal market. The rules on public services in the land transport sector set out in Regulation 1370/2007 apply only to passenger transport, while the existing Commission decision and framework for services of general economic interest ('SGEI')[107] do

[103] European Union Agency for Railways, Report "Cross-border rail transport potential", 12 December 2022: https://www.era.europa.eu/system/files/2022-12/20225455_PDFA2A_TR0522377ENA_002.pdf.
[104] 9 public authorities, 6 business associations, 18 companies, 3 EU citizens, 4 NGOs, 1 academic institution, 1 trade union and 4 other respondents.
[105] 7 business associations, 3 companies, 2 EU citizens, a research institution and 2 other respondents.
[106] 3 business associations, 1 regional public entity, 1 navigation authority, 1 company and 1 EU citizen.
[107] Commission Decision of 20 December 2011 on the application of Article 106(2) of the Treaty on the Functioning of the European Union to State aid in the form of public service compensation granted to certain

not apply to land transport. Rail freight is thus one of the few (if not the only) economic sectors with no secondary legislation on how to assess compensation for public services under State aid rules. There has so far only been one decision[108] adopted as regards rail freight PSOs.

Respondents to the public consultation were split as regards the rules for rail freight public services: while the majority (32)[109] of respondents abstained from giving an opinion, 16 were in favour of introducing State aid rules regarding rail freight public services[110] and 23 against[111].

Second, the compatibility conditions of the RGL are too strict to enable a level playing field between SLT and road transport.

For example, to address the market failures faced by operators implementing interoperability investments, the RGL in section 6 allow in principle aid up to a threshold of 50% of the interoperability investment costs (so-called eligible costs; other conditions also apply)[112]. However, this aid intensity appears to have been insufficient, and the Commission has accepted aid intensities for interoperability investments higher than 50% in at least 12 cases, in some cases even up to 100%.

The consultations confirmed the inadequacy of the current rules. In response to the IIA, 20% of the stakeholders (3 out of 15) noted, without being asked specifically about this topic, that current aid intensities[113] are too low, calling for an aid intensity of 100% for interoperability aid[114]. The public consultation confirmed this view with 67% of respondents considering the interoperability aid intensity too low and 66% considering the operating aid intensity too low[115].

Another example are the rules contained by the RGL that allow to address the market failure created by the lack of internalisation of external costs. Specifically, the RGL allow aid up to 50% of the avoided external costs[116] and 100% of the additional infrastructure costs, with a combined ceiling of 30% of the total cost of rail transport (other conditions also apply).

In their response to the public consultation, stakeholders considered that these aid ceilings are insufficient to make rail and IWW transport competitive vis-à-vis road transport: 80% of the

undertakings entrusted with the operation of services of general economic interest, OJ L 7, 11.1.2012. Communication from the Commission — European Union framework for State aid in the form of public service compensation, OJ C 8, 11.1.2012, ('the SGEI Framework'). Under the general SGEIs principles, Member States may entrust an undertaking with a public service obligation to the extent that there is a genuine need for the service, which is not being provided or not provided satisfactorily (e.g. in terms of price or quality) by undertakings operating under normal market conditions.

[108] Decision of 24 November 2023 in case SA.32953 Italy: State aid to Trenitalia in form of compensation for a public service obligation in the rail freight sector, OJ L, 2024/2860, 18.11.2024.

[109] 3 business associations, 10 public authorities, 7 companies, 2 trade unions, 1 academic institution, 3 EU citizens, 3 NGOs, 3 other respondents.

[110] 3 business associations, 2 public authorities, 8 companies, 1 trade union, 1 NGO, 1 other respondent.

[111] 6 business associations, 4 public authorities, 10 companies, 1 NGO, 2 other respondents.

[112] Details of the compatibility conditions of section 6 of the RGL are set out in Annex 10.

[113] An aid intensity is a way to calculate the maximum permissible aid amount as a percentage of the total eligible cost. For example, an investment measure with a maximum aid intensity of 50% means that aid for an investment of EUR 10 million can reach a maximum of EUR 5 million, i.e. 50% of the investment costs of said investment.

[114] 2 business associations, 1 company.

[115] 9 business associations, 18 companies, 10 public authorities, 1 academic institution, 2 EU citizens, 2 NGOs, 2 trade unions, 4 other respondents.

[116] Higher percentages can be accepted based on specific justification, so far accepted in four decisions.

respondents (56 out of 70)[117], including majorities across all categories of respondents, considered that the total cost ceiling was too low.

The study[118] corroborates the stakeholder views. It finds that the 50% threshold for the external cost differential that can be covered by aid would, in most analysed Member States[119], not be sufficient to cover the cost differential between rail and road freight.

Finally, industry stakeholders and Member States have regularly called for the introduction of a block exemption[120], which exists for most other sectors, to reduce the administrative burdens associated to the notification procedure. Each notification procedure requires multiple exchanges between the Commission services and Member State authorities to gather the necessary data with a view to ascertaining that the compatibility criteria are satisfied. Industry faces uncertainty and delays, resulting in opportunity costs.

Yet the Commission has a long-standing practice concerning certain support measures for SLT with limited distortion risk. As established in the Fitness Check, certain categories of cases concerning aid to rail and other SLT sectors have routinely led to non-objection decisions (in particular aid for external costs reduction, aid for infrastructure use and aid for interoperability, but also aid for facilities such as intermodal terminals and private sidings). For such measures, compatibility conditions could be laid down in a block exemption.

More information on the potential administrative savings of a block exemption, including opportunity cost savings for businesses, is provided in Annex 8. According to the data in Annex 8, over the 2022-2024 period the opportunity cost savings to businesses of a block exemption would have been equivalent to a 0.6% increase in State aid spending.

2.4. How likely is the problem to persist?

The problem identified in Section 2.1 will persist unless specifically addressed among others by the current revision of the State aid rules, i.e. the present initiative.

As set out in Section 2.1, the modal share of SLT is low and has been stagnating. According to the 2022 Strategic Foresight Report[121], the demand for transport will continue to grow in view of forecasted population growth and higher living standards. In the EU, road passenger and freight transport are expected to grow by around 21% and 45% respectively by 2050.

Some recent market or policy developments could help to increase market efficiencies and bring about market-driven investments. For example, the effects of the obligatory tendering of public service contracts in the rail passenger transport sector will unfold over the next years, when the last directly awarded contracts will run out. It will give the possibility to all railway undertakings to bid for public service contracts and is likely to attract some private investments in the passenger rail transport sector. Another example is the introduction of the ETS2, i.e. an emission trading system for the road sector, to be introduced at the earliest in 2027. ETS2 will

[117] 22 companies, 9 business associations, 10 public authorities, 1 academic institution, 5 NGOs, 2 EU citizens, 2 trade unions, 5 other respondents.
[118] Pages 151-155.
[119] Austria, Czechia, Germany, Italy, Lithuania, Poland, Romania, Slovakia and Spain.
[120] Fitness Check, Annex 8, p. 139 (footnote 43).
[121] Communication from the Commission to the European Parliament and the Council, 2022 Strategic Foresight Report, COM 2022 289 final.

increase the costs of road transport and could conversely increase the competitiveness of more sustainable transport modes, which could thus attract more private investments.

However, these regulatory and market developments are not a panacea. The profit margins in the rail sector are low, so the obligation to tender public service contracts is not likely to attract massive investments in the sector. As to the ETS2, its actual implementation start is uncertain, as outlined in section 1.2. In addition, this system would only help address a limited part of the market failure regarding the non-internalisation of external costs, since it would help internalise only climate costs.

Therefore, the market inefficiencies relating to a large part of the external costs, as well as the coordination and access to finance issues that hamper the development of SLT (not addressed by any ongoing or planned regulatory developments) are expected to continue.

State aid, designed to be limited to the minimum necessary, is complementary to market-driven investments. It is expected to crowd in private investment by being granted when necessary to unlock private investments. For example, the definition of the amount of permissible aid to investments in facilities and private sidings will be based in principle on a funding gap[122] analysis checking that aid is indispensable and that it is limited to what is necessary for the investment to go ahead. Similarly, limiting the aid for the acquisition of vehicles only to guarantees means that the aid beneficiaries still must find financing on the market and pay it off themselves.

As regards specifically the regulatory failure related to the sub-optimal design of State aid rules applicable to SLT, this would continue absent the initiative. First, even though additional types of aid and aid to different actors than the ones specified in the RGL have been approved directly under Article 93 of the Treaty, the full set of measures and actors eligible for aid would not be codified and would therefore remain untransparent for Member States and companies.

Second, as regards the conditions applied for assessing compatibility, for those measures falling within the RGL, no adaptation would be possible without a modification of the RGL. Aid possibilities would therefore remain insufficient. Moreover, for measures not falling within the RGL today, the only option outside the proposed revision of the rules would be the adjustment of case practice on a case-by-case basis. This would be burdensome and untransparent for Member States and companies. Moreover, over time it would risk generating an inconsistent case practice to the detriment of the level playing field in the internal market and competition.

Finally, with respect to the administrative burden, absent a specific dedicated block exemption and codification of rules for a larger set of measures in the revised GLs, the current situation of an obligation to notify virtually all State aid measures in the sector and to carry out assessments on the basis of either outdated rules or a variety of case practice, which developed over the years, will keep the administrative burden high, raising the cost of aid schemes and discouraging Member States from putting them into place.

3. WHY SHOULD THE EU ACT?

As indicated in section 1.1, the Commission has exclusive competence for setting out the conditions under which State aid may be considered to be compatible with the internal market. Therefore, by definition, action at national level is not possible.

[122] A funding gap calculation estimates all expected revenues and costs of an investment, discounting them to the current date to determine which amount of money is missing to make the investment sufficiently attractive for a private investor to engage in it. The missing amount of money is called the funding gap.

4. OBJECTIVES: WHAT IS TO BE ACHIEVED?

4.1. General objective

The general objective of the revision of the RGL and the adoption of the TBER is to increase the modal share of SLT, in line with Green Deal and SSMS targets.

4.2. Specific objectives

The initiative will contribute to the achievement of the general objective by pursuing the following four specific objectives:

Specific objective 1: Reduce the external cost gap between road and SLT (SO1)

As described in section 2.3, the most severe market failure affecting the competitiveness of SLT is the lack of internalisation of external costs in land transport. The revised rules concerning State aid to SLT should contribute to reducing the external cost gap between road and SLT. The improvement of the overall competitiveness of SLT should then also contribute to the other specific objectives; for example, a modal shift generated by cheaper SLT services could increase demand for facilities, lowering the barrier to profitability for such infrastructure.

Specific objective 2: Accelerate the rollout of interoperability technologies (SO2)

The revised rules on State aid to SLT should contribute to incentivising a faster and wider rollout of interoperability technologies, to increase productivity and safety while lowering costs. The wide adoption of interoperability technologies such as ERTMS and DAC could increase productivity and lower costs significantly. Fewer separate systems e.g. for controlling and signalling could increase economies of scale (more unified vehicles in manufacturing) and lower vehicle costs, which would facilitate access to vehicles for SMEs and new entrants, thus creating synergies with SO3. The wide adoption of DAC would lower siding and shunting costs and, ceteris paribus, increase demand for such operations, which would lower the barrier to profitability of infrastructure such as shunting yards and improve access to facilities (SO4).

Specific objective 3: Improve access to finance for SMEs and new entrants (SO3)

The revised rules on State aid to SLT should contribute to level the playing field between large enterprises and incumbents, on the one hand, and new entrants and smaller companies, on the other, by improving access to finance for the latter. Achieving this objective would also contribute positively to SO2 since it facilitates fleet renewal, and newer vehicles are more likely to be equipped with interoperability technologies such as ERTMS.

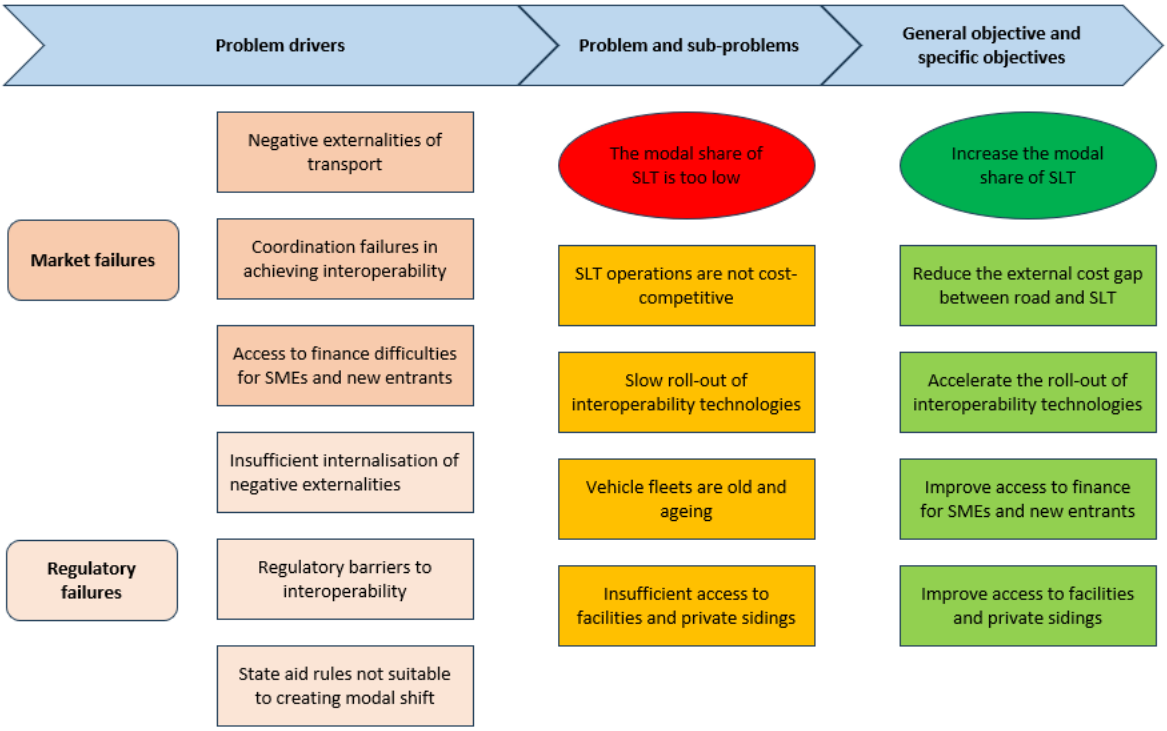
Specific objective 4: Improve access to facilities and private sidings (SO4)

The revised rules on State aid to SLT should contribute to addressing bottlenecks in SLT infrastructure by improving access to facilities and private sidings.

4.3. Intervention logic

An overview of the problems, the problem drivers and the general and specific objectives, relevant to the present initiative, is provided in Figure 5.

Figure 5: Intervention logic



5. WHAT ARE THE AVAILABLE POLICY OPTIONS?

As set out in Section 2 and summarised in Figure 5, the low modal share of SLT is explained notably by interoperability challenges when operating across borders, the typically lower cost of road transport compared to SLT operations, a lack of quality or availability of facilities and ageing fleets. As evidenced in Section 1.1, there is case practice in all these areas since 2008.

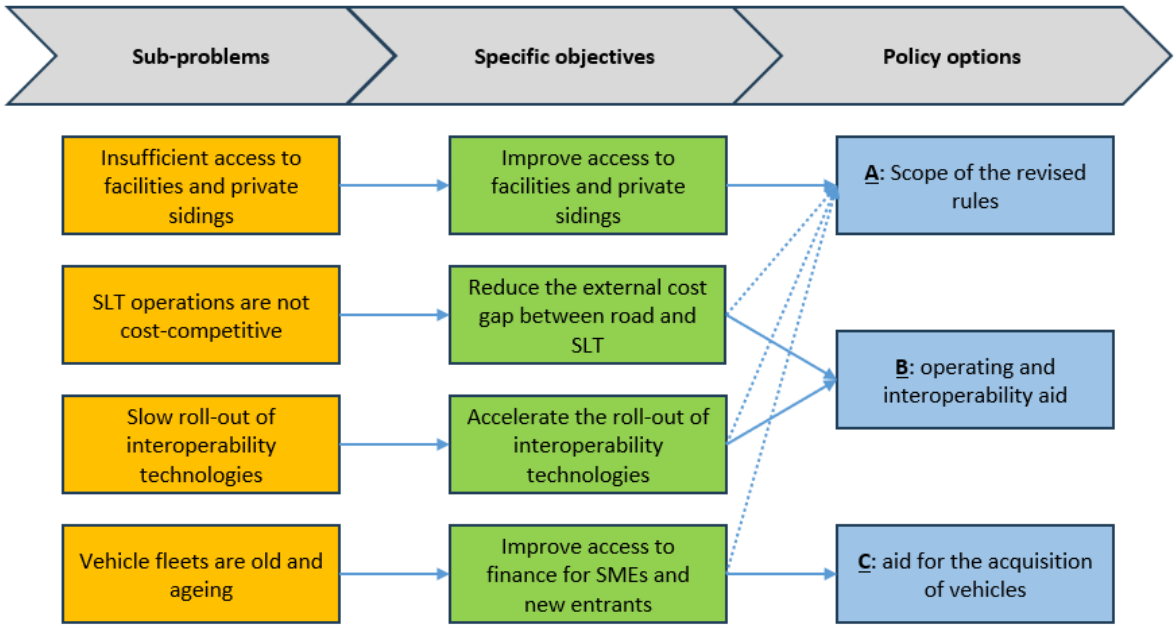
As explained in Section 2.3, there are several market and regulatory failures at the root of this problem. The fact that the RGL do not sufficiently enable Member States to grant State aid which contributes to a modal shift towards SLT is only one of these failures.

As explained in Section 2, State aid rules can tackle drivers unrelated to State aid rules only partially. It is not in the remit of this Impact Assessment Report to assess whether the recourse to State aid is the most efficient means to increase modal shift, as compared to other solutions. This is a broader policy question on which EU policy makers have taken a position, notably in the SSMS, and will continue to do so, as appropriate. This report assesses the options available for the design of State aid rules applicable to the SLT sector, so that they contribute to the modal shift, within the framework of the intervention logic.

5.1. Policy options and the intervention logic

Different option bundles have been defined around the problems and the corresponding specific objectives, as depicted in Figure 6, relating to the scope and compatibility conditions of the revised GLs and TBER and taking into account the case practice.

Figure 6: Linking the options to the problem and specific objectives



Option Bundle A determines the scope, i.e. the set of activities and investments for which compatibility conditions will be laid down in the new rules and is in a way a "precondition" for Option Bundles B and C, which deal with the specific design of those conditions. Option Bundle B sets out different options for the compatibility conditions for those aid categories already contained in the RGL. These are operating and interoperability aid measures. Option Bundle C relates to aid for the acquisition of vehicles, a newly codified aid category under the initiative. Operating and interoperability aid measures have as their primary purpose (but by no means as their only impact) to address the cost competitiveness between SLT and road transport, while aid for the acquisition of vehicles has as its primary purpose (but not as its only impact) to reduce the access to finance issue and rejuvenate the vehicle fleets.

The choice of the compatibility conditions for these types of aid is the most significant issue and different policy choices are possible, as confirmed by stakeholder reactions (public authorities, business associations and individual companies) in particular during the targeted consultation[123]. Outside of these aid categories, no significant policy options for other types of aid were identified. This is true in particular for aid to facilities and private sidings, as case practice and the evidence gathered in the framework of the initiative including the consultations is sufficiently homogeneous to determine the appropriate compatibility conditions and does not require any policy choices. The same is true for other ancillary categories of aid, for which aid intensities in the case practice are consistent.

5.2. What is the baseline in relation to which options are assessed?

The baseline is that the RGL would continue to apply and there would be no block exemption for aid for the coordination of transport.

In the baseline scenario, there would be no codification of compatibility conditions in line with case practice and no block exemption for such aid measures. The RGL would continue to spell

[123] Annex 2, Point 4.4.

out compatibility conditions only for three types of measures (aid for external costs reduction, aid for infrastructure use and aid for interoperability) and only for railway undertakings.

Under the baseline, Member States can provide operating aid in the form of aid for infrastructure use (this aid can cover 100% of the difference in infrastructure costs between less and more sustainable transport modes) and aid for external costs (this aid can cover 50% of the external cost difference between less and more sustainable transport modes)[124]. For interoperability aid, the RGL presume that aid intensities not exceeding 50% of the eligible costs are justified but provide for the possibility to exceptionally accept higher aid intensities upon due justification (12 precedents approving aid intensities between 85 and 100%). These parameters from the RGL applicable to operating and interoperability aid would be mirrored in State aid decisions directly under Article 93 TFEU concerning aid provided to beneficiaries other than railway undertakings.

As regards investment aid falling outside the RGL, the maximum aid allowed for investments in facilities would be defined based on a funding gap analysis, as has been consistently the case in the past (with the exception of very few outliers in particular in the more distant past, which relied on aid intensities). For private sidings, the aid amount would be defined both based on a maximum aid intensity and a funding gap analysis, as in the past aid intensities were regularly applied, but in recent years a funding gap analysis was almost consistently applied. The aid intensity would always be assessed in addition to the funding gap analysis but would not constitute the determining factor for the level of the aid and very high aid intensities, even above 80%, would be accepted, when the funding gap analysis justifies them, in line with the most recent case practice.

As concerns aid for the acquisition of vehicles, aid intensities between 20 and 50% would be approved, while for aid for the modernisation and adaptation of vehicles and equipment, aid intensities ranging between 20 and 40% would be accepted, as in most cases in the past.

According to the "EU Reference Scenario 2020"[125], rail freight traffic is expected to grow by 38.4% by 2030 and by 83.1% by 2050, compared to 2015 levels. IWW freight traffic is expected to grow by 18.8% and 36.6% respectively. While both passenger and freight rail traffic are projected to grow faster than road transport, driven in particular by the gradual completion of the TEN-T network, the projected growth rates of rail fall well short of the SSMS freight transport targets, namely to grow by 50% by 2030 and double by 2050. The prognosis is even worse in the IWW sector, as IWW is expected to grow less than road and fall well short of the SSMS targets of growing by 25% by 2030 and by 50% by 2050.

The EU Reference Scenario 2020 provides a projection of the likely future developments, for example with respect to modal shares, absent the implementation of any policy initiatives post 2020. Thus, the EU Reference Scenario 2020 does not consider initiatives which were adopted by the Commission after 2020, which could be relevant in this context. For example, the EU's TEN-T policy is a key instrument for planning and developing a coherent, efficient, multimodal, and high-quality transport infrastructure across the EU and could help address the issue of insufficient access to facilities. Similarly, the ETS2 aims at internalising at least part of the

[124] For both types of operating aid, the RGL impose an additional cap: the aid must not exceed 30% of the total cost of transport. The notion 'total cost of transport' is however unclear and has not been applied fully consistently in the case practice.

[125] The EU Reference Scenario 2020 is the baseline scenario, based on the policy framework in place in 2020,on which specific policy scenarios and variants used to assess options informing the policy initiatives in the European Green Deal (see footnote 13) have been developed. https://energy.ec.europa.eu/data-and-analysis/energy-modelling/eu-reference-scenario-2020_en.

external costs (climate costs) of road transport thereby helping to address the issue of lesser competitiveness of SLT. As set out in section 1.2, the present initiative is complementary to these other initiatives, but many factors influence the modal share of SLT and it is complex to isolate the effect of any specific intervention. This has been taken into account in section 9. Still, it is expected that these other initiatives only partially address the problems and problem drivers, as set out in section 2.3.

While the evolution in modal shares of various transport modes is therefore influenced by a wider economic, policy and regulatory context, the baseline scenario in the present initiative would result in a lagging modal shift and in State aid rules not contributing to the SSMS objectives being met.

5.3. Policy options: scope of the revised Guidelines and TBER (A)

The design of the options bundle A takes into account the conclusions from the Fitness Check (Section 1.3), the case practice and further stakeholder consultations (Section 2.3.2 and Annex 2) that the current rules are too narrow. The starting point for the design of the options in bundle A is the status quo (revised GLs limited to the forms and types of aid covered by the RGL, no block exemption). With that starting point, different possibilities of enlargement of the scope of the rules were envisaged to address the stakeholders' input and case practice covering further areas and types of aid than those covered by the RGL and this in an increasing order of magnitude, from the narrowest overall (A1) to the realistically widest (A3).

5.3.1. Option A1: Scope of the GLs extended to cover current case practice, TBER limited to measures under the RGLs

Under **Option A1** the scope of the revised GLs would be extended to cover (i) transport undertakings of all SLT modes (in addition to rail: IWW and multimodal transport, including with a short-sea shipping leg); (ii) shippers and transport organisers who contract services from those transport undertakings; and (iii) other types of aid for all SLT modes, where there is case practice or a clearly identified need for State aid. As substantiated by stakeholder input and the study, this notably includes start-up aid for passenger night trains and in the freight segment, aid for facilities and private sidings, and aid for the acquisition of vehicles. This is the narrowest scope of the revised GLs that could be envisaged, considering the significant case practice that has developed in the SLT sector outside the RGL[126]. The TBER would only block exempt those aid measures in the rail sector for which there is experience with compatibility criteria under the RGL, i.e. operating aid for external cost and infrastructure use and investment aid for interoperability. Only for these categories of aid there is a clear legal framework, which has ensured full consistency.

5.3.2. Option A2: Scope of both the GLs and the TBER to cover current case practice

Under **Option A2**, the scope of the revised GLs would be the same as under Option A1. The block exemption would cover all aid measures where the Commission has developed a case practice, even if that case practice is not as abundant or homogenous as in the case of aid covered by the RGL. The scope of the TBER under Option A2 would cover the same sectors and types of measures as the scope of the revised GLs, as supported by virtually all stakeholders

[126] Section 2.3 and Annex 7.

during the consultation on the draft legal texts. It would set notification thresholds, above which measures would have to be notified under the revised GLs.

5.3.3. Option A3: Scope of both the GLs and the TBER to cover current case practice and rules for public services for rail freight in the revised GLs

Under **Option A3**, the TBER and the revised GLs would have the same scope as under Option A2. The revised GLs would additionally contain explicit rules on public services in the rail freight sector to clarify how the general principles governing compensation for the discharge of SGEIs apply to rail freight. This is one of very few economic sectors with no secondary legislation on how to assess compensation for public services under State aid rules[127]. Despite the fact that only one decision on this subject has been approved in the past, some stakeholders (in particular Member States) put this option forward during the consultation activities on the initiative.[128]

The inclusion of rules on public services in the rail freight sector in Option A3 reflects the way of constructing the A options as concerns the scope (namely based on the case practice and enlarging the scope of the rules in an increasing order of magnitude). It also reflects the more limited stakeholder feedback on this point, despite consultation on public services from the inception of the initiative.

An overview of how the A Options were constructed is depicted in Table 3.

Table 3: Overview of options under Option bundle (A)

Baseline	**A1**	**A2**	**A3**
GLs limited to operating and interoperability aid for railway undertakings	**GLs extended to case practice**	GLs extended to case practice	GLs extended to case practice
No **block exemption**	**Block exemption limited to RGL**	**Same scope for block exemption and revised GLs**	Same scope for block exemption and revised GLs
No rules on **rail freight PSOs**	No rules on rail freight PSOs	No rules on rail freight PSOs	**Rules on rail freight PSOs in revised GLs**

5.4. Policy options: compatibility conditions for operating and interoperability aid (B)

The B Options concern the compatibility conditions for operating and interoperability aid measures under the revised GLs and TBER. They span from the most restrictive conditions that could be envisaged in Option B1 to the most permissive conditions in Option B3.

[127] Section 2.3.
[128] Annex 2, Points 4.3 and 4.4.

5.4.1. Option B1: Higher aid intensities and a single operating aid category, with strong safeguards

First, **Option B1** would simplify the operating aid assessment and increase the aid intensity of both operating aid and interoperability aid, based on experience with case practice**.** Aid for infrastructure use would no longer be a separate operating aid category, as in the past it proved difficult to assess in case practice and Member States often notified aid for infrastructure costs as aid for external cost. Instead, there would be one methodology to define the amount of operating aid that could be granted to reward SLT for the lower external costs it causes.

As concerns aid intensities, the TBER would codify the existing RGL cap for external cost aid, with an aid intensity cap of 50%. The aid intensity cap under the revised GLs would be between 50 and 100%, reflecting on the one hand the need to further close the external cost gap between SLT and road transport, as SLT modal shares are low and stagnating, and on the other hand the concern that aid should not go *beyond* compensating SLT for this cost gap[129]. This was reflected in stakeholder responses to the targeted consultation on the draft revised GLs, where 18 stakeholders (including several Member States, as well as a rail association and two railway undertakings) called for higher aid intensities. The same rules would apply also to IWW, building directly on the case practice since 2008.

As concerns the aid intensity for interoperability aid, in view of the acute market failures[130], under Option B1 higher aid intensities than the current 50% would be set, under both the revised GLs and the TBER, with aid intensities up to 90% for key interoperability technologies, building on 12 precedents in the case practice, where aid intensities between 85 and 100% were accepted. This was also advocated by 9 stakeholders[131] in the targeted consultation on the draft revised GLs, where suggested aid intensities for ERTMS and DAC varied between 90 and 100%. Moreover, a closed list of the technologies profiting from these aid intensities as defined based on case practice is specifically laid down for the TBER.

Second, safeguards would be introduced to ensure the proportionality of the higher aid intensities.

For operating aid, Member States would have to address capacity constraints on the infrastructure of the supported SLT mode (for example access to train paths or transshipment terminals). Such constraints would prevent the expansion of SLT even if it was cost competitive compared to road and are therefore liable to impede modal shift making the aid ineffective. Directive 2012/34/EU establishing a single European railway area[132] ('Single European Railway Area Directive') defines what "congested infrastructure" is and mandates a capacity analysis and capacity enhancement plan in its Articles 50 and 51.

In addition, there would be distance limits under both the revised GLs and the TBER, below which road transport would be presumed to be the preferred transport mode. As rail and IWW

[129] Indeed, the aid intensity should be lower than 100% in particular because beneficiaries of operating aid may also benefit from investment aid. While that aid would cover different eligible costs, it would still seem appropriate to ensure that overall, the support which society provides to SLT does not exceed the benefits that SLT provides in terms of avoided external costs.
[130] Section 2.3.1.
[131] 4 public authorities out of 29 (13.8%) from DE, BE, NL, FR, 1 company out of 12 (8.3%), 2 business association out of 41 (4.9%) (2 rail associations), 1 trade union out of 2 (50.0%).
[132] Directive 2012/34/EU of the European Parliament and of the Council of 21 November 2012 establishing a single European railway area (recast), OJ L 343, 14.12.2012, pp. 32–77.

transport becomes more competitive with increasing distances[133], above these limits, Member States would have to demonstrate under the revised GLs that road is a viable alternative to the sustainable transport mode and that therefore SLT operations above these limits should also be eligible for aid. Operations above these limits would be excluded from the TBER altogether. However, SWL operations would be exempted from this safeguard, since those tend not to be competitive with road transport regardless of the distance covered, as confirmed by the study and consultation activities[134].

Finally, beneficiaries would be required to make all relevant information on the aid received publicly available to raise awareness about the measures available to reduce the competitiveness gap between SLT modes and less sustainable competing alternatives. This safeguard would i.a. ensure that all players, including smaller or newer companies, are informed about the aid measure and reduce the information gap between these players and large companies or incumbent operators, which would contribute to levelling the playing field in SLT.

For interoperability aid, the set aid intensities could be exceeded under the revised GLs when the higher aid intensity is confirmed by a funding gap analysis. In case the funding gap shows that a higher aid intensity is needed, this would be systematically presumed to be proportionate. While the Commission has accepted aid intensities higher than 50% for interoperability aid in 12 past cases, under Option B1 it would be spelled out in the rules that this is possible by demonstrating a higher funding need via a funding gap analysis, creating more clarity and transparency for Member States.

5.4.2. Option B2: Higher aid intensities and a single operating aid category, with limited safeguards

Option B2 has a more generous approach to the compatibility conditions for the operating and interoperability aid categories, focusing on increased permissible aid amounts while keeping safeguards to a minimum. It differs in two significant aspects from Option B1:

- For operating aid, it dispenses with the break-even distance limits, staying closer to the case practice, where such distance limits were not applied in the past.
- For interoperability aid, there would be no need for a funding gap analysis to go beyond the 50% aid intensity and up to even 90% for key interoperability technologies (such as ERTMS and DAC).

The choice not to include break-even distance limits is significant. First, despite the simple rationale to set distance thresholds to ensure that no aid is granted to SLT operations that would be competitive without aid, the actual competitive relationship between SLT and road transport is not linear and depends on individual operational specifications, undertakings and Member States, meaning that there are various risks of inadvertently introducing distortions. Second, as a safeguard related to individual characteristics, the administrative burden implications are significant. Third, the majority of aid approved in the SLT sector is operating aid[135], to which this safeguard refers. Any impact is therefore magnified by the large amount to which it applies. Fourth, such distance limits were never applied in the case practice and the Commission has no experience with them. Fifth, when the Commission services proposed the inclusion of such limits in the TBER and draft revised GLs as part of a targeted consultation of all interested stakeholders on the draft texts, this was the most controversial issue of all with 41 stakeholders

[133] Section 2.1.1.
[134] Annex 2, point 4.3.
[135] Annex 7.

contacting the Commission to express their opposition, amongst which public authorities from 11 Member States and 28 businesses and business associations[136], which pointed to the fact that the proposed safeguard was both unsuitable to attain its purpose and entailed a significant administrative burden. These comments were taken into account in devising Option B2.

For core interoperability investments, while very high aid intensities have been accepted in the Commission's case practice in some cases, under the revised rules compatibility would be systematically presumed for such measures without need for a funding gap analysis, which means at the same time a faster treatment of cases and an alleviation of administrative burden. This goes to the heart of the issue of strict compatibility conditions in the RGL not sufficiently supporting the roll-out of key interoperability technologies.

5.4.3. Option B3: Higher aid intensities and aid for infrastructure use, minimal safeguards

Option B3 would have both higher aid intensities for external cost aid (as in Option B2) and keep the category of aid for infrastructure use from case practice as a separate operating aid category, without a cumulative 30% of total cost aid ceiling and without any additional safeguard compared to the baseline. This has been suggested by some Member States and companies or business associations during the consultation activities[137]. As regards interoperability, Option B3 is equivalent to Option B2.

An overview of how the B Options were constructed is depicted in Table 4.

[136] Annex 2, Point 4.4.
[137] Annex 2, Point 4.4.

Table 4: Overview of options under Option bundle (B)

Baseline	B1	B2	B3
Operating aid			
50% external cost difference	50%-100% (LMTG), 50% (TBER)	50%-100% (LMTG), 50% (TBER)	50%-100% (LMTG), 50% (TBER)
100% infrastructure cost difference	No separate category	No separate category	100% infrastructure cost difference
30% total cost ceiling	No total cost ceiling	No total cost ceiling	No total cost ceiling
No Distance limits	Distance limits	No Distance limits	No Distance limits
No Capacity constraint safeguard	Capacity constraint safeguard	Capacity constraint safeguard	No Capacity constraint safeguard
Interoperability aid			
50% aid intensity	50% standard aid intensity and 90% for key technologies	50% standard aid intensity and 90% for key technologies	50% standard aid intensity and 90% for key technologies
No Funding gap required	Funding gap required (when exceeding 50%)	No funding gap required	No funding gap required

5.5. Policy options: compatibility conditions for aid for the acquisition of vehicles (C)

The C Options consider different combinations in terms of the form of the aid and the potential beneficiaries of aid for the acquisition of vehicles, which have been authorised in past cases or put forward by stakeholders during the consultation activities[138]. They imply different trade-offs in particular concerning the competitiveness of the SLT sector and the level playing field within the SLT sector.

5.5.1. Option C1: Acquisition of vehicles – Guarantees to smaller and newer companies

Under **Option C1**, investment aid for the acquisition of vehicles would be limited to aid in the form of guarantees and only smaller companies and new entrants would be eligible for aid. The rationale would be to address the high entry barriers these companies face for the acquisition of vehicles and to promote a level playing field within SLT sectors, as mentioned by one public authority, one business association representing new entrants and a new entrant during the targeted consultation on the draft revised GLs[139].

[138] Annex 2, points 4.1, 4.3, 4.4 and 4.5.
[139] Annex 2, point 4.4.

The parameters of the guarantees have been designed to equate to an aid intensity of 20-30% of the value of the vehicle that is being acquired, which is the lower range of aid intensities observed in the case practice (Section 5.2).

5.5.2. Option C2: Acquisition of vehicles - Different types of aid to smaller and newer companies

Under **Option C2**, investment aid for the acquisition of vehicles would be limited to smaller companies and new entrants (as under Option C1) but it would include, in addition to guarantees, also loans and grants with a 20-30% aid intensity, in line with the Commission's case practice, thereby allowing further types of support compared to Option C1.

5.5.3. Option C3: Acquisition of vehicles – Guarantees to all companies

Under **Option C3**, investment aid for the acquisition of vehicles would be open to all undertakings, but only in the form of guarantees. The idea under this option would be that the aid addresses the specific market failure identified under Option C1, i.e. the difficulty to access financing necessary to acquire new vehicles, while keeping the set of beneficiaries in line with today's case practice. This widening of the scope of beneficiaries was proposed by around one quarter of stakeholders[140] during the targeted consultation on the draft revised GLs[141].

The parameters of the guarantees would be designed in the same way as under Option C1.

An overview of the C Options is depicted in Table *5*.

Table 5: Overview of options under Option bundle (C)

Baseline	**C1**	**C2**	**C3**
All **aid instruments** (grants, loans, guarantees)	Only guarantees	All aid instruments	Only guarantees
All **types of beneficiaries**	Only smaller and newer companies	Only smaller and newer companies	All types of beneficiaries

5.6. Options discarded at an early stage

Two options that were discarded at an early stage concern (i) the inclusion of maritime transport in the scope of the revised rules and (ii) the inclusion of specific provisions on rescue and restructuring of undertakings in the railway sector in the revised GLs.

Maritime transport

The inclusion of maritime transport in the rules was requested by three public authorities[142] during the targeted consultation. However, State aid to maritime transport does not fall under Article 93 TFEU, which is the legal basis for the proposed rules, but under Article 107(3)(c) TFEU, which allows aid to support certain economic activities. In addition to legal constraints,

[140] 6 public authorities out of 29 (20.72%): BE, DE, FR, PL, RO, Flanders, 12 business associations out of 41 (29.3%), 4 companies out of 12 (33.3%), 1 foundation out of 1 (100%).
[141] Annex 2, point 4.4.
[142] Denmark, Italy and Spain.

the current case practice only includes short-sea shipping when it forms part of multimodal transport solutions that replace unimodal road transport.

There is a specific set of rules which sets the conditions under which aid to maritime transport is justified[143] and which offer many support options to that sector. Furthermore, under Article 107(3)(c) TFEU, the maritime sector can receive State aid under the GBER and under several Commission guidelines[144].

In light of the above, this option was discarded at an early stage.

Rescue and restructuring of undertakings in the railway sector

A second option that was discarded at an early stage concerns the inclusion of derogations from the rules regarding the rescue and restructuring of undertakings in the railway sector. Such an option could have been considered in light of the Commission's investigations into DB Cargo[145] and Fret SNCF (not concluded yet)[146]. Such specific rules would concern for example debt cancellation or other aid for the restructuring of railway undertakings in difficulty.

The RGL provided for derogations for the rail freight sector from the rules laid down in the Rescue and Restructuring Guidelines (the 'R&R Guidelines')[147] until 31 December 2009, by allowing those rules to apply to a freight division of a railway undertaking, and not only the firm as a whole, and they also laid down specific provisions regarding the possibility of debt cancellation for debts incurred prior to 15 March 2001 (applicable to both the freight and passenger segments)[148]. These derogations were justified by a reduced risk of competition distortions given that the passenger rail transport market was not yet liberalised, that debt cancellation applied to debts incurred prior to liberalisation also in the freight segment, and that several railway undertakings had not legally separated their passenger and freight activities.

Both the passenger and the freight segments have meanwhile been liberalised[149] and any deviation from the general R&R Guidelines therefore entails a higher risk of distorting competition. In addition, there is already flexibility in the R&R Guidelines to cater for specific circumstances, as they might occur in the rail sector[150].

Furthermore, it should be noted that:

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[143] Community guidelines on State aid to maritime transport, OJ C 13, 17.1.2004.

[144] In particular, the Regional aid guidelines (Communication from the Commission, Guidelines on regional State aid, OJ C 153, 29.4.2021) provide opportunities to enhance connectivity in remote regions. The high costs of maritime transport services qualifying as SGEI (to be assessed under Article 106(2) TFEU) may also be covered to address disadvantages suffered by islands.

[145] Commission decision of 29 November 2024 in case SA.50952 – State aid implemented by Germany for DB Cargo, OJ L 1167, 30.6.2025.

[146] Commission decision of 18 January 2023 in case SA.61880 – Potential aid to Fret SNCF, OJ C 131, 14.4.2023.

[147] Communication from the Commission — Guidelines on State aid for rescuing and restructuring non-financial undertakings in difficulty, OJ C 249, 31.7.2014.

[148] An overview of provisions under the 2008 RGL is provided in Annex 10.

[149] Section 1.2.

[150] In particular, the R&R Guidelines provide that an own contribution (a significant contribution to the restructuring costs is required from the own resources of the aid beneficiary, its shareholders or creditors or the business group to which it belongs, or from new investors) that does not reach 50% of the restructuring costs may be adequate 'in exceptional circumstances and in cases of particular hardship' (Paragraph 64 of the R&R Guidelines).

- the derogations in the RGL were rarely used, resulting in only three Commission decisions[151].
- there was no clear support for such rules in the public consultation: 23% of stakeholders responding to the questionnaire expressed support, while 26% were against and 51% undecided[152].
- the Commission has limited case practice in applying the R&R Guidelines to the rail sector, with only two decisions adopted under the current R&R Guidelines[153].

In light of these circumstances, this option was discarded at an early stage.

6. WHAT ARE THE IMPACTS OF THE POLICY OPTIONS?

6.1. Methodology

The analysis of the different policy options will mostly be carried out qualitatively. The limited transparency and reporting by Member States of aid to SLT have created data gaps and the State aid expenditure data presented in the annually published State aid Scoreboard excludes most of the aid to railways and other SLT modes[154]. This report presents a multi-criteria analysis with equally weighted criteria. Moreover, it is Member States, rather than the Commission, who determine the actual aid amounts awarded, subject to various considerations, such as budgetary constraints.

Where relevant and possible, some extrapolations from the data relating to past State aid measures have been carried out for the assessment of the impacts of this initiative. Moreover, an estimate of the administrative simplification entailed by the A Options relating to the scope of the block exemption (the part of this revision with the most significant potential impact on administrative burden) has been carried out, including a targeted consultation of Member State authorities. Finally, quantitative data on environmental impacts has been drawn on as well.

Economic and environmental impacts were assessed in detail, as further explained in sections 6.1.1 and 6.1.2 below.

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[151] Commission decision of 13 May 2009 in case SA.26432 – United Kingdom Restructuring of London & Continental Railways and Eurostar (UK) Limited, OJ C 183 of 5.8.2009; Commission decision of 11 November 2010 in case SA.30152 – Belgium Projet d'aide à la restructuration des activités fret de la SNCB / Voorgenomen herstructureringssteun ten behoeve van de goederenactiviteiten van de NMBS, OJ C 327 of 4.12.2010; Commission decision of 16 June 2017 – Bulgaria BDZ Holding EAD SA, BDZ Passenger EOOD and BDZ Cargo EOOD and other measures, OJ L 337 of 19.12.2017.

[152] Among the stakeholders expressing themselves against specific rules were 4 public authorities (1 from Italy, 1 from the Netherlands, 1 from Romania and 1 from Finland), 3 stakeholders representing new entrant railway operators and 2 representing incumbent operators. Among the stakeholders expressing themselves in favour of the inclusion of specific rules were 4 public authorities (1 from Italy, 1 from France, 1 from Hungary and 1 from Latvia), 4 stakeholders representing incumbent railway operators and 2 representing new entrants. Among the undecided stakeholders were 7 public authorities (2 from Italy, 2 from France, 1 from Czechia, 1 from Belgium and 1 from Lithuania), 5 stakeholders representing incumbent railway operators and 2 representing new entrants.

[153] Commission decision of 24 February 2020 in case SA.43549 – Romania Alleged aid to CFR Marfa, OJ L 32 of 29.01.2021, Commission decision of 29 November 2024 in case SA.50952 – State aid implemented by Germany for DB Cargo, OJ L 1167, 30.6.2025 (see footnote 145).

[154] The Commission must publish an annual State aid synopsis or State aid Scoreboard based on the expenditure reports provided by Member States, pursuant to Article 6 of Commission Regulation (EC) No 794/2004 of 21 April 2004 implementing Council Regulation (EC) No 659/1999 laying down detailed rules for the application of Article 93 of the EC Treaty, OJ L 140, 30.4.2004.

The social impacts of this initiative are less tangible, as society and citizens are the indirect albeit ultimate beneficiaries, of the economic and environmental impacts of this initiative. The social impacts have been assessed in particular for the B and C Options[155].

Any effects on digitalisation are limited, as most aid to SLT is expected to continue to be operating aid[156]. These effects are also expected to be indirect, as digitalisation is not an objective of the initiative *per se*. The initiative does have an overall positive influence on digitalisation. Among others, it facilitates aid to investments that can involve digitalisation of SLT, in particular through interoperability aid. Importantly, this initiative does not pose any obstacles to digitalisation. Against this background, the specific impacts on digitalisation have not been further assessed for each option.

Finally, the initiative has no impact on fundamental rights.

6.1.1. Economic impacts

The economic impact of the different policy options will be assessed through their effects on (i) the functioning of the internal market and competition (including various dimensions of competitiveness, where relevant[157]) including the substitution and income effects expected to be generated by the initiative, (ii) the administrative burden on public authorities and related cost savings for businesses and (iii) the position of SMEs. As a rule, State aid rules do not have a direct impact on the administrative burden of businesses, as they do not impose or remove any obligations specifically on businesses. However, businesses can benefit indirectly from administrative simplification, when State aid procedures are accelerated and the support reaches the market faster, generating savings in opportunity costs.

General considerations about the economics of modal shift

Granting subsidies for SLT operations and investments is one way to increase the modal share of SLT. The largest amounts of aid to SLT have so far taken the form of operating aid. The subsidies provided should have led to lower prices charged by SLT operators (rail, IWW), thus incentivising a switch in demand for transport services away from road transport (substitution effect). As prices of SLT drop, a secondary effect could also be an increase in the total volume of transport services used, whether SLT or not (the income effect). As the main aim of this initiative is to support the substitution effect (the modal shift), the options discussed include also safeguards to ensure maximising this effect. A further analysis is provided in particular for option bundle B, which has the highest impact on operating aid.

More generally, there are several studies showing that, even without safeguards, operating subsidies generate mainly a substitution effect. These studies have attempted to quantify the two effects and how the changes in prices affect demand volumes for each mode of transport. While the resulting range of estimates for the elasticity coefficients is quite large, the studies seem to converge in their conclusions, pointing to a prevalence of the substitution effects, particularly regarding operating aid to sustainable land transport.

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[155] The initiative does not have any impact on social standards to be applied at national level.

[156] For the years 2022-2024, on average 75% of aid approved for SLT was in the form of operating aid.

[157] Impacts on competitiveness are assessed as part of the economic impacts. The whole initiative aims at improving the competitiveness of SLT compared to road transport and therefore the analysis of this impact partially coincides with the analysis on the attainment of modal shift. The options considered in this Impact Assessment Report would have only a very limited impact on international competitiveness since they relate to a rebalancing of the conditions for different transport modes within the Union.

Indeed, for freight transport, the studies[158] show that the elasticity of rail volumes to rail prices is around -1.0x (with a range of 0 to -1.6) and the cross-elasticity of road volumes to rail prices is around 0.3x (with a range of 0.1-0.5). These coefficients mean that a 10% drop in rail prices lead to a 10% increase in volumes transported by rail and a 3% decrease in volumes transported by road. As volumes of freight transported by road in the EU are about four times bigger than the volumes transported by rail, the increase in rail volumes broadly corresponds to the decrease in road volumes, showing that the substitution effect is dominant and the income effect of a decrease in rail prices is negligible.

As concerns passenger transport, the elasticity of rail volumes to rail prices is estimated to be lower at around -0.4x[159] and the elasticity of passenger transport from cars to rail prices (proxied by public transport prices) is much lower at 0.08x[160]. This means that a 10% decrease in rail prices leads to a 4% increase in the number of rail passengers and a decrease of 0.8% in the usage of cars. Still, considering that the number of road trips is approximately five times higher than that of rail trips, the percentage change in rail passengers broadly matches the decrease in the number of car passengers. Therefore, also as concerns passengers transport, the substitution effect appears dominant.

Calculating the amounts of operating aid granted on average per year in the EU over the 2022-2024 period (EUR 3.6 billion) allows for a more precise quantification of the substitution effect generated by the operating aid measures approved in 2022-2024 and shows that operating aid represents about 4% of the annual revenues of SLT operators. Assuming the subsidies were used entirely to reduce the end-user prices, the result would be a 4% price reduction. Applying the elasticity coefficients mentioned above, this 4% price reduction can be expected to generate a 2% increase in rail volumes (average of passengers and freight combined), most of which through a switch from road transport (in line with the conclusion above that the substitution effect is dominant). While these economic impacts all result from the cost reduction potential for SLT caused by the proposed approach under different options, the effect is predominant in the case of option bundle B which assesses different aid intensities for operating aid.

The budgetary constraints that can limit success

The extent to which the initiative will be successful can also depend on the budgetary constraints of Member States, though political priorities seem to play a more important role. It should first be noted that the amounts used for SLT measures over 2022-2024 have been relatively small in the total budgets of Member States. The largest category of aid to SLT represented by operating aid accounted on average for just 7% of total public subsidies for transport (including public support for all transport modes, even if it does not qualify as State aid). State aid spending on SLT amounted, on average, to just 0.04% of Member States' budgetary expenditures, with the highest values in Austria (0.22%), Czechia (0.14%), and Germany (0.11%).

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[158] International Transport Forum, Mode Choice in Freight Transport, ITF Research Reports, OECD Publishing, 2022: https://www.oecd.org/content/dam/oecd/en/publications/reports/2022/02/mode-choice-in-freight-transport_667ea2c1/3e69ebc4-en.pdf

[159] CE Delft, Modal choice criteria in rail transport, 2018: https://cedelft.eu/wp-content/uploads/sites/2/2021/03/CE_Delft_4S52_Modal_choice_criteria_in_rail-transport_Def.pdf

[160] International Transport Forum, Valuing Convenience in Public Transport, ITF Round Tables, No. 156, OECD Publishing. 2014, https://www.oecd.org/content/dam/oecd/en/publications/reports/2014/12/valuing-convenience-in-public-transport_g1g4525d/9789282107683-en.pdf

The level of spending appears to be primarily the result of political priorities of Member States when allocating funds to SLT measures. Budgetary constraints seem to play only a secondary role, as some countries with high medium-term fiscal sustainability risks[161] still allocated above-average shares of their total State aid budgets to SLT. The analysis of the budgetary expenditures allocated to aid to SLT over time as a proportion of the overall budget of the Member States does not reveal any clear pattern, which suggests that political priorities likely play a more important role in this context.[162]

An important mitigating factor that could lead to an increase of aid amounts in the coming years is the introduction of ETS2. Expectations of ETS2 revenues stand at EUR 342-570 billion[163] for five years (compared to just EUR 4.8 billion per year for the SLT State aid measures per year on average between 2022 and 2024), of which a large part will need to be earmarked to green projects including modal shift[164]. ETS2 is thus likely to provide an additional source of budget revenues for Member States to use on SLT measures and could help alleviate some of the pressure from budget constraints when investing in SLT.

6.1.2. Environmental impacts

The environmental impact of the different policy options will be assessed by their contribution to modal shift towards SLT and therefore the attainment of the Green Deal and SSMS objectives. The specific environmental impacts that will be assessed are GHG emissions, air pollution and noise, because they are the environmental impacts most affected by modal shift, which also means that reliable data is available for them. These environmental impacts all result from the modal shift impact caused by each option.

The below Table 6 shows the main environmental impacts that result from a modal shift from road to SLT[165].

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[161] According to the https://economy-finance.ec.europa.eu/document/download/581dbeab-4e86-44b9-afbe-6da8a1572491_en?filename=ip306_en.pdfEuropean Commission's 2024 Debt Sustainability Monitor, these countries are: Belgium, Greece, Spain, France, Italy, Hungary, Austria, Poland, Romania, Slovakia and Finland: https://economy-finance.ec.europa.eu/document/download/581dbeab-4e86-44b9-afbe-6da8a1572491_en?filename=ip306_en.pdf.

[162] As examples, among countries with high fiscal sustainability risks, Austria approved SLT aid measures representing 0.94% of the total budgetary expenditures over the years 2019-2024, varying from 0.1% in 2019 to 0.65% in 2022, and Italy approved SLT aid measures amounting to 0.23% of total budgetary expenditures for 2019-2024, ranging from 0.01% in 2020 to 0.08% in 2022. Among countries with medium fiscal sustainability risks, Germany approved SLT aid measures representing 0.6% of the total budgetary expenditures over the years 2019-2024, varying from 0% in 2019 to 0.17% in 2023, and Czechia approved measures totalling 0.6%, ranging from 0% in 2019 to 0.27% in 2023. There is no clear correlation between the amounts and the economic cycle or the fiscal sustainability constraints of the countries.

[163] European Parliamentary Research Service, EU emissions trading system for buildings, road transport and additional sectors (ETS2) - Status and concerns, 2025: https://www.europarl.europa.eu/RegData/etudes/BRIE/2025/772878/EPRS_BRI%282025%29772878_EN.pdf

[164] Pursuant to Article 10 of the Directive, among other categories the revenue generated by ETS2 should be used '*to invest in and accelerate the shift to forms of transport which contribute significantly to the decarbonisation of the sector, including the development of climate-friendly passenger and freight rail transport […]*'.

[165] For the assumptions underlying the modal shift impact, calculations are detailed in Annex 11.

Table 6: Environmental impacts per tonne/passenger-kilometre by transport mode, EU-27, road transport = 100, data from 2016

Transport type	GHG emissions (*)	Air pollution (†)	Noise	Total environmental impact (‡)
Passenger - road transport	100.0	100.0	100.0	100.0
Passenger - SLT (rail)	35.4	64.4	121.9	66.0
Freight - road transport	100.0	100.0	100.0	100.0
Freight - rail	24.3	19.5	120.3	47.3
Freight - IWW (§)	64.6	162.0	0.0	88.3
Freight - SLT (rail + IWW)	33.5	49.6	92.9	56.7
Modal shift impact in passenger segment	**-64.5%**	**-35.6%**	**+21.4%**	**-34.1%**
Modal shift impact in freight segment	**-66.6%**	**-50.5%**	**-7.0%**	**-43.4%**

** Carbon, nitrous oxide, and methane, includes emissions from energy production*
† Notably nitrogen oxides, sulphur oxide, and fine particles, includes emissions from energy production
‡ Weighted by severity of impact (e.g. the GHG emissions impact of transport is bigger than the noise impact)
§ *EU-28*

The table shows that the environmental impacts of modal shift are significant, with GHG emissions reduced by about two thirds, for each unit of transport that is shifted from road to SLT. Air pollution diminishes by between one third and one half. The impact on noise is more mixed, with small gains for modal shift in the freight segment, but with an increase in noise pollution in the passenger segment. Overall, the environmental impacts of modal shift, weighted by the severity of the impact[166], are significantly positive, with reductions of undesirable impacts by 34% in the passenger segment and over 43% in the freight segment. The data from the Commission Handbook are from 2016 and are currently the latest data available. However, to the extent available, data for 2022 show similar impacts[167].

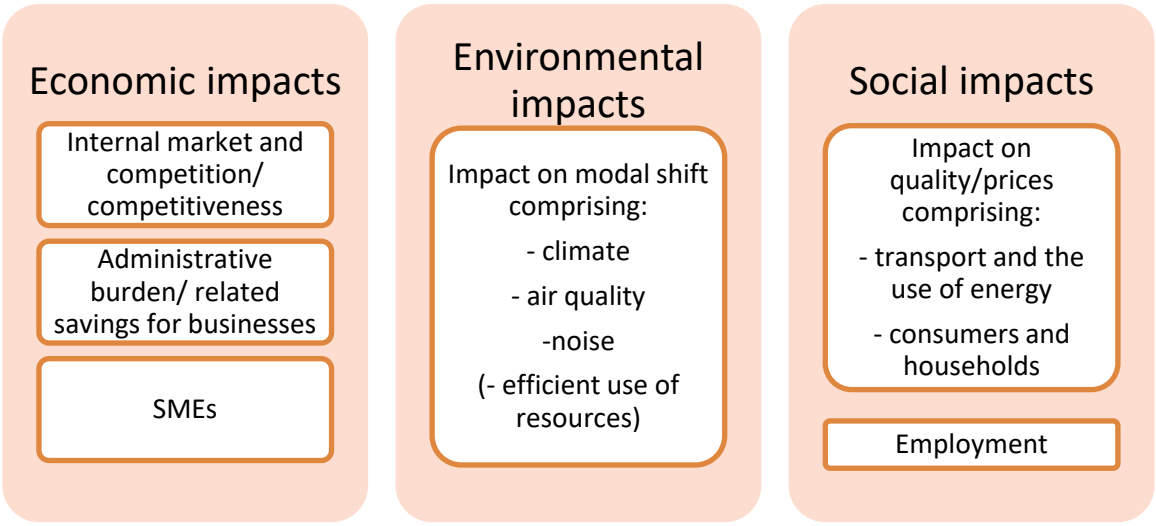
6.1.3. Overview

A schematic overview of the main impacts assessed is presented in Figure 7. These impacts will be assessed for each of the option bundles, namely the options on the scope of the GLs and

[166] Table 1 and Table 2 show the monetised impact for each category. Therefore, GHG emission costs, air pollution costs and noise pollutions costs can be calculated and compared for each transport mode, showing that SLT, rail and IWW are much more environmentally friendly overall than unimodal road transport.
[167] See footnote 87. For the passenger rail segment, the 2022 data show similar positive environmental impacts of modal shift from road transport to SLT: a reduction in the weighted environmental impact of 36.7%, even bigger than the 34.0% according to the 2016 data. In the rail freight segment, the weighted environmental impact using the 2022 data is -44%, a slight improvement over the figure of -43.3% for 2016.

TBER (Option Bundle A), the options on operating and interoperability aid (Option Bundle B) and the options on aid for the acquisition of vehicles (Option Bundle C).

Figure 7: Assessed impacts



6.2. Option Bundle A - scope of the revised Guidelines and TBER

6.2.1. Economic impacts

Functioning of the internal market and competition

Under **Option A1** more investments and operations conducive to modal shift towards SLT would be within the scope of the new rules and would thus benefit from the legal certainty offered by the codification of the case practice in the revised GLs.

Assuming the number of measures would remain the same in the future as those approved between 2008 and 2024, under Option A1, in addition to 100 approved measures pertaining to rail, also the 17 approved past operating aid measures pertaining to IWW would come under the revised GLs. The same would be true for the additional interoperability investment aid measures for IWW as well as the 64 investment aid measures for vehicles, facilities and private sidings, which fell outside the RGL.

Transparency in the treatment of all SLT modes under the GLs would entail fewer undue distortions of the level playing field in the internal market within the SLT sector compared to the baseline, where Member States could be inclined to concentrate financing on the types of aid and operators targeted by the RGL. It would also contribute to targeting modal shift in the most efficient way, as this would enable a holistic approach, leaving it up to Member States to choose within a wide toolbox of measures those most efficient for increasing competitiveness depending on the specific situation. By facilitating aid to SLT, Option A1 would also promote the competitiveness of SLT, with the ensuing benefits for cost effectiveness and innovation. This was particularly stressed in the stakeholder responses to the targeted consultation on the draft revised GLs, where 10 Member States expressly welcomed among others the broadening of the scope and consolidation of case practice[168].

[168] Annex 2, point 4.4.

The TBER would be limited to measures for which compatibility rules are already codified in Section 6 of the RGL under Option A1. This would, on the one hand, have further positive effects on the internal market and competition, as the measures to be block exempted would be straightforward and pro-competitive. On the other hand, the scope of the TBER under Option A1 could also have negative impacts on competition within the SLT sector. There is a high likelihood that Member States would prioritise measures under the block exemption, as this is faster and avoids administrative burden, therefore skewing the playing field to the advantage of measures in the scope of the TBER. Block exempting interoperability aid and operating aid only in the rail sector could cause competition distortions between SLT modes. Moreover, Member States could choose to prioritise such aid over other types of measures, including for example aid to facilities or aid to modernise and adapt vehicles, simply because they are block exempted. A part of the positive effects on the internal market and competition of the extension of the scope of the revised GLs would therefore be lost.

Option A2 would extend the block exemption to all measures in the SLT sector on which there is significant case practice today, in line with stakeholder feedback on the CfE for the TBER[169]. Higher aid amounts, which entail a higher risk of distortion, would still have to be notified, as they would exceed the notification thresholds.

By facilitating the granting of further types of aid and further actors in the SLT sector, Option A2 would have a very positive impact on the competitiveness of the SLT sector vis-à-vis road. It would entail fewer undue distortions between SLT modes compared to the baseline and Option A1, as the codification of rules for aid to all main contributors to modal shift would avoid focalising Member States' attention on only a subset of actors and measures. This option would also contribute to levelling the playing field within the SLT sector.

This option would also entail safeguards to avoid distortions to competition, as only aid measures on which there is significant case practice would be block-exempted. This approach can be illustrated with two examples.

First, aid to support the development of telematics applications[170] in the passenger sector would not be block-exempted because there is insufficient case practice and some of these measures might raise antitrust concerns, warranting a more detailed assessment of their impact on competition in the context of a State aid notification.

Second, start-up aid would be limited under the TBER to the freight sector, and to the freight sector and passenger night trains under the revised GLs, in light of (i) the more limited case practice on passenger connections, which only concerns night trains, and (ii) some concerns of abuse raised by stakeholders in relation to the proper identification of "new connections" in the passenger segment. The limitation of the scope of start-up aid to those cases helps preventing competition distortions by limiting the benefit of the block-exemption to measures where the risk of abuse is low (i.e. the freight sector), while ensuring that aid measures for night trains, which face particular challenges (e.g. high upfront investments to adjust the wagons) can be approved after a more detailed assessment of their impact on competition with existing connections.

[169] Annex 2, point 4.2.

[170] Such as systems which provide passengers with information before and during the journey, reservation and payment systems, luggage management and management of connections between trains and with other modes of transport.

Furthermore, option A2 would also codify safeguards stemming from the case practice to avoid distortions to competition. For example, as concerns investment aid to facilities (which is not included in the RGL), Member States would be required to demonstrate, in line with the case practice, that the new capacity is likely to be used, thereby contributing to the increase of the use of SLT, and does not divert current SLT flows from existing facilities, which would be an inefficient use of public funds and distort competition with the owner or operator of such existing facilities. Furthermore, in line with the case practice and secondary EU legislation, the revised GLs and TBER would reiterate that access to the aided facility must be open, transparent and non-discriminatory and must be provided to all interested users, so as to prevent competition distortions amongst SLT operators.

In addition to the impacts of Option A2, **Option A3** could increase the services offered in the rail freight sector, as PSOs would cover rail freight services that would not be profitable on their own and for which other support possibilities would not be sufficient. Rail freight operators are often faced with parts of transport operations where the volume of goods or the distance is insufficient for rail to compete with road (SWL). For this reason, rail freight operators may ultimately decide not to offer certain services, which could leave gaps in the network of connections and render rail transport less attractive and less competitive overall. Member States might not consider supporting such services through PSO compensation in the absence of clear rules. Laying down rules for the award of rail freight PSOs would therefore help address the weaknesses of such rail freight transport operations by making the entrustment of PSOs more transparent and accessible.

Even though there has been only one decision[171] in the past, there have been several attempts by Member States to put in place rail freight PSOs. It is therefore not unlikely that the impacts of this Option actually materialise.

Administrative burden

Under **Option A1** there would be an insignificant one-off adjustment cost for Member States to familiarise themselves with the revised rules. This is expected to be marginal, as the rules would refer to measures in the scope of the RGL or existing case practice, with which Member States are familiar. After this, there would be a recurring administrative burden reduction for each measure for which rules are explicitly codified. The rules in the revised GLs would be clear and transparent, and could be found in one place, guiding Member States and businesses towards compatible aid designs and the information to be provided for the assessment.

This would reduce the number of information requests exchanged, and ultimately the burden associated with State aid procedures. This means that aid would reach its beneficiaries more swiftly. The significance of the related cost reduction is illustrated by the fact that, between 2008 and 2024, more than half (146 out of 258) of all decisions concerning the SLT sector concerned (at least partially) measures outside the scope of the RGL.

The TBER would further reduce administrative burden compared to the baseline, as many cases notified today would benefit from the simplification of block exemption, as was confirmed by stakeholders during the consultation activities[172].

[171] Decision of 24 November 2023 in case SA.32953 Italy: State aid to Trenitalia in form of compensation for a public service obligation in the rail freight sector, OJ L 2860, 18.11.2024.
[172] Annex 2, point 4.2 and 4.4 and Annex 8.

Option A2 would entail a higher administrative simplification than Option A1 as the block exemption would apply to a higher number of cases.

This report attempts to estimate the level of the administrative burden reduction of the block exemption for Member States for each option under various scenarios[173]:

- a central scenario, under which State aid spending (and number of measures) would remain at the same level as the average of the years 2022-2024 (which could be considered as a baseline post-COVID-19),
- a low scenario, which assumes that relevant State aid spending (and the number of measures) would go back to the level observed in 2018 (before the COVID-19 pandemic),
- and a high scenario, where relevant State aid spending (and the number of measures) increases by 15% compared to the 2022-2024 average (e.g. due to Member States prioritising the decarbonisation of the transport sector via modal shift).

The main results for Member States' administrations are displayed in Table 7. Further details on the calculations and their underlying assumptions are provided in Annex 8.

Table 7: Overview of the combined estimated annual administrative savings for all Member States (in EUR) due to the block exemption (Option Bundle A), EU-27 total

Option A1			**Options A2 and A3**		
Low	Central	High	Low	Central	High
33 407	98 256	115 254	83 518	157 210	178 171

Using the Commission's (DG Competition's) internal data on time worked on 85 decisions adopted for SLT in the 2022-2024 period, the administrative savings can be estimated for the Commission, under the same low, central and high scenarios. The results are displayed in Table 8, with further details on the calculations provided in Annex 8.

Table 8: Overview of estimated annual administrative savings for the Commission (in EUR) due to the block exemption (Option Bundle A), EU-27 total

Option A1			**Options A2 and A3**		
Low	Central	High	Low	Central	High
21 206	62 371	73 161	53 016	99 794	113 100

Businesses would benefit from the simplification mainly because the approval and subsequent payment of support would be faster. These opportunity cost savings have been estimated for each Option under the same low, central and high scenarios. Moreover, for the central scenario, the opportunity cost savings have also been calculated for each of the years 2022, 2023 and 2024 separately and the range of the results for these three years is indicated as well. The main results are displayed in Table 9. Further details on the calculations and their underlying assumptions are provided in Annex 8.

[173] The number of cases, categories of aid and budget derived from the case practice from 2008 until 2024 underlie the quantification of the impacts of administrative simplification.

Table 9: Overview of estimated annual opportunity cost savings for businesses in EUR million due to the block exemption (Option Bundle A), EU-27 total

	Option A1			**Options A2 and A3**		
	Low	Central	High	Low	Central	High
Average	15.6	27.6	30.9	18.8	30.62	35.42
Range		6.0-39.3			7.6-43.4	

The further extension of the scope of the GLs to cater for rail freight PSOs in **Option A3** would allow Member States to gain clarity on the specific rules applicable. This effect is however difficult to quantify, because it does not follow from a reduction in notified measures, for which the Commission has (collected) specific data. The quantification of the administrative burden savings for this report is therefore the same for Options A2 and A3.

Impacts on SMEs

Option A1 would have a positive impact on SMEs compared to the baseline. SMEs would have easier access to first-hand information on compatibility conditions. This is particularly relevant for SMEs, which have less resources to deploy for such research. They would therefore more easily be empowered to discuss possible support with Member States. In terms of number of companies, SMEs constitute most of the IWW sector, 93%[174] of the rail sector, and 99% of multimodal transport[175]. Option A1 would further benefit SMEs compared to the baseline, as the block exemption of the measures contained in section 6 of the RGL would allow support to be put in place faster. This may benefit SMEs in particular as they generally have more difficult access to finance.

Option A2 further benefits SMEs compared to Option A1 and the baseline, as it would extend the scope of the block exemption.

As set out in Section 2.3, currently most rail freight activities which could be subject to PSOs are de facto carried out by incumbents, i.e. large undertakings. Still, the inclusion of rules on freight PSOs in the revised GLs proposed under **Option A3** could improve the situation for SMEs. Many new entrants are SMEs, which could compete for the award of public service contracts on equal grounds with incumbents under this option, notably at local level for small-scale operations. The impact of this option on SMEs is nevertheless expected to be marginal, as it remains likely that many contracts would be awarded to incumbents also in this context.

To estimate the level of opportunity cost savings for SMEs, the share of aid received by SMEs in each option and scenario was approximated based on their market share in terms of turnover in different segments of SLT. With SMEs being more active in the IWW segment, the savings are higher in the case of Options A2 and A3, which also include this segment. Further details on the calculations and their underlying assumptions are provided in Annex 8.

[174] See footnote 79.

[175] Commission Staff Working Document Impact Assessment accompanying the document Proposal for a Regulation of the European Parliament and of the Council amending Regulation (EC) No 1071/2009 and Regulation (EC) No 1072/2009 with a view to adapting them to developments in the sector, SWD(2017) 194 final: https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex:52017SC0194.

Table 10: Overview of estimated annual opportunity cost savings for SMEs in EUR million due to the block exemption (Option Bundle A), EU-27 total

	Option A1			**Options A2 and A3**		
	Low	Central	High	Low	Central	High
Average	0.48	2.69	3.25	3.29	3.95	5.55
Range		0.46-3.92			1.19-5.5	

6.2.2. Environmental impacts

Option A1 would have a positive impact on modal shift, as all potential contributors would be explicitly included in the scope of the revised GLs. As set out in section 6.1, despite the slightly higher noise impact of rail transport compared to road and the slightly higher air pollution of IWW, the overall environmental benefit of modal shift is strongly positive. Option A1 would therefore have a strongly positive environmental impact.

Option A1 would have a further positive environmental impact compared to the baseline, as measures meeting the conditions of the TBER could be put in place more rapidly, to the benefit of modal shift. There could be some negative impacts on efficiency, in case Member States would engage in a less holistic approach and would not consider other potentially more environmentally beneficial measures not pertaining to the categories of section 6 of the RGL, because they would not be in the scope of the block exemption.

Option A2 would have a stronger positive environmental impact than Option A1, as the block exemption would extend to all measures for which there is case practice. Many measures supporting the reduction of GHG emissions and of external costs in general through a modal shift towards SLT could be introduced immediately and simply under the TBER.

Option A3 is expected to have a positive environmental effect, as it supports an increase in rail transport on routes on which it has proven the most difficult to switch to SLT modes and which are therefore least likely to shift to SLT modes absent PSOs. As these are often routes on which frequencies are lower, the increase in noise would also be less significant.

6.2.3. Social impacts

Options A1 and A2 are not expected to have significant social impacts compared to the baseline. They concern the coverage of the revised GLs and TBER and not the conditions under which aid can be granted. No stakeholder mentioned social considerations during the consultation activities. **Option A3** could have a slightly positive impact, as it would make it possible to fill current gaps in rail freight transport at a limited cost for customers.

6.3. Option Bundle B – operating and interoperability aid

6.3.1. Economic impacts

Functioning of the internal market and competition

For operating aid, **Option B1** would compensate for the elimination of the category of aid for infrastructure use with a higher aid intensity for external cost aid. In most Member States, this

change would allow for more operating aid to be granted overall[176]. The distance limits safeguard would lower the total amount of aid that can be granted, since the longest operations could not benefit from aid under the TBER, and Member States might be discouraged from applying the revised GLs in view of the high administrative burden of the distance limits[177], as stakeholders confirmed during the targeted consultation on the draft revised GLs[178].

The distance limits are meant to ensure that State aid is granted only when necessary, and not to operations that would have gone ahead anyway in the absence of State aid. Stakeholders have however explained that the competitiveness of SLT compared to road transport is not linear. There are other constraints such as network capacity, speed of service, and transhipment costs. While there may be a distance beyond which SLT is competitive with road transport on average, across the EU there may be significant differences between undertakings and Member States. For example, undertakings operating in very small Member States may be disadvantaged because they have more international traffic, rendering operations costlier for a given distance (e.g. needing interoperable locomotives and multilingual drivers).

The capacity constraints safeguard[179] under Option B1 would address the risk that capacity constraints in the SLT infrastructure would prevent the increase of the use of SLT. Even though some stakeholders raised questions during the targeted consultation on the draft revised GLs, they acknowledged that it was already foreseen in the Single European Railway Area Directive.

As regards interoperability aid, Option B1 would boost the roll-out of interoperability technologies compared to the baseline, because aid intensities in excess of 50% would be systematically permitted upon demonstration of the need for more aid by a funding gap analysis.

Overall, the increase in the aid intensity in combination with the distance limits would mean that Option B1 would likely result in similar amounts of operating aid being granted as in the baseline. The option would still have a small positive impact on levelling the playing field between SLT and road transport overall, since the conditions for interoperability aid would become more generous. More support for interoperability would strengthen SLT, particularly the rail sector as it is more affected by interoperability market failures. Interoperability investments lower costs for cross-border operations especially. This increases intra-EU competition and promotes the internal market. Stronger competition may lead to lower prices, higher quality of service and more innovation, as mentioned by several stakeholders[180] in their response to the IIA for the revision of the RGL[181]. It would also lead to an increase in demand

[176] Under the RGL, aid for infrastructure use and aid for external costs cannot exceed 30% of the total costs of operation. How this ceiling compares to the external cost ceiling depends on the Member State. According to the study, for most Member States a higher external cost aid ceiling would result in an increase in the total amount of operating aid that can be granted compared to the baseline.
[177] The impact would likely be significant: Italy provided feedback in the public consultation that around half of all train-kilometres in the rail sector are beyond the proposed distance threshold.
[178] Annex 2, point 4.4.
[179] Aid cannot be granted for transport on routes that have established capacity constraints that would prevent increasing or maintaining the modal shift. This condition aims to ensure that the prospects of increasing or preventing a decrease in the modal shift are realistic. If the Member State intends to support transport on routes with established capacity constraints, the Member State will have to explain what other measures will be taken to eliminate or reduce those constraints based on a capacity analysis or a capacity-enhancement plan, as provided under Directive 2012/34/EU of the European Parliament and of the Council of 21 November 2012 establishing a single European railway area (OJ L 343, 14 December 2012, p. 32, ELI: http://data.europa.eu/eli/dir/2012/34/2019-01-01).
[180] 3 business associations out of 7 (42.9%), 1 company out of 3 (33.3%).
[181] Annex 2, point 4.1.

for transport services (income effect) and a shift from road to rail (substitution effect), but these effects are expected to be limited due to the modest overall increase in aid volumes.

Option B2 would compensate for the elimination of the aid for infrastructure use category with a higher aid intensity, as Option B1 does. It would not introduce distance limits, preventing competition distortions in the SLT sector between undertakings in different Member States. The capacity constraint safeguard would remain to further ensure modal shift as compared to the baseline. Under Option B2, Member States could grant more operating aid under the revised GLs than in the baseline, which would improve the competitiveness of SLT.

Experience shows the potential of operating aid in terms of promoting modal shift. For example, the Fitness Check notes that Italy (which in the period 2008 to 2023 had seven regional schemes supporting modal shift prolonged up to three times) recorded steady growth in the modal share of rail and multimodal transport, from 9.2% in 2011 to 14.7% in 2016.

By dropping the funding gap safeguard for key interoperability technologies, Option B2 would further facilitate the granting of interoperability aid. The competition distortion risks, in terms of overcompensating beneficiaries, are minimal, since the higher aid intensities are limited to investments with acute market failures and a lack of significant private benefits. Moreover, the Commission has in the past already approved aid intensities of 85 – 100% for interoperability investments in SLT in 12 cases, finding that such high aid intensities even in the absence of a funding gap analysis did not raise concerns regarding a potential distortive effect.

Overall, Option B2 would increase competition within the SLT sector without risks of undue competition distortions and have a strong positive impact on levelling the playing field between SLT and road transport.

The income and substitution effects also play an important role in defining the economic impacts of Option B2, with the objective of the initiative being to generate a shift in traffic from road to SLT, thereby maximizing the substitution effect rather than merely creating additional demand for transport. The expected increase in operating aid volumes and intensities under Option B2 would lead to lower prices for SLT compared to road transport and, as explained in Section 6.1.1, would increase the demand for SLT and the SLT volumes, predominantly due to a shift from road to rail.[182] To ensure the substitution effect is maximised, the capacity constraint safeguard embedded in Option B2 ensures that aid is directed to rail routes with sufficient capacity to accommodate additional traffic and that can generate a switch from road to SLT.

Option B3 is equivalent to Option B2 for interoperability aid but could have a significant competition impact, because it would allow higher amounts of operating aid, which may cause a further modal shift. This was stressed by 6 stakeholders[183] calling for the reintroduction of the category of operating aid for infrastructure use during the targeted consultation on the draft revised GLs. However, by allowing aid potentially in excess of the avoided external costs, it risks doing so at a cost that is higher than the benefits realised. This could also create competition distortions between SLT and road transport, if operating aid to SLT exceeds the implicit subsidy that the road sector receives due to the lack of internalisation of external costs.

[182] Following the calculation presented in section 6.1.1, each 10% increase in operating aid volumes has the potential to generate a 0.2% increase in rail transport volumes (passenger and freight combined), the majority representing a shift from road transport.
[183] Annex 2, point 4.4.

By prioritising modal shift to this extent, this Option would risk creating a dependency on State aid, with the competitive pressure on SLT reduced to the point that it might become less efficient or implement fewer quality improvements.

When analysing the income versus the substitution effects in the case of Option B3, the lack of safeguards and the significant price decrease of SLT could backfire and lead to an increase in overall demand for transport services, rather than merely a shift from road to rail. Without a capacity safeguard in place, the aid could be directed towards lowering prices for SLT routes that cannot accommodate additional traffic, thus merely generating congestion and shifting the increased demand back to road transport.

Administrative burden

Under **Option B1**, fewer aid ceilings would apply to operating aid and there would be no need to compare infrastructure costs between transport modes which, as shown by past experience, raises some difficulties.

However, the capacity constraints and distance limits safeguards would apply. The former obligation already exists under sectoral legislation[184] and would apply only under the revised GLs, not the TBER, so its administrative impact would be limited. In contrast to the capacity constraints, the distance limits would introduce significant administrative burdens. Operators would have to keep track of the distance for each of their operations individually, and not just in aggregate (which is necessary anyway under an operating aid scheme). In the rail sector, operators would have to separately collect the data for SWL operations, as SWL would not be caught by the distance limit. Administrative burdens would also vary for undertakings depending on the Member State in which they are active. Undertakings in sparsely populated large Member States could be more penalised because long distances may be more common, and those undertakings would therefore have to demonstrate more frequently that aid is needed. This was also stressed by stakeholders during the targeted consultation on the draft revised GLs[185].

For interoperability aid, Option B1 also imposes additional administrative burden, though in a more limited manner. A funding gap analysis would be systematically necessary if the aid intensity of 50% is exceeded. In the baseline, a funding gap analysis has not been consistently applied for interoperability measures with aid intensities above 50%, as other justifications were also accepted.

Overall, Option B1 would impose a significant administrative burden compared to the baseline.

Option B2 has a positive impact on administrative burden. It simplifies the operating aid assessment, while avoiding the very considerable administrative burden of the distance limits. The interoperability aid assessment is also simplified, because for certain investments an aid intensity beyond 50% can benefit from a proportionality presumption without need for a funding gap analysis.

Option B3 would have a positive administrative burden impact compared to the baseline, though the impact is less positive than under Option B2. For operating aid, both main categories of aid that already exist in the RGL would be maintained with their different conditions and

[184] Directive 2012/34/EU of the European Parliament and of the Council of 21 November 2012 establishing a single European railway area (recast), OJ L 343, 14.12.2012, Articles 47 and 50.
[185] Annex 2, point 4.4.

applicable ceilings. The 30% of total cost cap would however be removed, partially compensating for the additional administrative burden of having two aid categories. For interoperability aid, the administrative simplification is the same as under Option B2.

Impact on SMEs

Options B1, B2 and B3 do not target SMEs and have no significant impact on them, other than the impact on administrative burden, which would be significantly increased under Option B1 and reduced under Options B2 and B3 compared to the baseline. Such burden affects SMEs disproportionately given their lower ability to ensure compliance with burdensome rules.

6.3.2. Environmental impacts

As explained in the economic impacts, **Option B1** would overall allow a similar amount of operating aid to be granted as under the baseline, with higher aid intensities being offset by the introduction of distance limits. Since the changes to operating aid would not clearly generate additional modal shift, the environmental impact of the proposed compatibility conditions regarding operating aid would be mixed.

Option B1 would also contribute to accelerating the roll-out of interoperability technologies, increasing the competitiveness of SLT, in particular in the rail sector. Moreover, by improving the productivity of operations and lowering operating costs, interoperability technologies allow for the more intense use of existing vehicles. By allowing modal shift to be generated without requiring additional vehicles, this in turn limits resource extraction and material use.

Since a lack of interoperability affects the rail sector specifically, the environmental impacts of Option B1 would be especially strong in terms of reducing GHG emissions and air pollution, while the impact on noise would be more mixed, as set out in Section 6.1.2. However, interoperability technologies can also significantly reduce noise pollution. For example, DAC reduces time spent performing shunting operations, which are particularly noisy, and allows electronically controlled pneumatic brakes, which are quieter than the traditional air brakes. ERTMS optimises train movements, reducing unnecessary acceleration or braking.

It is therefore expected that Option B1 would have a positive effect on all three environmental impacts considered compared to the baseline.

Option B2 would have a strongly positive environmental impact compared to the baseline. In contrast to Option B1, under Option B2 more operating aid could be granted than under the baseline, further encouraging modal shift. Moreover, by further facilitating the granting of higher amounts of interoperability aid, as the funding gap would not systematically be required, Option B2 promotes interoperability investments even more strongly than Option B1.

Option B3 would allow even higher amounts of operating aid than Option B2, further promote modal shift, and therefore generate additional positive environmental impacts, at least in the short term. In the longer term, a potential loss of competitiveness and efficiency in the sector due to State aid dependency may reduce those benefits.

The variation in the environmental impact between Option B3 and B2 comes from the difference in the set-up of operating aid. Option B3 involves an additional operating aid category for infrastructure use compared to Option B2, which involves only one operating aid category related to the external cost difference with higher aid intensities than in the past. This means that under Option B3, in addition to a compensation for external costs savings relating to SLT at a higher intensity than in the baseline scenario, also the infrastructure use costs can

be subsidised. This would lead to higher overall permissible operating aid amounts under Option B3 than under Option B2, up to a point where the transport operators could be compensated for more than the external cost savings which their activities help to achieve.

While this could further contribute to modal shift in the short term, this comes at the risk of paying out aid and society bearing a cost that is higher than the environmental benefit related to SLT, which could create a dependency on State aid and reduce the pressure on SLT operators in the longer term to be efficient and implement quality improvements. Thus, in the longer run, such high levels of support are likely to disincentivise operators from adjusting to new market realities and innovating and would risk *ceteris paribus* to increase the competitiveness of road transport and impede the modal shift.

6.3.3. Social impacts

Customers and prices

Option B1 has a positive social impact. By promoting interoperability, it contributes to lowering maintenance cost, improving productivity, and increasing competition on the EU market, all of which could lead to lower prices for end-users. The affordability of transport is a key factor in causing poor access to transport, which affects socially vulnerable groups especially[186]. A Commission report on essential services found that 5.8% of those at risk of poverty could not afford to use public transport regularly[187]. Moreover, interoperability technologies such as ERTMS improve safety, a strong benefit to citizens.

Option B2 would have a clear positive social impact. In addition to promoting interoperability even more than under Option B1, it would allow for more operating aid to be granted than the baseline. If there is an increase in the amount of operating aid granted, beneficiaries may pass on their lower net operating costs to some extent to end-users, such as companies shipping goods or citizens using rail services, in the form of lower prices.

Option B3 would also have a clearly positive social impact, at least in the short term, because it increases the amount of operating aid that can be granted, which could lead to lower prices for end-users.

Employment

Road transport uses more workers per passenger/tonne-kilometre than rail transport does. For example, a freight train can replace up to 52 freight trucks[188], each of which has a driver, while typically requiring a crew of at most 2 people: a conductor and an engineer[189]. In 2021, the road transport sector employed around 6 million people[190], compared to around 911 500 in the rail sector (in 2022)[191]. In other words, the road sector employed around 6.6 times more people than the rail sector did, against a modal share that in 2023 was around 10 times higher in the passenger segment and 4.5 times higher in the freight segment. When limiting employment to

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[186] https://www.europarl.europa.eu/RegData/etudes/ATAG/2022/738181/EPRS_ATA(2022)738181_EN.pdf.
[187] https://employment-social-affairs.ec.europa.eu/news/access-essential-services-key-challenges-most-vulnerable-report-2023-06-28_en.
[188] https://www.uirr.com/news/mediacentre/2286-the-optimal-length-of-freight-trains.html.
[189] https://www.trains.com/trn/train-basics/abcs-of-railroading/the-people-who-work-on-trains/. Most freight trains in the EU operate with a single worker: https://railnegotiations.com/wp-content/uploads/2022/09/Carriers-Exhibit-11-Report-of-Oliver-Wyman-Comparison-of-European-and-US-Railways.pdf, exhibit II-1.
[190] https://ec.europa.eu/eurostat/web/products-eurostat-news/-/ddn-20230207-1.
[191] See footnote 28.

direct transportation and storage activities (e.g. postal and courier services), the road transport sector employed 5.1 million in 2022, against 554 400 for the rail sector, or 9.2 times more, and 41 400 for the IWW sector[192].

Given that in the road transport sector, employment directly linked to transport operations is considerably higher in the freight segment than it is in the passenger segment[193], this comparison would tend to indicate that modal shift would have a negative impact on employment. On the other hand, this only takes into account employment directly linked with transport operations and disregards the jobs linked with the construction and maintenance of the relevant infrastructure. According to the total employment figures cited above, 85% of employment in the road transport sector is directly linked to transport activities as opposed to e.g. maintenance and operation of infrastructure, against just 60.8% in the rail sector[194]. Accommodating modal shift in the rail sector would require the construction, maintenance and operation of additional infrastructure such as freight terminals, marshalling yards and refuelling facilities, which is likely to lead to a net gain in employment in infrastructure related jobs, since employment is higher in infrastructure in the rail sector. Therefore, when one considers both the jobs related directly to transport operations and those related to the relevant infrastructure, the impact of the modal shift on employment is not clear.

Another consideration that should in the future be taken into account concerns the automation of activities. A higher share of employment in the road sector is directly linked to transport activities, indicating that employment in the road sector may be more vulnerable to automation. The International Transport Forum and the OECD estimate that driverless trucks may reduce employment of truckers in Europe by 50-70% by 2030[195]. Meanwhile, according to both trade union and management representatives, automatic train operations will only become relevant in the longer term, i.e. after 2030[196].

As regards the impact of the modal shift on employment in other sectors, one needs to consider that every job in the transport sector creates 4 more jobs in other sectors according to the Draghi report. In case of modal shift, i.e. if the SLT operations were cheaper, faster, or of higher quality than road transport in some other way, that would have positive impacts on the competitiveness of the EU transport sector as a whole, with a positive impact on employment.

The impact on employment of improved interoperability would be similarly mixed. DAC automates shunting operations and could therefore substitute a part of the workforce active in those activities. Similarly, ERTMS is likely to reduce manual maintenance and signalling roles through automation. On the other hand, the rollout of such technologies requires significant investments in retrofitting existing rail networks, trains, and wagons. This includes installing signalling systems, onboard units, and coupling mechanisms across the EU, creating employment e.g. in engineering and manufacturing. The main employment impact from increased interoperability investments seems to be a move to higher-skilled employment[197].

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[192] According to the 2024 EU Statistical Pocketbook: https://transport.ec.europa.eu/facts-funding/studies-data/eu-transport-figures-statistical-pocketbook/statistical-pocketbook-2024_en.

[193] According to the 2024 EU Statistical Pocketbook, 66.9% of employment in the road transport sector was in the freight segment in 2021. The Statistical Pocketbook does not distinguish employment figures between the freight and the passenger segment for rail transport.

[194] 5.1 million out of 6 million = 85% in the road sector; 554 400 out of 911 500 = 60.8% in the rail sector.

[195] https://www.itf-oecd.org/driverless-trucks-new-report-maps-out-global-action-driver-jobs-and-legal-issues.

[196] https://www.etf-europe.org/wp-content/uploads/2022/09/Employability-in-the-Rail-Sector-in-Light-of-Digitalisation-and-Automation-EN.pdf, section 3.3.3.

[197] See footnote 196.

In conclusion, estimating the employment impact of modal shift or increased interoperability investments is subject to high uncertainty. Modal shift would necessarily cause job losses in the road transport sector while creating jobs in the SLT sector. Moreover, there are future digitalisation developments to consider. On balance, the employment impact of all B Options is therefore estimated to be neutral.

6.4. Option Bundle C – aid for the acquisition of vehicles

6.4.1. Economic impacts

Functioning of the internal market and competition

Under **Option C1**, Member States could provide guarantees covering a significant part, but less than 100%, of the principal amount of the purchase costs of vehicles to the benefit of smaller companies and new entrants, which would allow the financing risk for lenders to be reduced significantly. This category of aid would address the specific difficulties faced by these enterprises and open up access to funding for these assets to market players of all sizes. It therefore would allow competition on more equal terms. At the same time, it would maintain some impact of market forces, as not the full amount would be guaranteed. Both the form of the aid and the narrow scope of beneficiaries would therefore constitute safeguards against distortions to competition and significantly improve the level playing field while being efficient in terms of public spending.

Not allowing grants and allowing only new entrants and smaller companies to benefit from the measure has several further potentially positive competition impacts:

- Overall rolling stock supply in the EU is constrained and could not easily adapt to changes in demand, as confirmed by stakeholders in the public consultation, notably by the Union of Wagon Keepers. The Draghi report in particular found that rail rolling stock has proven scarce when demand has soared[198]. Significant aid amounts for the acquisition of rolling stock would therefore risk diverting demand from unaided projects to aided projects at least in the short term, without a clear net overall benefit in spite of generous public spending.

- There is a competitive leasing market in the freight segment. Stakeholders representing the leasing market have indicated that grants for the acquisition of vehicles could distort competition between leasing companies and railway undertakings, incentivising the latter to buy their own rolling stock instead of leasing it. Furthermore, competition distortions between leasing companies and railway undertakings are reduced by allowing leasing companies qualifying as SMEs or SMCs to benefit from aid under the same terms as smaller railway undertakings. Compared to the baseline, this Option would promote fairer competition within the SLT sector and market entry of smaller and newer players. This effect could be significant. While data on financing costs in the rail sector in the EU specifically is not widely available, an OECD study has found that borrowing rates of companies that are at least 50% State-owned are close to base rates, whereas borrowing rates of companies that are less than 10% State-owned are more than 3 percentage points higher, in spite of those companies having lower debt-to-equity ratios and higher productivity[199]. If those findings are applied to the rail sector, and with base rates in most Member States currently below 3%, the conclusion is that the costs of financing vehicles for new entrants and smaller companies are at least twice as high as those of

[198] See footnote 49, page 211.
[199] Quantifying the role of State enterprises in industrial subsidies, 2024. Base rates refer to risk-free rates and are published for all Member States by the European Commission.

incumbents. Limiting the aid to smaller and newer players thus constitutes a safeguard addressing this current competition distortion and preventing it from being further exacerbated.

Helping reduce this gap in financing costs could lead to additional competition, resulting in lower prices, higher quality of services, etc. However, by limiting the possibilities for granting aid for the acquisition of vehicles compared to the baseline, both in terms of beneficiaries and the form of aid, Option C1 would not promote the competitiveness of the SLT compared to road. This was also put forward by stakeholders during the targeted consultation on the draft revised GLs[200].

Under **Option C2,** more types of aid, in particular loans and grants, would be allowed, to newer and smaller companies only. While this would increase competition in the SLT sector, grants would not be well calibrated to addressing the existing differences in accessing finance for the acquisition of vehicles. Depending on the circumstances, such as monetary conditions in a given Member State (e.g. prevailing risk-free interest rates), grants may not be sufficient to level the playing field between smaller companies or new entrants and incumbents or large enterprises, because the advantage from the latter's implicit State guarantee would be bigger. In other cases, grants may be more than what is needed to level the playing field[201].

Compared to the baseline, this Option promotes fairer competition within the SLT sector, though less than Option C1, because grants are not as well calibrated to levelling the playing field as guarantees are. It prioritises market entry of smaller and newer players. By limiting the beneficiaries, Option C2, as Option C1, would not promote the competitiveness of SLT overall.

Option C3 promotes the level playing field within the SLT sector, by addressing access to finance difficulties, which affect smaller and newer companies especially, but does not promote market entry to the same extent as Options C1 and C2. Guarantees to all undertakings still close the gap between smaller companies or new entrants and incumbents or large enterprises. A State guarantee is worth more to the former than it is to the latter, precisely because of the challenges smaller companies and new entrants face in accessing finance, and because of the implicit State guarantee from which – according to certain research findings – incumbents benefit anyway.

This Option therefore contributes to levelling the playing field between new entrants and smaller companies on the one hand, and incumbents and large enterprises on the other, even if it does so to a lesser extent than Option C1. By limiting the form of aid, Option C3 would not promote the competitiveness of SLT overall.

Administrative burden

Options C1, C2 and C3 would have no significant impact on administrative burden compared to the baseline, since both guarantees and grants are simple, well-known and commonly applied State aid instruments.

Impact on SMEs

[200] Annex 2, point 4.4.

[201] In the case practice, the aid intensity of grants for the acquisition of vehicles was typically set at 20-30%, and the guarantees were designed (e.g. in terms of coverage and duration) to equate to this aid intensity under average conditions (see section 5.5.1). However, the actual gross grant equivalent of a guarantee in a given Member State depends e.g. on the monetary conditions in that Member State.

Options C1 and C2 would impact SMEs in the relevant sectors very positively. The rules would benefit SMEs specifically, attenuating the market failures impacting their capacity to acquire rolling stock or vessels.

Option C3 would also have a positive impact on SMEs compared to the baseline, since guarantees necessarily level the playing field between large enterprises and SMEs. The positive impact on SMEs would however be smaller than under Options C1 and C2, since under this Option incumbents would also be eligible for aid. Hence, the amounts available under a given aid scheme would not be reserved for SMEs, but open to all companies. In case of limited budgets of aid schemes, SMEs may therefore only get a part of the aid they applied for.

6.4.2. Environmental impacts

By excluding large enterprises from aid, **Option C1** would lower the overall aid amounts that could be granted compared to the baseline and the impact on modal shift would therefore be lower, at least in the short term, which has a negative environmental impact, as set out in Section 6.1.2. However, the removal of grants has countervailing, positive environmental impacts, even in the short term, if it encourages Member States to grant aid in other ways:

- The GHG emissions caused by the manufacturing of SLT vehicle stock are high, whereas those of using them are low (this is the case for both rolling stock and IWW vessels). In other words, the long lifetime of SLT vehicles compared to the alternatives on road is a key element of their sustainability. Modal shift through means other than the manufacturing of new vehicles, such as investing in the adaptation and modernisation of vehicles, would be more environmentally friendly.

- Aid for the acquisition of vehicles and operating aid both lower the total cost of ownership of vehicles, but the former does not incentivise the actual use of the vehicle, as the aid is given once for the acquisition of the vehicle and does not depend on the degree of its utilisation and therefore does not incentivise modal shift to the same extent.

- Because grants for the acquisition of vehicles are likely to result at least partially in price increases, the modal shift impact per amount of State aid spending under Option C1 is higher than in the baseline.

- Data from the study[202] suggests that new entrants tend to maximise the lifecycle of their rolling stock compared to incumbents, which tend to scrap their rolling stock early without putting it back on the market for sale or lease, where it could be useful to foster modal shift. Levelling the playing field between new entrants and smaller companies, and incumbents and large enterprises, may thus promote the circular economy.

In view of the high resource requirements of manufacturing vehicles and the weaker incentive to increase transport volumes (as compared notably to operating aid), aid for the acquisition of vehicles is considered the least environmentally friendly way of creating modal shift.

In the longer term, the strengthening of the position of SMEs and new entrants is expected to put pressure on incumbents to use vehicles more intensively as well and to cease or reduce the early scrapping of vehicles, thereby further promoting circularity.

[202] Pages 69-70.

Overall, in the short term, the environmental impact of Option C1 is expected to be neutral. In the medium to longer term, by strengthening the level playing field in the SLT sector, it is expected to be positive.

The environmental impact of **Option C2** is similar: the removal of grants compared to the baseline for large enterprises and incumbents would be expected to have mixed environmental effects in the short term, but more positive effects in the longer term.

Option C3 would be expected to have negative environmental impacts in the short term, since the possibilities for granting aid are restricted compared to the baseline (no grants). However, research shows that incumbents in the rail sector already benefit from an implicit State guarantee (section 2.3.1), and therefore aid in the form of a State guarantee would be worth more to new entrants, who do not benefit from such an implicit guarantee. By strengthening the position of new entrants in the medium to longer term, guarantees promote circularity, as under Options C1 and C2.

Under Option C3, the medium and longer-term positive environmental effects would be lower than under Options C1 and C2, because incumbents would be competing for the same budgetary resources, and the availability of guarantees specifically to smaller companies and new entrants would be reduced.

6.4.3. Social impacts

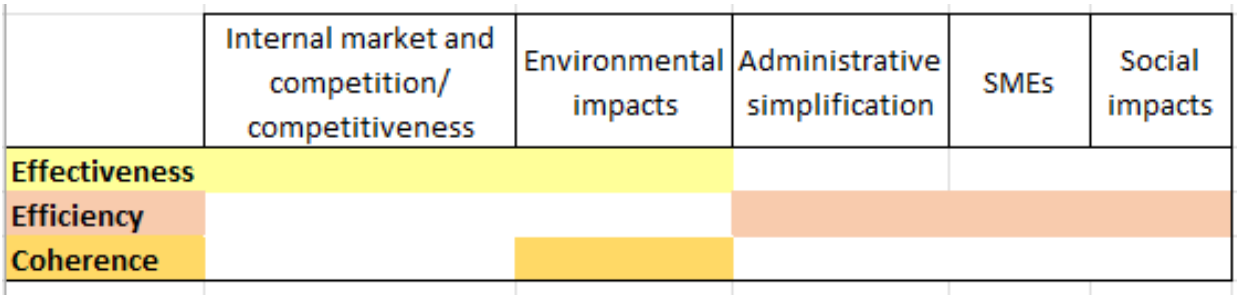
There are no clear social impacts from **Options C1, C2 or C3**. All C Options improve competition within the SLT sector and promote market entry, but the total amount of aid that could be granted would not increase compared to the baseline, rather the contrary. The social impacts, for example in terms of pricing or employment, are therefore unclear.

7. HOW DO THE OPTIONS COMPARE?

This Section provides a summary of the Commission's assessment of the various options available against the baseline. The options identified in Section 5 are compared on the basis of their effectiveness, efficiency and coherence, based on the analysis in Section 6.

The options are scored based on the extent to which they fulfil the specific objectives identified for the intervention (**Effectiveness**). The degree to which specific objectives 1-4 have been met is assessed by their competitiveness and internal market impacts as well as their environmental impacts, i.e. their contribution to modal shift. The **Efficiency** of the options is assessed by the extent to which they contribute to the reduction of administrative burdens, as well as their social impacts and impact on SMEs. Finally, **Coherence** is assessed by the consistency of the options with the aims of the Green Deal and SSMS. The mapping from the assessed impacts to Effectiveness, Efficiency and Coherence is illustrated in Figure 8.

Figure 8: Mapping impacts to Effectiveness, Efficiency and Coherence.



These scoring criteria are not weighted. All policy options have been scored on a scale from ++ (very favourable) to -- (very unfavourable). A ‘0’ indicates a neutral or no expected impact.

Table 11: Comparison of the A Options – Scope of the revised GL and the TBER

Impact	Internal market and competition/ competitiveness	Environmental impacts	Administrative simplification	SMEs	Social impacts
Option A1: GLs extended to SLT, **TBER** to cover only aids under RGL	+	+	+ EUR 6-39.3 million opportunity costs savings for businesses EUR 33 407 – 115 254 direct administrative cost savings for Member States EUR 21 206 – 73 161 direct administrative cost savings for the Commission	+ EUR 0.46-3.92 million opportunity costs savings	0
Option A2: GLs and TBER extended to SLT	++	+/++	++ EUR 7.6-43.4 million for businesses EUR 83 518 – 178 171 for Member States EUR 53 016 – 113 100 for the Commission	++ EUR 1.19-5.5 million opportunity costs savings	0
Option A3: GLs and TBER extended to SLT, **GLs cover** also rail freight PSOs	++	++	++ EUR 7.6-43.4 million for businesses EUR 83 518 – 178 171 for Member States EUR 53 016 – 113 100 for the Commission	++ EUR 1.19-5.5 million opportunity costs savings	+

++/-- *Major positive/negative impact*	+/- *Positive/negative impact*	*0 No or negligible impact*

All A options would have positive impacts (in comparison to the baseline) on competition, the environment, administrative burden and SMEs, only the degree differs. Option A3 would also have a slightly positive social impact, as it could fill gaps in rail freight transport at limited cost.

Option A1 has positive impacts according to all criteria by putting in place a rulebook in the revised GLs for all transport modes and actors which contribute to SLT solutions. The positive impacts are reduced by the limitation of the TBER to measures in the scope of the RGL, which could incite Member States to predominantly put in place such measures, which could be both distortive and inefficient in generating modal shift. In this regard, Options A2 and A3 particularly benefit competition and environmental protection in general and especially SMEs, as they would extend the block exemption to the entire SLT sector.

Option A3 further improves competition and environmental sustainability, and to a lesser degree administrative simplification, by tackling the specific questions raised by compensation for rail freight PSOs. It also has a slightly positive social impact.

Finally, it has been estimated that block exempting measures today falling under the RGL under Option A1 would reduce annual administrative costs for Member States by EUR 33 407-115 254 and the Commission by EUR 21 206-73 161, depending on the degree to which Member States avail themselves of these opportunities. The related savings for businesses due to the earlier availability of the support have been estimated to be between EUR 6 and 39.3 million, again depending on the take-up by Member States. If the block exemption is extended to the Commission's case practice in the SLT sector as per Options A2 and A3, the estimated impact of administrative cost reduction amounts to EUR 83 518-178 171 for Member States and EUR 53 016-113 100 for the Commission. The related opportunity cost savings for businesses would be between EUR 7.6 and 43.4 million.

Table 12: Comparison of the B Options – Compatibility conditions for operating and interoperability aid

Option (*)	Impact on internal market and competition/competitiveness	Environmental impacts	Administrative simplification	Impact on SMEs	Social impacts
B1: Higher aid intensities and a single operating aid category, with strong safeguards	+	+	--	--	0/+
B2: Higher aid intensities and a single operating aid category, with limited safeguards	++	++	+	+	+
B3: Higher aid intensities and aid for infrastructure use, minimal safeguards	+	++	0/+	+	+

++/-- *Major positive/negative impact*	+/- *Positive/negative impact*	*0* *No or negligible impact*

All B Options have positive internal market and environmental impacts, but to a different extent. Option B2 stands out for its positive impacts on both the internal market and the

environment, while still ensuring administrative simplification. It focuses operating aid on closing the external cost gap between SLT and road transport, without safeguards that impose a heavy administrative burden and may cause competition distortions between operators in different Member States, as would be the case under Option B1. The additional positive environmental impacts of Option B3 are expected to be more short-lived, whereas in the long term a loss of competitiveness and efficiency would likely set in. To take account of the fact that the positive environmental impact of Option B3 would already accrue in the short term, the environmental impacts have been assessed as equally positive overall for Options B2 and B3.

Higher aid intensities for interoperability under Options B2 and B3 have strong positive impacts on both the internal market and the environment, because interoperability increases competition within the SLT sector and incentivises more productive use of existing vehicles.

Table 13: Comparison of the C Options – Compatibility conditions for aid for the acquisition of vehicles

Option (*)	Impact on internal market and competition/competitiveness	Environmental impacts	Administrative simplification	Impact on SMEs	Social impacts
C1: Guarantees to smaller and newer companies	+/++	0/+	0	+/++	0
C2: Different types of aid to smaller and newer companies	0/+	0/+	0	++	0
C3: Guarantees to all companies	+/++	0	0	+	0

++/-- *Major positive/negative impact*	+/- *Positive/negative impact*	*0* *No or negligible impact*

All C Options have positive impacts on the internal market and SMEs in particular, since they aim to reduce some of the barriers smaller companies and new entrants face in acquiring rolling stock and vessels, also levelling the playing field between competitors in SLT. Because both guarantees and grants (more typical in the baseline) are simple instruments from an administrative point of view, there is no impact on administrative burden. The environmental impacts are limited, because of the mixed impacts of incentivising the more intense use of vehicles, which is positive for the circular economy and the environment, while allowing less aid to SLT in total, which could discourage modal shift.

Option C2 consists of grants to smaller companies and new entrants only. By allowing the most support among the C Options, and by limiting this support to smaller companies and new entrants, it has the most positive impact on SMEs. Option C3 makes State guarantees available to all undertakings, thereby contributing to levelling the playing field while ensuring that competition is not distorted to the detriment of large enterprises, as is possible under Option

C2. Option C1 both levels the playing field and promotes market entry of smaller companies and new entrants and therefore has the most positive overall impacts.

8. PREFERRED OPTION

8.1. Identification of the preferred policy option

8.1.1. Option Bundle A - Scope of the revised GLs and TBER

Option A3 is proposed. As discussed in Section 6.2 and as shown in Table 11 in Section 7, all A Options score either positive or neutral compared to the baseline. However, by block exempting the measures most commonly accepted in the Commission's case practice, Options A2 and A3 lead to significant administrative simplification and promote environmental protection, while providing adequate safeguards against competition distortions.

By block exempting only the measures that fall within the scope of the RGL, Option A1 scores more poorly than Options A2 and A3 in terms of every single specific objective. The Commission's case practice is robust and consistent enough to block exempt additional measures, both in terms of the beneficiaries (other SLT operators than only railway undertakings) and in terms of the type of projects supported (including, notably, facilities). A restrictive block exemption would limit the extent to which the playing field in the internal market is levelled between SLT modes and in the transport sector overall (specific objective 2) as well as the level of environmental protection, while the reduction in State aid measures that are block exempted would reduce administrative simplification (specific objective 1). Given the prevalence of SMEs in the SLT sector and in particular in the IWW sector, excluding that sector from the scope of the block exemption would also reduce the beneficial impact on SMEs.

Finally, by setting out the rules for rail freight PSOs (as there already are for PSOs in the passenger segment), Option A3 promotes legal certainty and facilitates implementation, which in turn may address gaps in the offer of sustainable freight services, further levelling the playing field with road transport and improving competition and environmental protection.

8.1.2. Option Bundle B – operating and interoperability aid

Option B2 is proposed. It increases operating aid intensities while ensuring that State aid does not exceed the avoided external costs, as is possible under Option B3, in which case the net impact of the aid on society would be negative. This Option also introduces a safeguard to ensure that capacity constraints on the network of the supported SLT mode do not impede modal shift. At the same time, this safeguard is carefully calibrated so as not to introduce possible distortions of competition or administrative burden, as results from the distance limits under Option B1.

Option B2 also increases the interoperability aid intensity, without systematically requiring the funding gap analysis for aid intensities above 50% entailed by Option B1, which imposes a higher administrative burden on Member States and can delay the implementation of projects. Given the acute market failures in interoperability projects, the risk of overcompensation is also limited. As interoperability aid has major positive environmental and internal market impacts (see Table 12), it should be facilitated to the maximum extent.

8.1.3. Option Bundle C – aid for the acquisition of vehicles

Option C1 is proposed. All C Options have a positive competition impact by reducing intrinsic competitive advantages of incumbents and large enterprises over new entrants and smaller companies in the acquisition of rolling stock and vessels. Option C1 targets new entrants and

smaller companies, without overshooting and risking undue distortions of competition to the detriment of incumbents and large enterprises. The Option promotes both market entry and a level playing field in the SLT sector. Option C2, by including grants, does not address the specific market failure of access to finance for new entrants and smaller companies and may therefore cause undue competition distortions within SLT modes. Option C3 addresses the market failure of access to finance directly but, by including all undertakings as beneficiaries, does not promote market entry of new entrants and smaller companies as compared to incumbents and large enterprises as much as Option C1 does.

8.1.4. Combined impact of the proposed Options

Taken together, the proposed preferred Options form a comprehensive and consistent framework for State aid to SLT going forward. Being mutually reinforcing, their combined impact is greater than the sum of the individual preferred Options taken one by one. The preferred Options taken together will revamp the framework applicable to State aid measures to SLT both in terms of form/procedure (simplification by codification of applicable rules in one text and block exemption respectively) and on substance (incentivising SLT by further facilitating aid which is well targeted to identified market failures) and will together contribute to achieving the modal shift objective set by the Green Deal, i.e. shifting as a "*matter of priority*" a substantial part of the 75% of inland freight carried today by road to rail and IWW.

By way of example to illustrate:

- The expansion of the scope of the new rules to include IWW and multimodal transport constitutes a consolidation of many years of case practice as well as a recognition of the fact that road transport is still by far the dominant mode of transportation. Depending on their geographic characteristics and the Member State concerned, IWW and multimodal transport can be a superior alternative to rail transport in terms of cost effectiveness, enabling those modes to compete with road transport more strongly, especially in the freight segment. The more generous compatibility conditions under the preferred Options of Option Bundles B and C in conjunction with the enlargement of the scope under the preferred Option A3 compared to the baseline will overall strengthen the positive impacts on administrative burden, competition, the single market, the environment and SMEs.
- There is a synergy between the more formal and the more substantial aspects of the preferred options, i.e. the fact that the initiative marries environmental benefits with administrative simplification. Indeed, in some cases the revised compatibility conditions entail in themselves administrative simplification, in that previous requirements which were unclear or cumbersome to demonstrate are now dropped. This is the case for example as regards the capping of operating aid to 30% of total transport costs, a notion which was not defined, unclear and inconsistently applied in the case practice, and which will be dropped in the preferred option (Option B2). This reinforces the simplification entailed by the wide scope of both the new Guidelines and in particular the block exemption (Option A3).
- The introduction of start-up aid for passenger night trains and rail freight transport (A options) will reinforce the competitiveness of new entrants also promoted by the improved access to finance for vehicles (Option C1).
- Aid to finance interoperability investments (Option B2), which will make SLT operations more secure and efficient, can be complemented for smaller and newer operators with aid for the acquisition of vehicles (Option C1), thereby promoting overall the development of a modernised fleet.

8.2. REFIT (simplification and improved efficiency)

The current initiative ensures a considerable degree of procedural simplification thanks to the introduction of a block exemption, as described in Section 6.2. Expanding the scope of the RGL to include other SLT modes and other types of investments will lead to further simplification of the procedure: after a limited one-off effort to familiarise themselves with the revised GLs and the TBER, Member States will have before them a clear legal framework. They will no longer have to study the Commission's approach on a case-by-case basis, researching a body of decisions to identify the conditions under which they can grant aid. Moreover, in case a measure is covered by the block exemption, there is no administrative burden linked to notification. The annual estimated administrative burden reduction of the proposed Option A3 amounts to EUR 83 518-178 171 for Member States and EUR 53 016-113 100 for the Commission. The related savings for businesses (corresponding to the opportunity costs avoided due to earlier availability of the support which does not need to be notified and approved) are estimated to be EUR 7.6-43.4 million annually. The compatibility conditions proposed will also entail administrative simplification. Notably, the conditions applying to operating aid are simplified, so that Member States only have to demonstrate that State aid granted does not exceed an external cost ceiling and not, in addition, a total cost ceiling, as is currently the case.

8.3. Application of the 'one in, one out' approach

This initiative is out of scope of the 'one in, one out' approach, as it does not give rise to administrative costs for businesses or citizens, only for Member States' authorities. Administrative costs for Member States' authorities deriving from this initiative, as well as possible indirect effects on businesses, have been assessed and as far as possible quantified in Sections 6.2.1, 6.3.1, 6.4.1, 7 and 8.1 and 8.2 above, as well as Annex 8.

9. HOW WILL ACTUAL IMPACTS BE MONITORED AND EVALUATED?

The monitoring and evaluation of the initiative will be based on publicly available indicators, notably by including data from the mandatory State aid control system, which this initiative implements for the SLT sector, as it exists for State aid in general. This ensures that basic characteristics of aid schemes and aid awards are made public and that periodic reviews are conducted to identify the effectiveness and the level of compliance of selected measures. This data can be used to measure the impact of the initiative on the general and specific objectives set out in Section 4.

9.1. The mandatory control system for State aid measures

In accordance with Article 108 TFEU, '*the Commission shall, in cooperation, with Member States, keep under constant review all systems of existing aid in those Member States'*. The European Commission Directorate-General for Competition (DG COMP) implements a State aid control system based on three main elements: transparency, monitoring, and *ex post* evaluation.

Transparency: Transparency under State aid rules ensures the publication of individual aid awards to allow for peer review, public control and greater accountability. While the details of the State aid measures themselves have been published so far also for SLT in the form of non-confidential versions of Commission decisions, more granular data related to aid granted per beneficiary or reporting on SLT in the framework of the State aid Scoreboard are currently not available. This initiative introduces those transparency requirements for the SLT sector, aligning them with what is required for other types of aid. Thus, Member States will be required

to publish all individual aid awards exceeding a specified threshold in a publicly accessible repository. Publication requirements are introduced also for the block exempted measures.

Ongoing annual monitoring of selected State aid cases: DG COMP monitors every year a sample of existing aid schemes covering both notified and block exempted aid schemes. This *ex post* monitoring exercise involves a check of the national legal basis for consistency with the approval Commission decision or applicable block exemption, and a review of the implementation of the scheme for a sample of beneficiaries. This makes it possible to monitor Member States' respect of the State aid rules and detect difficulties with the implementation of specific rules. The SLT sector is and will continue to form part of such monitoring exercises.

Ex post evaluation of certain State aid measures: Ex post evaluation provides an analysis of the effectiveness and efficiency of selected aid measures to enable Member States to improve the design of future schemes. State aid evaluation in particular makes it possible (i) to verify that the assumptions underlying the approval of the scheme are still valid; (ii) to assess whether the scheme is effective in achieving the objective for which it was introduced; and (iii) to cater for unforeseeable negative effects. This initiative introduces the principle of ex post evaluation to the revised GLs and the TBER. The intention is to make use of this tool in the future, where appropriate, i.e. in particular for large aid measures with novel characteristics.

9.2. Measuring the success of the initiative against its objectives

The success of State aid GLs and block exemptions depends on the extent to which they are effective at inducing Member States to design aid measures that can achieve the desired policy objectives in a cost-efficient manner, while minimising distortions of competition. In the case of the revised GLs and the TBER, measuring success will involve examining inter alia the effects on the general objective of encouraging modal shift towards SLT modes, as well the specific objectives set out in Section 4 (reducing the external cost gap between road and SLT, accelerating the rollout of interoperability technologies, improving access to finance for SMEs and new entrants and improving access to facilities and private sidings).

Success of the initiative would mean: First, an **increasing trend in the amounts of State aid** granted by Member States for SLT[203] would indicate a contribution to the general objective of increasing the modal share of SLT. Second, the number of measures and amounts of aid **under the TBER** should follow an increasing trend, indicating that State aid rules allow Member States to allocate larger aid amounts faster. Third, the **duration of the notification process** should show a decreasing trend. Finally, success of the initiative would ideally entail an increasing trend in **the share of SLT modes** in passenger and freight transport[204]. However, this can only be a secondary indicator as the evolution of the indicator is influenced by several other factors. These include consumer choices between transport modes, the evolution of the costs of different inputs or of the fuels used for providing each transport mode, the difficulty users have to access different transport modes depending on location, the importance users attribute to the duration of the journey, etc.

For the specific objective of reducing the external cost gap between road and SLT (SO1), the initiative would be considered successful if, following the adoption of the new rules, the

[203] Available from the database of State aid cases, administered by the Commission based on Member States' notifications and information sheets (for block exempted measures): https://competition-cases.ec.europa.eu/search?caseInstrument=SA.

[204] Eurostat statistics related to the share of SLT modes in passenger and freight transport (tran_hv_psmod, tran_hv_frmod).

amount of operating aid granted to cover external costs increases, along with **the average intensity of aid**. A secondary indicator could be a decline in **prices for rail or IWW transport** compared to those of road and air transport (available from Eurostat[205] and different market reports), though the evolution is affected also by changes in prices of energy and other input costs. For the specific objective of accelerating the rollout of interoperability technologies (SO2) success will be achieved if the deployment of **ERTMS**[206] shows an increasing trend. Improving access to finance for SMEs and new entrants (SO3) would be achieved primarily by an **increase of the aid granted to new entrants and SMEs** (available from the State aid transparency database[207]) while a secondary indicator would be the **increase in the market shares of SMEs and new entrants** in the SLT[208]. The objective of improving access to facilities and private sidings (SO4) will be achieved if the **number of multimodal terminals**[209] shows an increasing trend, in particular those modernised to handle trains of 750m, if **the number and length of private sidings** increases, and if **the use of multimodal transport containers** in rail transport increases[210].

Annex 12 shows a full list of envisaged indicators, as well as the relevant sources of data. Besides the State aid control system, other indicators will be based on publicly available data sources, such as Eurostat or regular Commission reports, avoiding additional administrative burden on companies and Member States.

[205] Eurostat datasets on HICP and the detailed decompositions (prc_hicp_aind).
[206] The Commission publishes regular updated on the state of play of on-board ERTMS deployment at: https://transport.ec.europa.eu/transport-modes/rail/ertms/state-play_en.
[207] State aid transparency award module: https://webgate.ec.europa.eu/competition/transparency/public?lang=en.
[208] Monitoring report on the development of the rail market under Article 15(4) of Directive 2012/34/EU https://transport.ec.europa.eu/transport-modes/rail/market/rail-market-monitoring-rmms_en.
[209] https://webgate.ec.europa.eu/tentec-maps/web/public/screen/home.
[210] Eurostat statistics related to the use of ITUs in rail transport (tran_im_urail, tran_im_umod).

ANNEX 1: PROCEDURAL INFORMATION

1. Lead DG, Decide Planning/CWP references

Lead DG: European Commission Directorate-General for Competition (DG COMP)

Decide Planning References:

- PLAN/2021/11193 - Revision of the State aid Railway Guidelines
- PLAN/2021/11577 - Block exemption regulation on the application of Articles 93 and 108 of the Treaty to State aid for transport coordination

2. Organisation and timing

The Inter-Service Steering Group ('ISSG') was set up in July 2021 and gathered representatives from the Commission's Secretariat General, Legal Service and 12 other Directorates-General: CLIMA, CNECT, DEFIS, ECFIN, ENER, ENV, ESTAT, GROW, MOVE, REGIO, RTD and TRADE. The ISSG was consulted on the IIA, the terms of reference for the study and the questionnaire for the public consultation, as well as the CfE for the TBER. Furthermore, the ISSG received a debrief of the results of the public and targeted consultations, the final study, as well as a preview of the proposals developed for the draft GLs and TBER and the Impact Assessment Report.

DG COMP organised 8 ISSG meetings on 10 September 2021, 3 December 2021, 6 September 2022, 12 October 2023, 23 February 2024, 24 January 2025, 4 July 2025, and 11 September 2025. On a number of deliverables, the group was consulted in writing (details in Table 14 below).

Table 14: Overview of the timing

Date	Description of the activities
30 July 2021	Setting up of ISSG and invitation to first ISSG meeting
10 September 2021 **(virtual meeting)**	1st ISSG meeting: • Overview of the project and timeline • Discussion of the IIA • Discussion of the roadmap for the Commission proposal for a Council land transport enabling regulation • Discussion of the terms of reference for the study
1 October 2021 until 29 October 2021	Publication of the IIA for the revision of the GLs
3 December 2021 **(virtual meeting)**	2nd ISSG meeting: • Feedback from the consultation on the IIA • Discussion of the draft consultation strategy and questionnaire for public consultation

22 December 2021 – 16 March 2022	Open public consultation
6 September 2022 **(virtual meeting)**	3rd ISSG meeting: • Discuss draft final report of the study • Feedback from the public consultation • Next steps
30 September 2022 **(virtual meeting)**	Upstream meeting with the Regulatory Scrutiny Board ('RSB')
12 October 2023 **(virtual meeting)**	4th ISSG meeting: • Discuss Sections 1-4 of the Impact Assessment Report • Overview of the content of the draft revised GLs and TBER
16 February 2024 – 8 March 2024	1st ISC on the revised GLs and the TBER
23 February 2024 **(virtual meeting)**	5th ISSG meeting: • Discuss the draft texts for the revised GLs and TBER during ISC
6 March 2024 – 3 April 2024	Publication of the CfE for the introduction of the TBER (following consultation of the ISSG in writing)
18 June 2024 – 20 September 2024	Targeted consultation of national/regional aid granting authorities on the administrative burden reduction of the TBER
10 September 2024 **(virtual meeting)**	Advisory committee and multilateral meeting with Member States' authorities on the revised GLs and TBER
24 June 2024 – 20 September 2024	Targeted consultation of stakeholders on the draft texts for the revised GLs and TBER
24 January 2025 (virtual meeting)	6th ISSG meeting: • Present stakeholders' feedback from the targeted consultation • Present main orientations for the upcoming ISC on the TBER • Present and discuss SME test • Consult ISSG on Sections 1-5 of the Impact Assessment Report (sent after the meeting)
10 – 21 February 2025	2nd ISC on the TBER

2 June 2025 **(virtual meeting)**	Second complimentary Upstream meeting with the RSB
18 June 2025 (virtual meeting)	2nd Advisory committee meeting with Member States' authorities on the TBER
4 July 2025 **(virtual meeting)**	7th ISSG meeting: • Second Upstream meeting with RSB • Full draft Impact Assessment Report • Debrief from the 2nd Advisory committee meeting
11 September 2025 **(virtual meeting)**	8th ISSG meeting: • Second consultation of full draft Impact Assessment Report • Debrief of the orientation given by EVP Ribera on the key issues
12 December 2025 **(virtual meeting)**	9th ISSG meeting: • Presentation of the RSB opinion and revision of the IAR • Any other business

The following exception was made to the Better Regulation Guidelines during this impact assessment[211]:

- No additional public consultation on a questionnaire was carried out for the TBER, as the questionnaire of the public consultation on the revised GLs covered the most relevant aspects of the TBER as well.

3. Consultation of the RSB

An Upstream meeting with the RSB took place on 30 September 2022 to discuss DG COMP's Impact Assessment for the revised GLs and new TBER. The RSB members and DG COMP discussed the scope of the Impact Assessment, i.e. the focus on the main choices to inform policy makers on the key political decisions. In this respect, the RSB made clear that the intervention logic was of utmost importance, as it constitutes the backbone of the Impact Assessment. Particular attention should be paid to defining the specific objectives, against which options are assessed, and to finding the supporting evidence. The RSB reminded DG COMP that possible negative consequences of the revised GLs and new TBER should be clearly spelled out and assessed as well. An important point raised by DG COMP and taken up by several RSB members was coherence with other Green Deal initiatives. Several RSB members stressed the need for DG COMP to stay in close contact with other DGs, because decisions taken in other Commission initiatives can affect the initiative at hand, but also to spell out the contribution of the initiative at hand to achieving the objectives of the Green Deal.

A second complementary Upstream meeting with the RSB took place on 2 June 2025. It focused on the approach to analysing impacts and specifically the level of detail required for analysing environmental, social and competitiveness impacts, as well as the methodology for estimating

[211] https://ec.europa.eu/info/better-regulation-guidelines-and-toolbox_en.

administrative costs. RSB members emphasised that the future report should assess to what extent the intervention would likely impact each problem identified. Additionally, they underscored the importance of using modelling techniques to support the Impact Assessment, such as scenario analysis, and to explicitly outline key assumptions and uncertainties. RSB members recommended the approach of disaggregating key environmental impacts. The competitiveness assessment should be tied to the overarching economic analysis. Similarly, the future report should provide a clear assessment of the potential impacts on SMEs. RSB members noted the value of active participation by Member States and economic operators in consultation activities, particularly in estimating costs, to ensure accurate and reliable data.

The RSB meeting took place on 12 November 2025. In summary, the Board gave a positive opinion with reservations, stating that the following aspects had to be rectified:

- The intervention logic does not present sufficiently clear problems, problem drivers as well as the expected contribution of State aid to the uptake of SLT and its interplay with other initiatives aimed at addressing market failures in the transport sector.
- The report does not provide a sufficient economic analysis, including for the specification of options.

RSB comment	Action taken
(1) The intervention logic should better identify the underlying causes of the problems, such as alleged market failures, regulatory failures, including the root causes of slow processing of state aid, or behavioural biases; and describe how the intervention will contribute to the increase of the share of sustainable land transports. The report needs to articulate the relationship between this intervention and other EU policies in the area of sustainable land transport, including analysis of ETS2.	Sections 2.1, 2.2 and 2.3 were redrafted to reflect a reconceptualised intervention logic. In addition, Section 4 was also redrafted to be coherent with the problems and problem drivers. Section 1.2 was expanded as regards the relation with other initiatives, and in particular to also address ETS2.
(2) The report should better capture upfront the magnitude and scale of State aid in these sectors, and its share of the total volume of State aid. The experience gained from the State aid implementation and modernisation should be used more in the report to underpin this analysis. The analysis of the case practice that is at the basis of the proposed modification of the State aid Railway Guidelines, should be included in the report.	Section 1.1 was redrafted to reflect an analysis of the information in Annex 7 and further additional analysis of case practice. In addition, Section 1.3 was expanded and clarified. Finally, further analysis of the case practice was also added in Sections 5.2 – 5.5.
(3) The economic analysis should be more robust, using quantitative data to substantiate the expected impacts of the intervention. It should analyse, to the extent possible, the substitution but also the income effects of the additional State aid measures.	A new Section 6.1.1 was added to address this point.

(4) The potential risks of distortions to competition need to be better analysed. The report should assess safeguards which could mitigate these risks. The report should better account for different levels of fiscal constraints in the Member States that would affect implementation of the framework. It should also provide a more detail on the funding gap analysis.	Additional analysis of fiscal constraints was added in Section 6.1.1. In addition, the funding gap and its impact was better explained in Sections 5.2 and 6.3.1.
(5) The report should more clearly spell out the impacts of different policy options. The environmental impacts of options bundle C, for example, should look into the effects of the implicit guarantees enjoyed by incumbents and how excluding large enterprises would incentivise different commercial behaviours. Similarly, the different environmental impacts of options within bundle B should be more clearly explained.	Sections 6 and 7 were reviewed; in particular, changes were made to Sections 6.4.2 on the C options and Sections 6.3.2 and 7 on the B options to take into account the examples.
(6) The monitoring framework, as presented in the report and detailed in Annex 12, does not include sufficiently RACER indicators.	Section 9 was revised in line with the reconceptualised intervention logic and with information from Annex 12. Annex 12 was equally updated.

4. Evidence, sources and quality

The Impact Assessment for the revision of the RGL and the new TBER was supported by an external study[212]. The study was procured under the Framework contract COMP/2017/013 for the provision of support studies for evaluations and impact assessments in the area of State aid policy signed on 24 May 2018. The request for services was accepted by a consortium of DIW Berlin, E.CA Economics, LEAR, Sheppard Mullin Richter & Hampton LLP, and the University of East Anglia, who made an offer on 9 December 2021. The contract was awarded and signed on 16 and 22 December 2021 respectively. The study mainly covered four areas of interest: status of rail infrastructure, accessibility and costs (including modernisation) pertaining to rolling stock, profitability and demand elasticity of rail freight services and effectiveness of State aid.

The analysis is based on a multiple sources: academic literature, databases (including those developed by EU Bodies (Eurostat, European Railway Agency) and national Registration Entities of the EU Member States, surveys and interviews targeting stakeholders in twelve Member States and Switzerland, including European umbrella associations, infrastructure managers, national market regulators, IWW operators, rolling stock leasing companies, granting authorities, railway undertakings and intermodal operators.

[212] See footnote 50.

The project was also supported by several consultation activities, including two advisory committees and a multilateral meeting with Member States and the European Economic Area ('EEA') States. More details on this are provided in Annex 2.

ANNEX 2: STAKEHOLDER CONSULTATION (SYNOPSIS REPORT)

1. Introduction

Significant consultation work was carried out to collect information and data for the revision of the RGL and design of the TBER.

2. Outline of the consultation strategy

The Commission promoted the initiative on the Better Regulation Portal ("Have your say")[213]. The aim of the consultation activities was to collect supporting information and data on SLT so that the rules could be simplified, updated in line with key EU priorities and adapted to the sector's needs, and to support the Impact Assessment for the revised GLs as well as the new TBER. In particular, the consultation activities were designed to allow interested parties to provide their feedback as regards the potential policy options.

2.1. Stakeholders

The primary stakeholders are Member States' granting authorities and transport regulators (yellow), and all possible beneficiaries of State aid measures that support SLT and their competitors (green). Attention has been given to business associations and organisations of the above categories, as well as to stakeholders possessing detailed expertise.

Specific stakeholder categories, selected in function of the impact the revision of the RGL and the new TBER will have on them (from most to least impacted), include:

- Local and national aid granting authorities
- National and EU regulatory bodies
- Railway undertakings
- Terminal owners and operators
- Multimodal transport operators
- Organisers of multimodal freight transport
- Freight forwarders
- Logistics operators
- Shippers
- Rolling stock leasing companies
- IWW and maritime freight transport operators
- Railway infrastructure managers
- Road hauliers

[213] https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/13154-Rail-transport-revision-of-State-aid-guidelines_en and https://ec.europa.eu/info/law/better-regulation/have-your-say/initiatives/14184-Block_exemption-regulation-on-the-application-of-Articles-93-and-108-of-the-Treaty-to-State-aid-for-the-land-transport-sector_en.

- Industry associations representing the different categories above at EU and national level
- Sectoral think tanks, platforms and networks, environmental non-governmental organisations ('NGOs')
- Sectoral manufacturers
- Consultancies
- Researchers and academics
- Consumers and consumers' associations

2.2. Methods of engagement

A balanced and comprehensive coverage of stakeholder views has been ensured through open and targeted consultation methods. A set of different consultation tools has been used, each focusing on different types of stakeholders. While Member States' authorities and relevant stakeholder associations have been consulted via targeted interviews and meetings, the online public consultation reached out to them in a more formalised way, but also to a wider audience, e.g. industry, as well as sectoral think-tanks, academics and researchers and individual citizens.

Given the scope and the stakeholder base, the following activities have been carried out in the consultation process:

- Four-week feedback period on the IIA[214] on the revised GLs and the CfE for the TBER[215];
- Public consultation (12 weeks) through a questionnaire[216]. It was published in English, French and German;
- Targeted consultations conducted by the contractor of the study by way of survey questionnaires and interviews of key stakeholders;
- Targeted consultation on the proposed revised GLs and TBER available on DG COMP's website[217];
- Meeting with the Member States on 10 September 2024 during the consultation on the proposed revised GLs and TBER drafts and on 18 June 2025 during the second consultation of Member States on the TBER draft;
- Targeted consultation of relevant national and regional authorities regarding the administrative burden reduction entailed by the TBER; and
- Bilateral meetings with Member States, representatives of the sector, stakeholder associations, and other interested stakeholders.

[214] See footnote 213.
[215] See footnote 213.
[216] See footnote 213.
[217] See footnote 53

Moreover, the revision of the RGL and introduction of the TBER also benefitted from the results of a consultation already carried out in the framework of the Fitness Check of the SAM package, during which further submissions also regarding the specific GLs were received.

3. Methodology and tools used to process the data

The Commission used a combination of questionnaires, meetings with interested stakeholders, public consultations and working groups with Member States, to ensure a transparent and comprehensive methodology for the assessment of the data collected.

In particular, one public consultation and two targeted consultations were launched to provide all stakeholders the possibility to contribute to the initiative submitting backward-looking data and forward-looking feedback. More specifically, the feedback from the consultations, as well as the feedback to the IIA and CfE were analysed internally by the Commission.

4. The results of the stakeholder consultations

This Point summarises the views and evidence collected from the different categories of stakeholders during the consultation activities. The fact that for all consultation activities a large share of the replies comes from businesses and business associations has significantly affected the representativeness of the outcome. The nature of these replies reveals a general bias towards a wider scope and increased level of State aid by the likely affected stakeholders, even though there are diverging views on specific topics and by sectors competing with the targeted beneficiaries. To this extent, Member States and NGOs, albeit outnumbered by the former categories, added alternative insights.

4.1. The feedback on the IIA for the revised GLs

From 1 to 29 October 2021, the Commission published the IIA for the revision of the RGL in order to allow stakeholders to provide their feedback on the initiative. 15 stakeholders provided a response, of which 3 were companies and 7 were business associations. Moreover, 1 academic association, 2 EU citizens, 1 navigation authority and 1 regional public entity provided feedback.

The relevance of the RGL was not questioned. Moreover, two thirds of the respondents specifically welcomed the revision of the RGL or the introduction of a TBER in their reply[218]. Feedback touched on the following points in particular:

- SLT and decarbonisation:
  Three contributors suggested being more generous as regards operating aid for external costs to support sustainable transport and particularly the decarbonisation of rail transport[219].
- Level playing field:
  Three respondents highlighted the need to develop a fair, non-discriminatory and transparent distribution of State aid, arguing that entry barriers for new entrants are high, and that market entry needs to be facilitated[220].

[218] 6 business associations out of 7 (85.7%), 3 companies out of 3 (100%), 1 regional public entity out of 1 (100%).
[219] 1 business association out of 7 (14.3%), 1 company out of 3 (33.3%), 1 regional public entity out of 1 (100%).
[220] 1 business association out of 7 (14.3%), 1 company out of 3 (33.3%), 1 academic institution out of 1 (100%).

- Access to rolling stock:
  6 respondents provided comments on the acquisition of rolling stock, with half being rather against and half rather in favour. Three respondents considered that aid in the form of lump sums should be prohibited[221] across the sector or in the freight segment only, while another three respondents considered that ambitious measures are necessary[222] either for all vehicles or for clean vehicles only.
- New technologies:
  Four respondents highlighted the importance of State aid for new technologies, including in particular interoperability technologies as well as, in one case, R&D[223].

4.2. The feedback on the CfE for the TBER

From 6 March to 3 April 2024, the Commission published the CfE on the introduction of the TBER in order to allow stakeholders to provide their feedback. 31 stakeholders provided a response (of which 8 via e-mail shortly after the deadline for responses on the "Have your Say" portal expired), of which 14 business associations and 2 businesses, 9 public authorities, 4 EU citizens and 2 NGOs. Business associations relayed also the views of SMEs, with one business association representing SMEs only and two business associations representing parts of the IWW sector, which is dominated by SMEs.

The respondents welcomed the introduction of a TBER. More concretely, feedback touched on the following points:

- 13 respondents[224] consider that the TBER would considerably simplify and streamline the granting of aid while decreasing the administrative burden for Member States and accelerate the implementation of State aid measures. 6 stakeholders highlighted the importance of the TBER besides the rail sector also for the IWW sector[225].
- Respondents proposed to block exempt operating aid[226] and investment aid for interoperability[227]. In addition, many also suggested block exempting investment aid for facilities and infrastructure[228]. Views were divided regarding aid for the acquisition of rolling stock, where market failures were invoked by some stakeholders as a reason to include such aid measures in the TBER[229], while others pointed to a high distortive risk for such aid, warranting a notification[230]. Few stakeholders also mentioned PSOs for rail freight as a candidate for block exemption[231].

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[221] 3 business associations out of 7 (42.9%).
[222] 2 business associations out of 7 (28.6%), 1 regional public entity out of 1 (100%).
[223] 3 business associations out of 7 (42.9%), 1 company out of 3 (33.3%).
[224] 7 businesses or business associations out of 16 (43.8%), 5 public authorities out of 9 (55.6%), 1 NGO out of 2 (50%).
[225] 2 businesses or business associations out of 16 (12.5%), 4 public authorities out of 9 (44.44%).
[226] 5 businesses or business associations out of 16 (31.3%), 5 public authorities out of 9 (55.56%).
[227] 2 businesses or business associations out of 16 (12.5%), 4 public authorities out of 9 (44.4%), 1 NGO out of 2 (50%).
[228] 4 businesses or business associations out of 16 (25%), 3 public authorities out of 9 (33.3%), 1 NGO out of 2 (50%).
[229] 2 businesses or business associations out of 16 (12.5%), 3 public authorities out of 9 (33.3%), 1 NGO out of 2 (50%).
[230] 3 businesses or business associations out of 16 (18.75%).
[231] 1 business association out of 14 (7.1%), 1 public authority out of 9 (11.1%), 1 NGO out of 2 (50%).

- In general, 6 stakeholders advocated for higher aid intensities in the TBER than in the RGL in particular for operating aid[232], some up to 100% of eligible cost. For investment aid in facilities and infrastructure, the funding gap approach was put forward by one business association and one public authority.
- 7 respondents[233] emphasized the need to limit any distortion and to let the market deliver, where this is most efficient. Three respondents[234] specifically mentioned open and non-discriminatory allocation of aid and the use of aid schemes under the TBER.

4.3. The public consultation on the basis of a questionnaire

The public consultation was carried out through a questionnaire published on EU Survey, which ran from 22 December 2021 until 16 March 2022. The objective of the consultation was to gather input from all interested stakeholders on problems existing in the field of SLT, and on the way a review of the RGL and the introduction of the TBER could help address these problems in line with the Green Deal and the SSMS. The consultation contained 26 questions on different topics of relevance, with the additional possibility for the contributors to elaborate on their answers. The questionnaire was answered to by 70 stakeholders[235], divided as follows:

- 41 replies (58% of the respondents) were received from the business sector, of which 26 replies by companies[236] (37%), 12 replies (17%) by business associations, and 3 replies (4%) by trade unions.

- 15 replies came from public authorities (21%), 5 from NGOs (7%), 3 from EU citizens (4%) and 1 from an academic institution (1%).

- 5 respondents identified themselves as not belonging to any of the above categories (‘other’).

In terms of geographical distribution, answers were received from 20 countries. The Member States in which most respondents are based were Italy (11 replies), Belgium (11), France (9), Austria (6) and Germany (5). Among the 20 countries, 4 countries are not members of the EU (the UK, the US, Norway and Switzerland).

From a thematic point of view, the questionnaire was divided in eight sections, in regard of which the stakeholders took the following positions:

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[232] 3 businesses or business associations out of 16 (18.8%), 2 public authorities out of 9 (22.2%) and one NGO out of 2 (50%).
[233] 4 business associations out of 14 (28.6%), 1 citizen out of 4 (25%), 2 public authorities out of 9 (22.2%).
[234] 2 business associations out of 14 (14.3%), 1 public authority out of 9 (11.1%).
[235] The Commission received 10 additional responses after the official deadline for submitting the replies to the questionnaire. 8 of these were sent by stakeholders other than the 70 taken into account for the present analysis; 2 other comments were submitted by stakeholders who replied to the questionnaire but wanted to further elaborate on some issues. For reasons of clarity and simplicity, the data taken into consideration in this document represent only those replies that were submitted via EU Survey. However, where additional qualitative remarks were made in the responses received later, those are included in the presentation in this Point.
[236] Including business organisations.

A) Support to modal shift towards less polluting and more sustainable transport modes

Stakeholders were of the view that the rules of the RGL were not sufficiently generous, with 66% of respondents (46 out of 70)[237] considering that the existing operating aid rules were insufficient to support a sustainable transfer of traffic, including all responding companies[238], regardless of their size and date of market entry, and all responding relevant business associations.[239] 11% (8 out of 70)[240] thought they were sufficient, and the remaining 23% (16)[241] were unsure. Public authorities were particularly divided, without any identifiable pattern based on the level of governance (e.g. regional or national) of the authority, its geographical location, its size or its budgetary expenditure: FR, HU, CZ, LV as well as two IT regions indicated that the existing operating rules were insufficient, while NL, FI, IT and an IT port authority considered them sufficient, and RO, LT, a FR region and two IWW authorities did not know. The respondents who replied that the RGL rules on operating aid are not sufficient specified the sectors that in their opinion would require more far-reaching public measures: 80% (37 replies)[242] indicated intermodal freight services, another 78% (36 replies)[243] indicated first mile/last mile only rail services and 63% (29 replies)[244] indicated SWL services. The reasons for widening the public support to these services, according to the stakeholders, lie mainly with the unprofitability of the service (54% - 38 out of 70)[245], the insufficiency of available infrastructure (51% - 36 out of 70)[246] and its inadequacy (49% - 34 out of 70)[247]. As to the current level of the total costs of rail transport threshold (30%), a large majority of 80% of respondents (56 out of 70)[248] considered that this threshold was too low, while only 3% (2 out of 70)[249] deemed it appropriate and the remaining 17% (12 out of 70)[250] were unsure. Similarly,

[237] 20 companies out of 26 (76.9%), 10 business associations out of 12 (83.3%), 6 public authorities out of 15 (40%), 5 NGOs out of 5 (100%), 2 trade unions out of 3 (66.7%), 3 other respondents out of 5 (60%).
[238] Excluding the companies which replied that they did not know.
[239] Excluding one business association which replied that they did not know, and one reply stemming from a business association with sectoral activities falling outside of the scope of the present initiative.
[240] 1 business association out of 12 (8.3%), 4 public authorities out of 15 (26.7%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%).
[241] 6 companies out of 26 (23.1%), 1 business association out of 12 (8.3%), 5 public authorities out of 15 (33.3%), 1 trade union out of 3 (33.3%), 1 EU citizen out of 3 (33.3%), 3 other respondents out of 5 (60.0%).
[242] 18 companies out of 26 (69.2%), 8 business associations out of 12 (66.7%), 4 public authorities out of 15 (26.7%), 2 trade unions out of 3 (66.7%), 2 NGOs out of 5 (40.0%), 3 other respondents out of 5 (60.0%).
[243] 14 companies out of 26 (53.8%), 9 business associations out of 12 (75.0%), 5 public authorities out of 15 (33.3%), 2 NGOs out of 5 (40.0%), 2 trade unions out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[244] 12 companies out of 26 (46.2%), 9 business associations out of 12 (75.0%), 3 public authorities out of 15 (20.0%), 1 NGO out of 5 (20.0%), 2 trade unions out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[245] 16 companies out of 26 (61.5%), 10 business associations out of 12 (83.3%), 6 public authorities out of 15 (40.0%), 2 NGOs out of 5 (40.0%), 2 trade unions out of 3 (66.7%), 2 other respondents out of 5 (40.0%).
[246] 18 companies out of 26 (69.2%), 9 business associations out of 12 (75.0%), 3 public authorities out of 15 (20.0%), 2 NGOs out of 5 (40.0%), 2 trade unions out of 3 (66.7%), 2 other respondents out of 5 (40.0%).
[247] 15 companies out of 26 (57.7%), 9 business associations out of 12 (75.0%), 4 public authorities out of 15 (26.7%), 2 NGOs out of 5 (40.0%), 2 trade unions out of 3 (66.7%), 2 other respondents out of 5 (40.0%) .
[248] 22 companies out of 26 (84.6%), 9 business associations out of 12 (75.0%), 10 public authorities out of 15 (66.7%), 1 academic institution out of 1 (100%), 5 NGOs out of 5 (100%), 2 EU citizens out of 3 (66.7%), 2 trade unions out of 3 (66.7%), 5 other respondents out of 5 (100%) .
[249] 1 business association out of 12 (8.3%), 1 public authority out of 15 (6.7%) .
[250] 3 companies out of 26 (11.5%), 2 business associations out of 12 (16.7%), 4 public authorities out of 15 (26.7%), 1 trade union out of 3 (33.3%), 1 EU citizen out of 3 (33.3%), 1 other respondent out of 5 (20.0%) .

concerning State aid to incentivise interoperability, 67% of the respondents (47 out of 70)[251] considered the current threshold of 50% of the eligible costs too low, including undertakings of all sizes (14 large, 1 medium and 3 micro-undertakings), while only 19% (13 out of 70)[252] deemed it adequate, also including undertakings of all sizes (2 large, 1 medium, 1 small and 1 micro-undertakings).

Stakeholders pronounced themselves against any additional conditions with 62% of stakeholders (43 out of 70)[253] against making the award of State aid conditional on proof that the supported transport services are not cost covering (against 38% (27 out of 70)[254]in favour).Public authorities were particularly divided, without identifiable pattern amongst this group of respondents: LT, FR, HU, LV, NL, a FR region, a FR IWW authority and an IT region were against, while RO, CZ, FI, IT, a BE IWW authority, an IT region and an IT port authority were in favour. 55.5% of SMEs were in favour, while only 25% of large undertakings were in favour. 64% of respondents (45 out of 70)[255] expressed themselves against the establishment of a cap to the maximum aid amount to incentivise beneficiaries to contribute financially with their own resources (against 36% (25 out of 70)[256] in favour). The size of the responding companies had a limited influence on this point, with respectively 66.6% of SMEs and 81.2% of large undertakings against.

There was a slight majority for maintaining the calculation of the aid amounts in relation to the avoided external cost with 54% of stakeholders (38 out of 70)[257] against considering external cost savings as eligibility condition only, while calculating the aid amount as a share of the actual cost of the transport solution alternative to road. A majority of SMEs was in favour (66.6%), while a majority of large undertakings was against (75%). Respondents were divided on whether determining the maximum grantable aid amount in relation to the avoided external costs and total cost of rail transport is an appropriate methodology to provide sufficient incentives for modal shift: 39% of the stakeholders (27 out of 70)[258] considered that the

[251] 9 business associations out of 12 (75.0%), 18 companies out of 26 (69.2%), 9 public authorities out of 15 (60.0%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%), 2 NGOs out of 5 (40.0%), 2 trade unions out of 3 (66.7%), 4 other respondents out of 5 (80.0%) .

[252] 6 companies out of 26 (23.1%), 3 public authorities out of 15 (20.0%), 2 NGOs out of 5 (40.0%), 1 EU citizen out of 3 (33.3%), 1 other respondent out of 5 (20.0%) .

[253] 16 companies out of 26 (61.5%), 9 business associations out of 12 (75.0%), 8 public authorities out of 15 (53.3%), 1 academic institution out of 1 (100%), 1 NGO out of 5 (20.0%), 2 trade unions out of 3 (66.7%), 1 EU citizen out of 3 (33.3%), 5 other respondents out of 5 (100%) .

[254] 9 companies out of 26 (34.6%), 3 business associations out of 12 (25.0%), 7 public authorities out of 15 (46.7%), 4 NGOs out of 5 (80.0%), 1 trade union out of 3 (33.3%), 1 other respondent out of 5 (20.0%), 2 EU citizens out of 3 (66.7%) .

[255] 14 companies out of 26 (53.8%), 8 business associations out of 12 (66.7%), 11 public authorities out of 15 (73.3%), 5 NGOs out of 5 (100%), 1 academic institution out of 1 (100%), 1 trade union out of 3 (33.3%), 2 EU citizens out of 3 (66.7%), 3 other respondents out of 5 (60.0%).

[256] 11 companies out of 26 (42.3%), 4 business associations out of 12 (33.3%), 4 public authorities out of 15 (26.7%), 2 trade unions out of 3 (66.7%), 1 EU citizen out of 3 (33.3%), 3 other respondents out of 5 (60.0%).

[257] 15 companies out of 26 (57.7%), 7 business associations out of 12 (58.3%), 5 public authorities out of 15 (33.3%), 1 academic institution out of 1 (100%), 2 NGOs out of 5 (40.0%), 2 trade unions out of 3 (66.7%), 1 EU citizen out of 3 (33.3%), 5 other respondents out of 5 (100%).

[258] 10 companies out of 26 (38.5%), 5 business associations out of 12 (41.7%), 5 public authorities out of 15 (33.3%), 1 academic institution out of 1 (100%), 1 NGO out of 5 (20.0%), 1 trade union out of 3 (33.3%), 1 EU citizen out of 3 (33.3%), 3 other respondents out of 5 (60.0%).

methodology was not appropriate, while 37% (26 out of 70)[259] considered the methodology appropriate. 55% of SMEs considered it not appropriate, while only 31% of large undertakings shared this view.

Finally, stakeholders expressed a preference for schemes as compared to individual *ad hoc* aid awards. 93% of the respondents[260] (65 out of 70) considered that aid should be granted under schemes based on transparent and non-discriminatory principles, to provide undertakings with equal financial opportunities and to ensure a level playing field (against 7% (5)[261] against). All undertakings, regardless of their size, except one incumbent supported this position. In the same vein, 66% of the stakeholders (46 out of 70)[262] considered that individual *ad hoc* aid should only be granted in exceptional cases and be duly justified, in order to reduce the higher competition distortion of *ad hoc* aid compared to schemes.

B) Infrastructure for rail and intermodal transport (facilities)

There was a strong majority in favour of the introduction of specific rules for aid to rail service facilities with 83% of stakeholders (58 out of 70)[263] in favour. 9% (6 out of 70)[264] did not consider it necessary to have specific rules, and the remaining 9% (6 out of 70)[265] were unsure. As regards the aid amount, a majority of 71% (41 out of 58)[266] were in favour of State aid measures covering the full funding gap.

Moreover, 62% (36 out of 58)[267] were in favour of making the granting of State aid for the construction of facilities subject to conditions, while 24% (14)[268] were against. Conditions supported were for example requesting open and non-discriminatory access to publicly

[259] 11 companies out of 26 (42.3%), 6 business associations out of 12 (50.0%), 6 public authorities out of 15 (40.0%), 1 NGO out of 5 (20.0%), 1 EU citizen out of 3 (33.3%), 1 other respondent out of 5 (20.0%) .
[260] 25 companies out of 26 (96.2%), 14 business associations out of 12 (116.7%), 14 public authorities out of 15 (93.3%), 3 trade unions out of 3 (100%), 1 academic institution out of 1 (100%), 5 NGOs out of 5 (100%), 3 EU citizens out of 3 (100%), 5 other respondents out of 5 (100%).
[261] 1 company out of 26 (3.8%), 2 business associations out of 12 (16.7%), 2 public authorities out of 15 (13.3%), 1 other respondent out of 5 (20.0%).
[262] 20 companies out of 26 (76.9%), 8 business associations out of 12 (66.7%), 12 public authorities out of 15 (80.0%), 1 trade union out of 3 (33.3%), 4 NGOs out of 5 (80.0%), 1 EU citizen out of 3 (33.3%), 2 other respondents out of 5 (40.0%).
[263] 11 business associations out of 12 (91.7%), 23 companies out of 26 (88.5%), 9 public authorities out of 15 (60.0%), 5 NGOs out of 5 (100%), 3 trade unions out of 3 (100%), 1 academic institution out of 1 (100%), 3 EU citizens out of 3 (100%), 3 other respondents out of 5 (60.0%).
[264] 1 company out of 26 (3.8%), 4 public authorities out of 15 (26.7%), 1 other respondent out of 5 (20.0%).
[265] 1 business association out of 12 (8.3%), 1 company out of 26 (3.8%), 2 public authorities out of 15 (13.3%), 2 other respondents out of 5 (40.0%) .
[266] 19 companies out of 26 (73.1%), 7 business associations out of 12 (58.3%), 6 public authorities out of 15 (40.0%), 3 NGOs out of 5 (60.0%), 2 trade unions out of 3 (66.7%), 2 EU citizens out of 3 (66.7%), 2 other respondents out of 5 (40.0%).
[267] 9 business associations out of 12 (75.0%), 14 companies out of 26 (53.8%), 7 public authorities out of 15 (46.7%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[268] 2 business associations out of 12 (16.7%), 9 companies out of 26 (34.6%), 1 NGO out of 5 (20.0%), 2 trade unions out of 3 (66.7%).

subsidised facilities (86% (31 out of 36)[269] with 14% (5 out of 36)[270] against). On the contrary, no clear preference emerged concerning the possibility for facility owners to engage also in transport operations taking place in the same facility and the necessity to introduce differentiated State aid rules for terminals at maritime and inland ports.

C) Access to rolling stock

A clear majority of respondents (69% (48 out of 70)[271]) considered that railway undertakings face difficulties in accessing passenger rolling stock, including all relevant[272] public authorities except one, and all relevant[273] undertakings, regardless of their size and date of market entry, except one incumbent. The main difficulties cited were the purchase or renewal of electric multiple units, locomotives and coaches, particularly due to price levels (including leasing costs) and the technical barriers hindering interoperability and preventing railway undertakings from freely operating in different parts of the European railway network. In line with these concerns, a majority of 61% of the stakeholders (43 out of 70)[274] expressed their support for State aid rules favouring the purchase or lease of passenger rolling stock, particularly through grants (34 out of 70[275] or 49%) and guarantees (28 out of 70[276] or 40%). Conversely, 4% (3)[277] were not in favour of such rules and the remaining 34% (24)[278] were unsure.

Similar positions were expressed with regard to freight rolling stock. Once again, price levels represented the main source of concern for respondents, together with access to finance (loans and guarantees) and the lack of suitable offer from the railway supply industry. Accordingly, a majority of 54% of the stakeholders (38 out of 70)[279] supported the introduction of State aid rules favouring the purchase or lease of freight rolling stock, including all relevant[280] companies

[269] 10 companies out of 26 (38.5%), 8 business associations out of 12 (66.7%), 7 public authorities out of 15 (46.7%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[270] 4 companies out of 26 (15.4%), 1 business association out of 12 (8.3%).
[271] 16 companies out of 26 (61.5%), 8 business associations out of 12 (66.7%), 12 public authorities out of 15 (80.0%), 4 NGOs out of 5 (80.0%), 3 trade unions out of 3 (100%), 2 EU citizens out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[272] Excluding public authorities focusing on sectors other than rail.
[273] Excluding undertakings with activities in sectors other than passenger rail transport.
[274] 16 companies out of 26 (61.5%), 6 business associations out of 12 (50.0%), 11 public authorities out of 15 (73.3%), 4 NGOs out of 5 (80.0%), 2 trade unions out of 3 (66.7%), 2 EU citizens out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[275] 15 companies out of 26 (57.7%), 8 business associations out of 12 (66.7%), 7 public authorities out of 15 (46.7%), 2 NGOs out of 5 (40.0%), 1 trade union out of 3 (33.3%), 1 EU citizen out of 3 (33.3%).
[276] 10 companies out of 26 (38.5%), 8 business associations out of 12 (66.7%), 5 public authorities out of 15 (33.3%), 2 NGOs out of 5 (40.0%), 2 EU citizens out of 3 (66.7%), 1 trade union out of 3 (33.3%).
[277] 1 business association out of 12 (8.3%), 1 public authority out of 15 (6.7%), 1 EU citizen out of 3 (33.3%).
[278] 5 companies out of 26 (19.2%), 9 business associations out of 12 (75.0%), 1 NGO out of 5 (20.0%), 4 public authorities out of 15 (26.7%), 1 academic institution out of 1 (100%), 1 trade union out of 3 (33.3%), 3 other respondents out of 5 (60.0%).
[279] 17 companies out of 26 (65.4%), 7 business associations out of 12 (58.3%), 7 public authorities out of 15 (46.7%), 2 NGOs out of 5 (40.0%), 1 trade union out of 3 (33.3%), 2 EU citizens out of 3 (66.7%), 2 other respondents out of 5 (40.0%).
[280] Excluding undertakings with activities in sectors other than rail freight transport.

except two intermodal rail freight operators. Stakeholders expressed a preference for grants (32 out of 70[281] or 46%) or loans (22 out of 70[282] or 31%).

A significant minority of respondents advocated additional conditions with 39% of stakeholders (27 out of 70)[283] in favour of requiring beneficiaries to put old rolling stock up for sale or lease (with 29% (20)[284] against). In particular, all public authorities were in favour, or did not know. Companies in favour of the proposal included undertakings of all sizes (all SMEs were in favour of this approach and some large undertakings also supported it), including 4 new entrants. All companies against were large companies, including 6 undertakings related to incumbents.

D) Other sectors that contribute to multimodal transport solutions

Respondents were generally in favour of extending the scope of the rules:

- 64% of respondents (45 out of 70)[285] supported the extension of the scope to the different actors of the intermodal chain such as IWW transport operators and logistics undertakings (with 9% (6 out of 70)[286]against, and the rest unsure).

- 53% of respondents (37 out of 70)[287] were in favour of extending interoperability aid to sectors other than railway, including all responding public authorities[288] and all responding[289] companies, except 1 group. 10% (7 out of 70)[290] of the respondents were against and the rest were unsure.

E) Services of general economic interest in the rail sector

Of the 46 of the respondents having answered the question, 35% (16 respondents)[291] were in favour of allowing Member States to grant public support beyond what is provided in the RGL by setting up PSOs for the provision of certain freight transport services, while 48% (22

[281] 15 companies out of 26 (57.7%), 8 business associations out of 12 (66.7%), 5 public authorities out of 15 (33.3%), 2 EU citizens out of 3 (66.7%), 1 NGO out of 5 (20.0%), 1 trade union out of 3 (33.3%).
[282] 9 companies out of 26 (34.6%), 5 business associations out of 12 (41.7%), 5 public authorities out of 15 (33.3%), 2 EU citizens out of 3 (66.7%), 1 NGO out of 5 (20.0%).
[283] 7 companies out of 26 (26.9%), 5 business associations out of 12 (41.7%), 9 public authorities out of 15 (60.0%), 2 NGOs out of 5 (40.0%), 2 EU citizens out of 3 (66.7%), 2 other respondents out of 5 (40.0%).
[284] 9 companies out of 26 (34.6%), 5 business associations out of 12 (41.7%), 2 NGOs out of 5 (40.0%), 2 trade unions out of 3 (66.7%), 2 other respondents out of 5 (40.0%).
[285] 8 public authorities out of 15 (53.3%), 6 business associations out of 12 (50.0%), 18 companies out of 26 (69.2%), 3 EU citizens out of 3 (100%), 4 NGOs out of 5 (80.0%), 1 academic institution out of 1 (100%), 1 trade union out of 3 (33.3%), 4 other respondents out of 5 (80.0%).
[286] 3 companies out of 26 (11.5%), 1 business association out of 12 (8.3%), 2 public authorities out of 15 (13.3%).
[287] 4 business associations out of 12 (33.3%), 12 companies out of 26 (46.2%), 12 public authorities out of 15 (80.0%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%), 3 NGOs out of 5 (60.0%), 2 other respondents out of 5 (40.0%).
[288] Excluding public authorities that replied that they did not know.
[289] Excluding companies that replied that they did not know, which are all active in the rail sector and thus not concerned by the question, as they may benefit from interoperability aid under the RGL.
[290] 2 business associations out of 12 (16.7%), 2 companies out of 26 (7.7%), 1 NGO out of 5 (20.0%), 2 trade unions out of 3 (66.7%).
[291] 8 companies out of 26 (30.8%), 3 business associations out of 12 (25.0%), 2 public authorities out of 15 (13.3%), 1 NGO out of 5 (20.0%), 1 trade union out of 3 (33.3%), 1 other respondent out of 5 (20.0%).

respondents)[292] were against.[293] Finally, respondents did not provide homogeneous answers concerning the possible duration of rail freight PSOs.

Stakeholders did not take a clear-cut position with regard to the possibility of including rules on aid having a social character (Article 107 (2) (a) TFEU) for the benefit of rail passengers[294].

F) Rescue and Restructuring aid to railway undertaking

Asked about whether the revised GLs should include specific rules for railway undertakings in difficulty to cater for the specificity of the rail sector, less than half of the stakeholders expressed a position and the feedback received was split: 26% of the stakeholders (18 out of 70)[295] were against specific rules, while 23% (16 out of 70)[296] were in favour. Public authorities were particularly divided, as an equal number of authorities from Member States of all sizes and geographical locations expressed themselves in favour and against such rules.

Stakeholders were consulted to understand whether the provisions contained in the R&R Guidelines are suitable for the railway sector. The majority of stakeholders (76% or 53 out of 70)[297] supported the possibility for the Commission to apply the flexibility provided in the R&R Guidelines to limit the potential negative systemic impact of R&R aid on the regions where the aid is granted, while 24% (17 out of 70)[298] were against:

- 80% of stakeholders (56 out of 70)[299] considered that the Commission should continue to accept contributions below 50% of the restructuring costs, while 20% (14 out of 70)[300] were not in favour.

[292] 11 companies out of 26 (42.3%), 6 business associations out of 12 (50.0%), 3 public authorities out of 15 (20.0%), 1 NGO out of 5 (20.0%), 1 other respondent out of 5 (20.0%).
[293] Intra-group comparisons for this question would not be meaningful, as many respondents (10 public authorities out of 16 (62.5%) and 7 companies out of 26 (27.0%)) did not reply or replied that they did not know.
[294] 18 stakeholders out of 70 (26%) did not support the introduction of such rules (6 companies out of 26 (23.1%), 2 business associations out of 12 (16.7%), 6 public authorities out of 15 (40.0%), 4 other respondents out of 5 (80.0%)), 23 stakeholders out of 70 (23%) supported it (5 companies out of 26 (19.2%), 4 business associations out of 12 (33.3%), 5 public authorities out of 15 (33.3%), 3 trade unions out of 3 (100%), 4 NGOs out of 5 (80.0%), 2 EU citizens out of 3 (66.7%)), 30 out of 70 (43%) did not know.
[295] 8 companies out of 26 (30.8%), 5 business associations out of 12 (41.7%), 4 public authorities out of 15 (26.7%), 1 EU citizen out of 3 (33.3%).
[296] 6 companies out of 26 (23.1%), 4 business associations out of 12 (33.3%), 4 public authorities out of 15 (26.7%), 2 trade unions out of 3 (66.7%).
[297] 20 companies out of 26 (76.9%), 10 business associations out of 12 (83.3%), 12 public authorities out of 15 (80.0%), 4 NGOs out of 5 (80.0%), 3 trade unions out of 3 (100%), 1 EU citizen out of 3 (33.3%), 3 other respondents out of 5 (60.0%).
[298] 6 companies out of 26 (23.1%), 2 business associations out of 12 (16.7%), 3 public authorities out of 15 (20.0%), 1 NGO out of 5 (20.0%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%), 2 other respondents out of 5 (40.0%).
[299] 22 companies out of 26 (84.6%), 10 business associations out of 12 (83.3%), 13 public authorities out of 15 (86.7%), 4 NGOs out of 5 (80.0%), 2 trade unions out of 3 (66.7%), 2 EU citizens out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[300] 4 companies out of 26 (15.4%), 2 business associations out of 12 (16.7%), 2 public authorities out of 15 (13.3%), 1 NGO out of 5 (20.0%), 1 trade union out of 3 (33.3%), 1 academic institution out of 1 (100%), 1 EU citizen out of 3 (33.3%), 2 other respondents out of 5 (40.0%).

- 66% of stakeholders (46 out of 70)[301] were unsure about the suitability of the derogations foreseen by the R&R Guidelines for R&R aid to undertakings in difficulty providing SGEIs to the specificities of railway undertakings. Among the rest, a majority of 71% (17 out of 24)[302] deemed the derogations fit for railway undertakings, and 29% (7 out of 24)[303] deemed the opposite.

G) Financial transactions concerning railway undertakings

With regard to State aid granted to vertically integrated railway undertakings, 37% of stakeholders (26 out of 70)[304] considered that there is a risk of cross-subsidisation between commercial and non-commercial activities, whereas 36% (25 out of 70)[305] did not see such risk. Amongst public authorities, all responding[306] Member States except one indicated that they did not see such risk. Furthermore, amongst the 12 companies replying that they did not see such risk, 10 were publicly owned. By contrast, amongst the 9 companies seeing such risk, 6 were independent railway undertakings. As regards the identification of State aid in their practical experience, 47% of the respondents (33 out of 70)[307] stated not to have had issues and only 13% (9 out of 70)[308], including only 1 Member State, stated that they had encountered issues.

H) Regional bonuses

Finally, some stakeholders (44% or 31 out of 70)[309] considered that the revised rules should contain aid intensity bonuses, for example to investments in assisted areas, while 20% (14 out of 70)[310] were against. Amongst public authorities, no clear pattern can be identified based on the level of governance (e.g. regional or national) of the authority, its geographical location, its size or its budgetary expenditure. For instance, amongst public authorities active at national level, 3 expressed themselves against regional bonuses (FI, HU and CZ), while IT, RO and LV expressed themselves in favour, and FR, NL and LT did not know, evidencing a disparity of views not linked to geographical location or budgetary expenditure. Similarly, one IT region

[301] 17 companies out of 26 (65.4%), 7 business associations out of 12 (58.3%), 9 public authorities out of 15 (60.0%), 3 NGOs out of 5 (60.0%), 3 trade unions out of 3 (100%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%), 4 other respondents out of 5 (80.0%).
[302] 6 companies out of 26 (23.1%), 3 business associations out of 12 (25.0%), 4 public authorities out of 15 (26.7%), 2 NGOs out of 5 (40.0%), 1 EU citizen out of 3 (33.3%), 1 other respondent out of 5 (20.0%).
[303] 3 companies out of 26 (11.5%), 2 business associations out of 12 (16.7%), 2 public authorities out of 15 (13.3%).
[304] 9 companies out of 26 (34.6%), 6 business associations out of 12 (50.0%), 3 public authorities out of 15 (20.0%), 3 NGOs out of 5 (60.0%), 2 EU citizens out of 3 (66.7%), 3 other respondents out of 5 (60.0%).
[305] 13 companies out of 26 (50.0%), 1 business association out of 12 (8.3%), 7 public authorities out of 15 (46.7%), 1 NGO out of 5 (20.0%), 2 trade unions out of 3 (66.7%), 1 other respondent out of 5 (20.0%).
[306] Excluding the two Member States who replied that they did not know.
[307] 13 companies out of 26 (50.0%), 6 business associations out of 12 (50.0%), 9 public authorities out of 15 (60.0%), 1 NGO out of 5 (20.0%), 2 trade unions out of 3 (66.7%), 1 EU citizen out of 3 (33.3%), 1 other respondent out of 5 (20.0%).
[308] 2 companies out of 26 (7.7%), 4 business associations out of 12 (33.3%), 1 public authority out of 15 (6.7%), 1 NGO out of 5 (20.0%), 1 other respondent out of 5 (20.0%).
[309] 14 companies out of 26 (53.8%), 3 business associations out of 12 (25.0%), 5 public authorities out of 15 (33.3%), 3 NGOs out of 5 (60.0%), 2 trade unions out of 3 (66.7%), 1 academic institution out of 1 (100%), 2 EU citizens out of 3 (66.7%), 1 other respondent out of 5 (20.0%).
[310] 2 companies out of 26 (7.7%), 7 business associations out of 12 (58.3%), 4 public authorities out of 15 (26.7%), 1 other respondent out of 5 (20.0%).

(Emilia-Romagna) expressed itself in favour, while a neighbouring IT region (Liguria) was against, and a FR region (Nouvelle-Aquitaine) indicated that it did not know.

4.4. The targeted consultation on the draft revised GLs and TBER (including the meeting with Member States on these draft texts)

From 18 June to 20 September 2024, the draft revised GLs and TBER were published on the DG COMP website for comments[311]. 87 stakeholders provided a response on these draft texts, of which 41 business associations and 12 companies, 29 EU public authorities (including 19 Member States authorities)[312], 1 EFTA authority, 1 EU citizen, 1 foundation and 2 trade unions. Business associations relayed also the views of SMEs, with some business associations specifically representing new entrants in the rail sector or parts of the IWW sector that are dominated by SMEs.

On Tuesday, 10 September 2024, DG COMP held an Advisory Committee and Multilateral Meeting on the draft texts. Participants came from all 27 EU Member States and Norway, the EFTA Surveillance Authority and the Commission (General Secretariat, DG REGIO, DG MOVE, DG AGRI, DG CLIMA, DG ENV, DG CNECT, DG NEAR, DG JUST and DG MARE.

After a presentation of the proposals by DG COMP, several Member States[313] intervened to present first reactions and questions. The comments echoed the comments provided in writing as part of the targeted consultation and are therefore presented together with the summary of the written responses provided below.

General comments

10 Member States[314] expressly welcomed the new package, in particular the broadening of the scope and the consolidation of the case practice in the field of land transport.

8 stakeholders[315] asked for clarifications about the interplay between the texts and other State aid instruments (General Block Exemption Regulation or 'GBER'[316]. / Guidelines on State aid for climate, environmental protection and energy 2022 or 'CEEAG'[317], / Regulation (EC) 1370/2007 of 23 October 2007 on public passenger transport services by rail and by road or 'Regulation 1370/2007')[318].), particularly in terms of aid cumulation. Moreover, 11

[311] See footnote 53.
[312] AT, BE, BG, CZ, DE, DK, EL, ES, IE, FI, FR, IT, LT, LU, NL, PL, PT, RO, SE.
[313] 15 EU Member States out of 27 (55.6%): NL, FI, DK, DE, ES, IT, LV, LU, BE, AT, CY, PL, IE, SE, BG.
[314] 10 EU Member States out of 19 (52.6%): AT, BE, BG, DE, DK, IE, FI, LV, PL, NL.
[315] 3 Member States out of 19 (15.8%): DE, FI, IT, 3 business associations out of 41 (7.3%), 2 companies out of 12 (16.7%).
[316] Commission Regulation (EU) No 651/2014 of 17 June 2014 declaring certain categories of aid compatible with the internal market in application of Articles 107 and 108 of the Treaty, OJ L 187, 26.6.2014.
[317] Communication from the Commission, Guidelines on State aid for climate, environmental protection and energy 2022, OJ C 80, 18.2.2022.
[318] Regulation (EC) 1370/2007 of the European Parliament and of the Council of 23 October 2007 on public passenger transport services by rail and by road and repealing Council Regulations (EEC) Nos 1191/69 and 1107/70, OJ L 315, 3.12.2007.

stakeholders[319] raised concerns about the obligation foreseen in the revised GLs to adjust existing aid schemes to the new rules within 1 year from their entering into force and asked either for its deletion or amendment (e.g. allowing for a transition period of 18 months or two years instead).

Operating aid to cover part of the difference in external costs (GHG emissions, pollution, congestion, etc.) between road transport and sustainable land transport modes

Stakeholders expressed concerns regarding the introduction of certain conditions which, in their view, would create an administrative burden and called on the Commission to consider higher aid intensities.

The inclusion of break-even distances in the draft texts was the single-most commented issue. 41 stakeholders (47.1%) opposed the use of break-even limits, with 26 (30%) stakeholders calling for them to be abolished[320], and 15 (17.2%) stakeholders calling for them to be increased[321]. No stakeholder expressed support. Among other arguments, stakeholders considered that identifying the distance travelled for every single operation would present a considerable administrative burden, that there was no "one size fits all" break-even distance since the cost of an operation depended on many factors unrelated to distance, such as the capacity of the network and the availability of terminals, and that break-even distances would discriminate between Member States based on the size of their territories.

DE and a rail association considered that the proposed provision on capacity constraints should be abolished because the Single European Railway Area Directive already sets rules for enhancing capacity in case of congested infrastructure. Stakeholders also raised questions on how capacity constraints would be assessed and what kind of measures Member States could take to address such constraints.

18 stakeholders, including DE, FR, AT, a rail association and two railway undertakings, called for the aid intensities in the draft texts to be increased, particularly under the TBER. Among the 18 stakeholders, 6 also called for a separate category for operating aid for infrastructure use to be introduced. ES expressed support for the proposed 50% TBER ceiling. A rail association noted that operating aid should not be the primary method to support the modal shift and that it would be better to focus on aid for infrastructure use.

[319] 5 Member States out of 19 (26.3%): AT, CZ, DE, LU, SE, 1 other EU public authority out of 10 (10%) in FR, 3 business associations out of 41 (7.3%), 2 companies out of 12 (16.7%).
[320] 14 business associations out of 41 (34.1%), 3 companies out of 12 (25.0%), 1 trade union out of 2 (50.0%), 7 public authorities out of 29 (24.1%) from AT, BE, DE, FR, IT, PT, LU, SE.
[321] 9 business associations out of 41 (22.0%), 2 companies out of 12 (16.7%), 3 public authorities out of 29 (10.3%) from BE, FR, NL.

Operating aid that covers part of the operating losses of operators starting new routes, in the first years of operation

6 Stakeholders[322] had questions or comments about the eligible operations and the kinds of costs that would be considered eligible. Several stakeholders also expressed concerns about possible abuse of the rules to grant aid for operations that are not genuinely "new".

A rail association called for this aid category to be limited to new entrants. Two other rail associations argued that the aid should be strictly controlled, and a railway undertaking called for start-up aid to be allowed under the revised GLs only. On the other hand, DE and a business association representing the IWW sector expressed support for the block exemption of this category of aid.

Five stakeholders[323] called for start-up aid in the passenger segment to also be available to new services connecting passenger stations less than 400 km apart even if they would not be cross-border. Some stakeholders called for the extension of the eligible costs to situations in which the new commercial connection would be contemplated but ultimately not launched, to compensate operators for costs related to feasibility studies or experimentation.

RO and organisations representing the IWW sector called for the IWW sector to be included in the scope for passenger start-up aid.

Operating aid for public services in the rail freight sector

Four stakeholders[324] expressly welcomed the inclusion of freight PSO compensation in the draft revised GLs.

Only a few stakeholders asked for changes, notably:

- Four stakeholders[325] asked for a block-exemption of PSO compensation in rail freight transport, without however providing any specific arguments in support.

- Three stakeholders[326] asked to remove PSO compensation from the draft revised GLs considering that market forces should be the main driver of market growth in the rail freight transport sector. FI indicated to be open to accept PSO compensation in the case of very specific market failures (e.g. SWL).

[322] 3 business associations out of 41 (7.3%), 2 companies out of 12 (16.7%), 1 public authority out of 29 (3.4%) from NL.
[323] 2 rail associations out of 41 business associations (4.9%), 1 company out of 12 (8.3%), 2 public authorities out of 29 (6.9%) from PL, FR.
[324] 3 public authorities out of 29 (10.3%) from SE, LT, RO, 1 trade union out of 2 (50.0%).
[325] 1 public authority from FR and 3 PL stakeholders, including the PL Office of Competition and Consumer Protection (i.e. 2 public authorities out of 29 (6.9%)), 1 PL business association (out of 41 business associations (2.4%)) and 1 PL foundation (out of 1 foundation (100%)).
[326] 1 public authority out of 29 (3.4%) from FI, 1 business association out of 41 (2.4%), 1 company out of 12 (8.3%) .

Investment aid for the construction, upgrade and renewal of rail and IWW facilities such as freight terminals or maintenance facilities

Reactions to the proposed conditions were generally positive.

6 stakeholders[327] asked for an increase in the notification thresholds to further reduce administrative burden. PL and FR proposed EUR 20 million for *ad hoc* aid and DE, PL and FR proposed EUR 30 million or even EUR 50 million for awards under aid schemes.

There was a call for further simplification of proportionality rules, with stakeholders asking either (i) to remove the funding gap requirement[328] or to increase the aid amount below which only an aid intensity applies - i.e. for small projects[329] or (ii) to increase the aid intensity threshold[330] .

Investment aid for the construction, upgrade and renewal of private sidings, i.e. privately owned and operated pieces of rail infrastructure, such as rail tracks, which connect to the public rail network

Reactions to the proposed conditions were generally positive.

Both FR and AT asked to include loading and unloading facilities and equipment as eligible costs. FR in particular pointed to the fact that these costs were eligible for support under an approved scheme (SA.107140).

4 stakeholders asked for an increase of notification thresholds to further reduce administrative burden: FR and a railway undertaking asked for an increase to EUR 2.5 million, a business association to EUR 4 million and DE to EUR 5 million.

There was a call for further simplification of proportionality rules, with stakeholders asking either i) to remove the funding gap requirement[331] or to increase the aid amount for small projects below which only an aid intensity applies[332] or ii) to increase the aid intensity threshold[333].

Investment aid for the acquisition of vehicles for rail or IWW transport

Around a quarter of stakeholders[334] advocated in favour of enlarging the scope of this type of aid to all undertakings, including large undertakings and incumbents. Companies sharing this view were only incumbent railway undertakings and a publicly owned local transport company. In the same vein, business organisations representing incumbent railway undertakings and the

[327] 5 public authorities out of 29 (17.2%) from LT, DE, PL, FR, IE, 1 business association out of 41 (2.4%).
[328] 1 public authority out of 29 (3.4%) from DE, 1 business association out of 41 (2.4%). .
[329] 1 public authority out of 29 (3.4%) from AT, 1 business association out of 41 (2.4%).
[330] 2 public authorities out of 29 (6.9%) from RO and DE, 3 business associations out of 41 (7.3%) .
[331] 1 public authority out of 29 (3.4%) from DE, 1 company out of 12 (8.3%) (a railway undertaking).
[332] 2 public authorities out of 29 (6.9%) from FR, AT.
[333] 1 public authority out of 29 (3.4%) from RO, 1 company out of 12 (8.3%) (a railway undertaking), 1 trade union out 2 (50%).
[334] 6 public authorities out of 29 (20.72%): BE, DE, FR, PL, RO, Flanders, 12 business associations out of 41 (29.3%), 4 companies out of 12 (33.3%), 1 foundation out of 1 (100%).

rail supply industry supported this view. 6 business organisations (i.e. 50% of the business organisations expressing support) were exclusively linked to AT or DE undertakings. The main arguments raised in support of this claim pertained to (i) the contribution of large undertakings and incumbents to the achievement of the Green Deal objectives, (ii) an alleged difficulty to access finance experienced by undertakings of all sizes in the land transport sector (due to high upfront investment costs, low profitability, long depreciation), (iii) the need to modernise the rail fleet to adapt it to interoperability technologies, (iv) the "arm's-length conditions" of loans between incumbents and their subsidiaries, allegedly excluding any advantage over new entrants, and (v) an allegation that the proposed rules would infringe Article 345 TFEU, which prohibits discrimination between public and private ownership. Three respondents[335] expressed themselves in favour of the proposed limitation of this type of aid to SMEs and new entrants, namely one public authority, one business association representing new entrants and a new entrant.

One business association representing rail freight wagon keepers suggested distinguishing between freight and passenger transport services, and to abolish any aid to freight transport. To support that claim, the stakeholder held that the two markets had not been liberalised at the same time and were factually in a different situation. It also argued that the rail freight market functioned well without aid to rolling stock: railway undertakings and leasing companies worked together satisfactorily, irrespective of their size. By contrast, an incumbent railway undertaking requested that all undertakings providing commercial rail passenger services would be excluded from the benefit of the aid, alleging that new entrants recently managed to raise capital to acquire rolling stock and that the proposed rules would thus create a mere deadweight effect.

Around a quarter of stakeholders[336] (showing significant overlap with the stakeholders who expressed a view on the scope of beneficiaries) called for not limiting the form of the aid to guarantees and allowing direct grants and loans. Companies sharing this view were, here also, only incumbent railway undertakings and a publicly owned local transport company. In the same vein, business organisations representing incumbent railway undertakings and the rail supply industry supported this view. 5 business organisations (i.e. 41.7% of the business organisations expressing support) were exclusively linked to AT or DE undertakings. 25% of the business organisations expressing support were active in the IWW sector. The arguments raised pertained to the fact that (i) other aid categories within the revised GLs and the TBER (in particular interoperability aid) and within the CEEAG/GBER (in particular aid for the greening of the fleet) were not limited in terms of form; (ii) the absence of limitation in terms of form would bring flexibility and reduce administrative burden for Member States; and (iii) guarantees were not sufficient to foster the acquisition of vehicles by new entrants and SMEs. Three respondents[337], namely one public authority; a new entrant and a business organisation representing rolling stock lessors, supported the limitation in the form of the aid.

France was the only stakeholder, with Ireland, to express a view on the proportionality of the guarantee conditions. FR requested that the maximum duration of the guarantee be extended

[335] 1 public authority out of 29 (3.4%) from FI, 1 business association out of 41 (2.4%) (a rail association), 1 company out of 12 (8.3%) (a railway undertaking).
[336] 5 public authorities out of 29 (17.28%) from BE (including Flanders), DE, FR and NL, 12 business associations out of 41 (29.3%), 5 companies out of 12 (41.2%).
[337] 1 public authority out of 29 (3.4%) from FI, 1 business association out of 41 (2.4%), 1 company out of 12 (8.3%) (a railway undertaking).

from 15 to 20 years in light of the long lifetime of the assets, while Ireland requested to increase the guarantee coverage to 100% of the underlying loan for isolated rail networks.

Investment aid for the acquisition of Intermodal Loading Units (ILUs), such as containers, and cranes on board vessels

Three stakeholders asked for higher aid intensities[338] justifying this with the significance of investments that would have to be made to make loading units suitable for rail transport, e.g. fireproofing due to ignition risk from electrified tracks, reinforcement for transhipment.

Investment aid that supports investments contributing to uninterrupted traffic flows between national networks or transport modes (interoperability), such as the adaptation of rolling stock to different electrical systems

8 stakeholders[339] explicitly expressed support for the proposed streamlining of this category of aid and highlighted its importance to support modal shift and digitalisation of transport. The only company expressly welcoming the proposed streamlining was a new entrant.

10 stakeholders[340] asked for the extension of the list of eligible investments to include additional technologies. In particular, 3 stakeholders from PL[341] advocated for the inclusion of GSM-R, a communications technology that is still being deployed in certain Member States.

9 stakeholders[342] called for an increase in the intensity of aid for the roll-out of priority interoperability technologies, i.e. European Railway Traffic Management System (ERTMS) and Digital Automatic Coupling (DAC). The suggested aid intensities varied between 90% and 100%.

Nine respondents[343] also called for an increase of the aid intensity for other interoperability technologies, such as the adaptation of IWW vessels to changing navigability conditions, up to diverse ceilings. DE proposed that aid may reach up to 100% of the eligible costs in the TBER in case of competitive bidding.

Investment aid for the technical adaptation and modernisation of vehicles and equipment

The main comment raised by stakeholders concerned the proportionality of the aid. Four stakeholders[344] called for an increase in the permissible aid intensity. The suggested aid intensities ranged from 30% to 80%. DE proposed that aid may reach up to 100% of the eligible costs in the TBER in case of competitive bidding.

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[338] 1 public authority out of 29 (3.4%) from PL (aid intensity of 50%), 1 trade union out of 2 (50%) (aid intensity of 50%), 1 business association out of 41 (2.4%) (aid intensity of 30% also for cranes on board vessels).
[339] 1 public authority out of 29 (3.4%) from FI, 6 business associations out of 41 (14.6%), 1 company out of 12 (8.3%).
[340] 5 public authorities out of 29 (17.2%) from BE, ES, NL, IT, PL, 2 business associations out of 41 (4.9%), 1 foundation out of 1 (100.0%) 1 trade union out of 2 (50.0%).
[341] The PL Office of Competition and Consumer Protection, 1 PL business association and 1 PL foundation.
[342] 4 public authorities out of 29 (13.8%) from DE, BE, NL, FR, 1 company out of 12 (8.3%), 2 business association out of 41 (4.9%) (2 rail associations), 1 trade union out of 2 (50.0%).
[343] 2 public authorities out of 29 (6.9%) from RO, NL, 7 business associations out of 41 (17.1%).
[344] 4 public authorities out of 29 (13.8%) from NL, DE, RO, Flanders.

Financial Transparency: a chapter in the revised GLs recalling the principles governing financial transactions of public and vertically integrated railway undertakings

Two stakeholders commented on this section. A company expressed general support for the rules on financial transparency. Conversely, a business association saw no need to reiterate existing provisions of EU law in the revised GLs.

4.5. The targeted consultation of Member States' authorities concerning the administrative burden reduction associated with the introduction of the TBER

To collect more specific data on the administrative burden of the different State aid procedures in the SLT sector, the Commission carried out a targeted consultation between 24 June and 20 September 2024. Member State authorities were approached with a questionnaire and asked to assess the time spent on the different steps of notification (including both the preparatory phase ahead of formal notification and the phase following formal notification) and block exemption procedures[345], as well as the implied delays of the notification procedure on the implementation of State aid measures.

In total, the Commission received 15 replies from 10 different Member States (some sent several replies from different regions or different authorities)[346]. The details of these responses, as well as the analysis of administrative costs, which is based on the results of the targeted consultation, is presented in Annex 8.

4.6. The second targeted consultation of Member States on the draft TBER (and meeting with Member States on the draft TBER)

On Wednesday, 18 June 2025, DG COMP held a second Advisory Committee Meeting on the revised draft TBER, which had been shared with Member States on 16 April 2025, and presented the main changes that the Commission services planned to make to the revised GLs. Participants came from all EU Member States, the EFTA Surveillance Authority and the Commission (General Secretariat, DG REGIO, DG MOVE, DG ECFIN, DG CLIMA, DG CNECT, DG RTD and ESTAT).

After a presentation of the proposals by DG COMP, several Member States intervened to present first reactions and questions.

Operating aid

15 MS[347] took the floor. They all supported the text. Some Member States made specific comments.

ES, CY and IT asked why the TBER covers operating aid to short-sea shipping only in the context of multimodal transport, even though, in their view, short-sea shipping can play a significant role (for ES in relation to the outermost regions such as the Canary Islands, CY in relation to traffic with other States and IT in relation to the traffic between mainland and islands

[345] Block exemption procedures do have minimal reporting obligations, in particular the filling in of an information sheet.
[346] Public authorities from BE, CZ, DE, FR, HU, IT, LU, MT and NL. FI responded to the qualitative, but not the quantitative questions.
[347] FR, ES, IT, BE, BG, DE, LV, AT, CY, SK, PL, PT, NL, CZ, IE.

like Sardinia). ES and IT suggested modifying the TBER and LMTG to include short-sea shipping more clearly.

BE welcomed the proposal but regretted that the combined transport bonus (foreseen in the previous version of the TBER) has been dropped in the revised text. BE also asked why passenger transport services are no longer eligible for aid to launch new commercial connections in the new version of the TBER, while the possibility still exists for freight transport.

DE and NL welcomed the removal of the break-even distances. DE asked whether the 'unit of production' in the TBER allows Member States to use various metrics (for example train-path.km). DE asked why lump-sum funding is not foreseen in the TBER, as it proved useful in certain cases, such as for the first and last mile SWL transport. LV reiterated its previous request to include in the TBER more possibilities to grant *ad hoc* aid, which is important for small Member States.

AT, PT, FR and IE reiterated their previous request that it should be possible to cover 100% of the external cost difference between modes of land transport. PL asked whether it would be possible to extend the duration of aid to new connections from 5 to 10 years (as it could provide more stability for the beneficiary). CZ asked whether the eligible costs to calculate external costs should be based on the Commission's Handbook, given that the data used therein date back to before 2019, and whether the Handbook will be updated.

Investment aid to facilities and private sidings

9 Member States[348] took the floor.

PT and RO inquired whether the TBER covers facilities located in maritime ports that entail connections to the rail network or IWW, in particular terminals and warehouses. BE made several requests concerning whether there can be a radius/distance between ports or multimodal facilities, on the one hand, and the actual IWW or sea, on the other hand, and a possible increase of the eligible aid intensity above 50% of the investment cost, in particular if the financing at hand is funded under the European Regional Development Fund.

IT suggested greater alignment of the TBER with aid for sport and cultural infrastructure development under the GBER (for which 80% of the funding gap is considered eligible aid). DE took note of the two methods to assess the proportionality of the aid but noted that the aid intensity method is easier to manage. DE advocated that aid intensities be the primary method to be used in the TBER. DE also asked whether the exception to the requirement to tender out the operation of a facility in case of vertical integration (i.e. where the investment costs of a facility's upgrade over a period of at least five years do not exceed 10 % of the value of the initial investment) only applies to 'upgrades', or whether renewal investments could also benefit from that derogation. CZ requested that the notification thresholds for private sidings should be higher.

[348] PT, LT, IT, RO, DE, LV, CZ, BE, PL.

PL inquired whether investments in technical rail facilities, such as rail rolling stock maintenance facilities, repair facilities, washing facilities or administrative offices, are eligible under the TBER.

Investment aid for the acquisition of vehicles for rail and IWW, interoperability aid and aid for technical adaptation and modernisation

8 MS[349] took the floor.

IE, FR, PT and PL suggested expanding the scope and form of aid for the acquisition of vehicles, to allow all IWW and railway undertakings to benefit from that type of aid while IE, PL and PT asked to allow aid in the form of direct grants[350] or 'other financial instruments'[351]. In addition, FR asked to include transport organisers in the scope of the eligible beneficiaries and IE suggested increasing the guarantee coverage above 80% if the rolling stock concerned is earmarked for public service activities.

IE and FR suggested lifting the intensity cap for ERTMS-related expenditure. DE welcomed the aid intensity increases for ERTMS and DAC, which was one of DE's main concerns on the previous version of the TBER. DE reiterated that the current intensities for interoperability aid and aid for technical adaptation and modernisation are still quite low in the IWW sector, despite the increase in the new draft circulated. DE finally considered that competitive bidding should also be inserted in the TBER, as it is a well-established method to ensure proportionality in State aid control, e.g. under the GBER.

5. Contributions received outside the formal consultation context

The Commission services have been available to meet stakeholders during the entire period of the initiative (2021-2025). In particular, the Commission services regularly met sector representatives and companies affected by the initiative who provided arguments in favour of their eligibility for aid and on the appropriate design of State aid schemes, as well as Member States to take into account their experience with State aid measures. All presentations and supporting studies provided on these occasions were taken into account in the context of the initiative.

6. Use of the information gathered

The results of the consultations allowed the Commission to collect a very significant number of views and opinions on the initiative. These may not be representative at a statistical level, due to the relatively small number of answers from some categories of stakeholders, but are significant in terms of quality.

[349] IE, FR, PT, DE, CZ, PL, PT, BE.
[350] IE, PT.
[351] PL.

ANNEX 3: WHO IS AFFECTED AND HOW?

1. Practical implications of the initiative

The revision of the GLs and introduction of the TBER aim at increasing the modal share of SLT by making it more competitive compared to road transport. The costs and benefits of the preferred options are expected to fall differently on different stakeholder groups. The initiative will mainly affect the following stakeholders: State aid granting authorities in Member States, operators of SLT, road hauliers, transport organisers, and passengers of SLT.

1.1. Member States

Member States and European Free Trade Association (EFTA) States would have to take into consideration the updated rules in the revised GLs and the new TBER. Public authorities would have to comply with the standard reporting obligations introduced in line with the Procedural Regulation[352]. In particular, Member States would be required to submit annual reports to the Commission in respect of aid measures approved under the revised GLs. However, the initiative is not expected to create significant additional administrative burdens on authorities since the process is the same as under other State aid GLs and Member States are therefore already familiar with it.

The administrative burden linked to the obligation to notify to the Commission new or updated schemes is an intrinsic feature of State aid control pursuant to Article 108 (2) TFEU. The initiative would benefit Member States (and EFTA States), because it improves clarity and consistency about the way national State aid schemes should be designed and it provides necessary visibility as to the Commission's State aid assessment for emerging aid designs and aid to new technologies. In addition, administrative burdens would be significantly reduced thanks to the introduction of the TBER, permitting State aid measures that present few competition distortion risks to be exempted from notification.

Member States (and EFTA States) have the choice, whether to implement a State aid scheme: the initiative therefore would not introduce any mandatory costs. Any impact on Member States' budgets allocated to State aid for transport would result from a decision of the relevant Member State.

1.2. SLT operators

SLT operators, such as railway undertakings, IWW vessel operators and maritime operators participating in a multimodal transport operation would benefit from the increased scope, additional legal certainty and generally higher aid intensities permitted by the revised GLs and TBER, where they are taken up by Member States. An increase in modal shift would lead to higher volumes and turnover, and create new investment opportunities.

The initiative does not introduce any mandatory costs for businesses. It does reduce indirect opportunity costs for businesses, where Member States decide to introduce block exempted aid schemes, as the aid can be granted quicker due to the exemption from the notification procedure.

[352] See footnote 45.

1.3. Transport organisers

In freight transport, goods are owned and/or shipped by shippers, who have an interest to send the goods from the place of departure to the place of arrival. The shippers may organise the transport themselves or engage a logistics company or freight forwarder to do the organisation for them. These transport organisers choose the transport mode for the operation based on various considerations, such as cost, speed of delivery and flexibility.

Transport organisers may benefit from the initiative, depending on the transport solutions they use. Transport organisers who already use SLT for all or part of their operations would benefit from the additional support that could be made available to the sector. Transport organisers who would switch to SLT for all or part of their operations would enjoy the benefits of more sustainable transport solutions at competitive terms with road transport. Transport organisers who would continue using only road transport would not benefit from this initiative.

1.4. Passengers of SLT

By enabling additional support in and facilitating implementation of e.g. operating aid and interoperability aid, the initiative may benefit citizens using SLT, if Member States decide to provide higher support. This could translate for example into rail passenger transport with lower prices, faster travel times and increased safety.

1.5. Road hauliers

An increase in modal shift in the freight segment, if Member States take up the possibilities offered under the initiative, would come at the expense of road only transport. Road hauliers who currently carry out road only transport may thus experience relatively lower demand for their services as a result of the initiative. Road hauliers would still be in a position to adapt to the multimodal market and offer multimodal transport solutions, i.e. the transportation of goods with both a SLT and a road leg.

2. Summary of costs and benefits

For the preferred set of options, the tables below present the benefits (Table I) and costs (Table II) that have been identified and assessed during the impact assessment process. Estimates compare the baseline with the preferred options as a whole.

I. Overview of Benefits (total for all provisions) – Preferred Options		
Description	***Amount***	***Comments***
Direct benefits		
Administrative cost savings	The preferred Option A3 would reduce administrative costs for Member States by EUR 83 510 – 178 171 on an annual basis.	Administrative cost savings to Member States' authorities through the TBER.
Faster implementation of State aid measures	The opportunity cost savings for businesses under preferred Option A3 have been estimated to amount to EUR 7.6 – 43.4 million annually.	Faster implementation of aid measures benefits Member States and beneficiaries of aid.
Indirect benefits		
Reduction in externalities	Not quantified.	Indirect benefit to society at large, as the initiative makes the granting of aid to

I. Overview of Benefits (total for all provisions) – Preferred Options		
Description	***Amount***	***Comments***
	For each unit of modal shift achieved in the passenger segment, GHG emissions would decrease by 64.6%, air pollution decrease by 35.6% and noise would increase by 21.9%, amounting to an overall 34% decrease of environmental costs. For each unit of modal shift achieved in the freight segment, GHG emissions would decrease by 66.5%, air pollution by 50.4% and noise by 7.1%, amounting to an overall 43.3% decrease of environmental costs.	promote a modal shift from road only transport to more sustainable modes easier, which reduces external costs such as air pollution, congestion, accidents and GHG emissions. However, the extent to which this possibility will be taken up depends on Member States' decision to introduce aid schemes.
Reduction in energy consumption	Not quantified.	Indirect benefit to society at large, as the initiative makes the granting of aid to promote a modal shift from road only transport to more sustainable modes with lower energy consumption easier. However, the extent to which this possibility will be taken up depends on Member States' decision to introduce aid schemes.
Administrative cost savings related to the 'one in, one out' approach*		
Recurrent (direct/indirect)	Not applicable	Not applicable
One-off	Not applicable	Not applicable

(1) Estimates are gross values relative to the baseline for the preferred option as a whole (i.e. the impact of individual actions/obligations of the preferred option are aggregated together)

II. Overview of costs – Preferred options							
		Citizens/Consumers		**Businesses**		**Administrations**	
		One-off	**Recurrent**	**One-off**	**Recurrent**	**One-off**	**Recurrent**
Total	Direct adjustment costs	na	na	na	na	Limited cost for Member States' administrations to familiarise themselves with the new rules, as they are based on RGL and case practice.	0
	Direct administrative costs	na	na	na	na	0	Administrative cost savings estimated as benefit in Table I.
	Direct regulatory fees and charges	na	na	na	na	0	0

	Direct enforcement costs	na	na	na	na	0	0
	Indirect costs	na	na	na	Opportunity cost savings estimated as benefit in Table I.	0	0

(1) Estimates (gross values) to be provided with respect to the baseline; (2) costs are provided for each identifiable action/obligation of the preferred option otherwise for all retained options when no preferred option is specified.

III. Application of the 'one in, one out' approach – Preferred option(s)			
[M€]	**One-off** (annualised total net present value over the relevant period)	**Recurrent** (nominal values per year)	**Total**
Businesses			
New administrative burdens (INs)	Not applicable	Not applicable	Not applicable
Removed administrative burdens (OUTs)	Not applicable	Not applicable	Not applicable
Net administrative burdens*	Not applicable	Not applicable	Not applicable
Adjustment costs**	Not applicable	Not applicable	
Citizens			
New administrative burdens (INs)	Not applicable	Not applicable	Not applicable
Removed administrative burdens (OUTs)	Not applicable	Not applicable	Not applicable
Net administrative burdens*	Not applicable	Not applicable	Not applicable
Adjustment costs**	Not applicable	Not applicable	
Total administrative burdens***	Not applicable	Not applicable	Not applicable

(*) Net administrative burdens = INs – OUTs;
(**) Adjustment costs falling under the scope of the OIOO approach are the same as reported in Table 2 above. Non-annualised values;
(***) Total administrative burdens = Net administrative burdens for businesses + net administrative burdens for citizens.

3. Relevant sustainable development goals

III. Overview of relevant Sustainable Development Goals – Preferred Option(s)		
Relevant SDG	**Expected progress towards the Goal**	**Comments**
SDG no. 7 – affordable and clean energy. Indicator 7.3.1: energy intensity measured in terms of primary energy and GDP	Not quantified	The initiatives makes the granting of aid to promote a modal shift from road only transport to more sustainable modes easier which reduces external costs such as air pollution, congestion, accidents and GHG emissions. However, the extent to which this possibility will be taken up depends on Member States' decision to introduce aid schemes. A modal shift away from road only transport reduces energy consumption, as rail, IWW and short-sea shipping transport is more energy efficient.
SDG no. 9 – industry, innovation and infrastructure. Indicator 9.1.2: passenger and freight volumes, by mode of transport	Not quantified	Increasing competition and thereby improving the competitiveness of SLT is likely to increase total passenger and freight volumes overall, as well as driving a shift away from road only transport.
SDG no. 11 – sustainable cities and communities. Indicator 11.2.1: proportion of population that has convenient access to public transport, by sex, age and persons with disabilities Indicator 11.6.2: Annual mean levels of fine particulate matter (e.g. PM2.5 and PM10) in cities (population weighted)	Not quantified	A modal shift towards SLT would increase accessibility of public transport and reduce emissions of fine particulate matter, which is higher in road only transport.
SDG no. 12 - Ensure sustainable consumption and production patterns. Indicator 12.1.1: Number of countries developing, adopting or implementing policy instruments aimed at supporting the shift to sustainable consumption and production	Not quantified	The initiative would help more Member States to implement State support for the more sustainable production of land transport.
SDG no. 13 – Climate action. Indicator 13.2.2: Total greenhouse gas emissions per year	Not quantified For each unit of modal shift achieved in the passenger segment, GHG emissions would decrease by 64.6%.	A modal shift away from road only transport to SLT modes would reduce GHG emissions.

III. Overview of relevant Sustainable Development Goals – Preferred Option(s)		
Relevant SDG	**Expected progress towards the Goal**	**Comments**
	For each unit of modal shift achieved in the freight segment, GHG emissions would decrease by 66.5%.	

ANNEX 4: ANALYTICAL METHODS

The main analytical method used in this Impact Assessment Report is multi-criteria analysis, based on stakeholder consultations, a study carried out specifically for the initiative, policy documents from the EU and the Commission's extensive case practice in State aid in the transport sector. Administrative simplification made possible by the TBER has been quantified through a specific and separate targeted consultation of Member States' authorities.

To assess the impacts of the changes in the scope of the RGL (Option Bundles A), the Impact Assessment Report relies on the consultations and the study. The study compared the impacts of demand-side schemes granting operating aid (those targeting transport organisers) to the impacts of supply-side schemes (those targeting transport operators such as railway undertakings). The study also looked into the availability and sufficiency of facilities in the EU and analysed structurally loss-making rail freight services and the profitability of SWL transport.

To assess the impacts of the proposed compatibility conditions (Option Bundles B and C), the Impact Assessment Report relies on the consultations, the study and the case practice in State aid in the transport sector. In particular, the study assessed the degree of standardisation of rolling stock between Member States, the costs and challenges faced in accessing rolling stock, and the age and state of economic obsolescence of the rolling stock fleet in the EU. The study further analysed the acuteness of market failures affecting interoperability technologies.

To assess the impacts of the proposed TBER regarding administrative simplification (Option Bundles A), in addition to information from the CfE and the further consultations, a dedicated targeted consultation was sent to Member States' authorities to quantify the administrative and opportunity cost savings that may be realised. The details of the responses to the targeted consultation, as well as the analysis of administrative costs, which is based on the results of the targeted consultation, are presented in Annex 8.

For the consultation of stakeholders, the Commission used a combination of questionnaires, meetings with interested stakeholders, conferences and public consultations, to ensure a transparent and comprehensive methodology to collect data for the initiative. Stakeholders representing the SLT sector also shared position papers and other assessments presenting their views on the scope and compatibility conditions for the revised GLs and TBER to further support modal shift.

ANNEX 5: COMPETITIVENESS CHECK

1. Overview of impacts on competitiveness

Dimensions of Competitiveness	Impact of the initiative (++ / + / 0 / - / -- / na)	References to sub-sections of the main report or annexes
Cost and price competitiveness	++	6.2.1, 6.3.1, 6.4.1
International competitiveness	+	6.2.1, 6.3.1, 6.4.1
Capacity to innovate	+	2.1.2, 6.3.1
SME competitiveness	+	6.2.1, 6.3.1, 6.4.1

2. Synthetic assessment

2.1. Cost and price competitiveness

The objective of the initiative is to reduce negative externalities from transport through modal shift, which is achieved in particular by increasing the cost and price competitiveness of the SLT sector as compared to the road only sector in the EU. State aid, supported by the administrative burden reduction in particular due to the TBER, can help to make SLT more price competitive.

The current initiative would not only improve the competitiveness of SLT directly, e.g. by allowing additional support for avoided external costs, but also indirectly and in the longer term, by simplifying and strengthening support possibilities for transport facilities and interoperability technologies that lower costs and increase efficiency.

The road only transport sector competes with SLT, and the initiative may therefore have negative impacts e.g. on road hauliers. In this respect, it is worth noting that the initiative is without prejudice, and complementary, to possibilities for granting aid in support of clean mobility and related infrastructure, such as electric vehicles or hydrogen refuelling infrastructure, under either the CEEAG or the GBER, and that road hauliers can be a part of multimodal transport operations, which would be included in the scope of the retained Option A3.

An increase in the competitiveness of SLT operations would be expected to have knock-on effects throughout the entire economy, leveraging the initial impact on the transport sector as a network industry, which supports many other economic sectors (see Point 2.2 below for more detail). This would also be expected to lead to positive impacts on GDP. Indeed, the EU transport sector contributes 5% of GDP and 5% of all direct jobs, with a further four jobs in other sectors of the economy linked to every job in the transport sector[353]. The potential impact on GDP is however estimated to be small, as the initiative is not expected to generate significant new transport activity, but rather ensure redistribution of operations between the modes of transport and its effects depend on Member States putting into place support schemes. These

[353] See footnote 49.

impacts would be expected to arise mostly thanks to positive effects on logistics companies and transport organisers, on the activities of facilities, and on the engagement of more companies per transport operation for multimodal transport instead of unimodal transport.

2.2. International competitiveness

This initiative would likely have a positive impact on international competitiveness as increased competition in a sector or sub-sector – as is the likely effect of the preferred options – is generally liable to increase output of more competitively priced goods or services. Moreover, as the transport sector is a network industry supplying the industrial sector as a whole, increased competition in the SLT sector should in particular be able to provide more competitive transport services when supplying the EU manufacturing sector, increasing the international competitiveness of the latter. Research has found that pro-competitive regulation in such input markets, such as energy or logistics, also lowers costs and leads to higher quality of inputs, contributing to export competitiveness of downstream companies[354]. Such impacts on international competitiveness can be expected to increase over time as the required infrastructure and equipment is upgraded, put in place or replaced under more generous State aid rules. Also, by facilitating investment aid to facilities and by potentially improving the efficiency of the SLT sector in the EU, transport activity currently taking place in countries bordering the EU (e.g. for transhipment) may move inside of it.

2.3. Capacity to innovate

The initiative would have a positive impact on capacity to innovate. It allows for stronger support with less administrative burden for innovative interoperability technologies such as ERTMS and DAC, which are technologies that are necessary for the implementation of further digitalisation. The initiative could be expected to lead to a wider adoption of these technologies, which would in turn increase the profitability of other innovations that build on those technologies and make them attractive internationally.

The SLT sector would therefore have a stronger incentive to invest in innovation.

2.4. SME competitiveness

The initiative would improve SME competitiveness in several ways. Retained Option A3 puts the IWW sector, which is dominated by SMEs, on an equal footing with the rail sector in terms of legal framework allowing for support measures. Moreover, compatibility conditions of retained Option C1 help address market failures that affect SMEs specifically, while the simplification entailed by the block exemption is particularly relevant for SMEs. It has been estimated that retained Option A3 would allow opportunity cost savings specifically for SMEs of EUR 1.19-5.5 million annually.

3. Competitive assessment of the most affected sectors

The present initiative concerns the transport sector, in particular the SLT sector as potential beneficiary of State aid and the road only transport sector as its main competitor. In general,

[354] Protecting competition in a changing world, DG Competition, 24 June 2024, pages 145 and 146, https://competition-policy.ec.europa.eu/publications/ex-post-economic-evaluations_en.

transport networks and services as well as a prosperous transport industry are crucial to the competitiveness of the entire EU economy. Transport is also a priority sector for the EU's transition to a net-zero economy.

As regards the current competitive situation, it can be summarised based on the indicators in the following table:

Table 15: Competitive assessment of the (sustainable land) transport sector

Indicator	Applicable	Short explanation
International competitiveness	x	Concerning land transport infrastructure, EU investment has decreased slightly during recent years. In the US and China, on the contrary, it has increased. Global competition in automated vehicles and vessels is fierce. Around the world, there are different degrees of subsidisation for the transport industry. Other regions of the world provide targeted public subsidies for investments and operations, notably to vertically integrated and State-owned companies.
Cumulative impact of regulation	x	Complex and diverging administrative and environmental rules, namely those that apply to grant permits, may constitute a barrier to the realisation of transport infrastructure projects. Challenges are amplified for transnational projects. Planning is not uniform across the EU nor fully aligned with EU planning (e.g. passenger and freight capacity handling with more than 800 national rules). The EU already has an extensive body of regulation in this sector. Implementing what is in place remains a priority.
Technological developments	x	Transport is set to experience a major digital transformation (including autonomous functions exploiting artificial intelligence and big data, emerging innovation, electrified and automated fleets using space and capacity more effectively).

Indicator	Applicable	Short explanation
Limited availability of resources/inputs	x	Rail rolling stock has proven scarce when demand has soared and investment in modern vessels able to operable on different IWW infrastructure is considered risky. There is an aging workforce with risks of staff shortages.
Limited demand		By 2050, global passenger demand is projected to increase by 79% compared to 2019 levels and freight demand should roughly double.
Security and defense	x	In particular rail transport is essential for security and defense. It is estimated that up to 90% of the transport infrastructure needed for large military operations also has civil use.
Green transformation	x	The EU's decarbonisation targets put pressure on transport sectors, in particular those that are hard to abate. Heavily affected by extreme weather events, for example droughts and low water levels regularly impact navigation on the Rhine (cutting production in key industries with recorded impacts of almost EUR 5 billion only in 2018) and triggering the need to adapt the fleet to shallow water.

Source: The Draghi report, 2024.

ANNEX 6: SME CHECK

OVERVIEW OF IMPACTS ON SMES

Relevance for SMEs
Based on the SME filter and the ISG discussion, this initiative is relevant for SMEs.

(1) IDENTIFICATION OF AFFECTED BUSINESSES AND ASSESSMENT OF RELEVANCE
Are SMEs directly affected? No **In which sectors?** Not applicable.
Estimated number of directly affected SMEs
Not applicable.
Estimated number of employees in directly affected SMEs
Not applicable.
Are SMEs indirectly affected? Yes **In which sectors? What is the estimated number of indirectly affected SMEs and employees?**
This initiative is considered relevant for SMEs, as there is a strong presence of SMEs in the targeted sectors, as well as in the competing ones. However, generally the SMEs in the scope of the present initiative are affected in the same way as larger businesses (except for the retained Option C1 for the acquisition of vehicles, which is limited to the benefit of SMEs and new entrants) and no specific direct issues for SMEs have been identified, as the initiative does not impose any compliance or administrative obligations on businesses. Finally, the impact of the initiative depends on the actions of Member States, as it is at the latters' discretion to design and put in place State aid measures. SMEs are within the scope of the initiative in their role as potential aid beneficiaries (for rail, IWW and road freight as part of multimodal transport operations), as competitors of potential aid beneficiaries (in particular unimodal road freight transport operations) and as being indirectly affected by the aid (e.g. hospitality sector around intermodal terminals). In all of the affected sectors, SMEs have a strong presence: It has been estimated that SMEs produce 44.6% of value added and represent 58.1% of jobs in the "mobility transport automotive" ecosystem of the EU industry[355].

[355] Annual Report on European SMEs 2023/2024, DG GROW and JRC, https://single-market-economy.ec.europa.eu/document/download/2bef0eda-2f75-497d-982e-c0d1cea57c0e_en?filename=Annual%20Report%20on%20European%20SMEs%202024.pdf.

SMEs are prominent in the sectors, for which support possibilities are considered for the revised GLs and TBER. In IWW, the majority of the businesses are SMEs[356]. More detailed data is available for some Member States, where there is significant IWW activity. For example, it is estimated that more than 80% of the companies in the IWW sector in Germany are SMEs and even micro enterprises[357]. In the rail sector, it is estimated that 93% of companies are SMEs[358].

SMEs are particularly relevant in the road freight sector, where they account for 99% of all enterprises[359]. In this sector, companies are positively affected when they perform activities which are eligible for support, as they pertain to multimodal transport. They would be negatively affected to the extent they perform unsupported activities competing with supported SLT activities. It has been assessed that approximately 27 000 companies could be involved in multimodal transport, most of them SMEs in the road sector[360]. It should be noted however that as access to terminals often requires special training of drivers and large road vehicle fleets, dedicated companies dominate the multimodal road sector and micro enterprises are not as active in multimodal transport, though they are sometimes subcontracted.

Also, many SMEs are active on the demand side, i.e. businesses like logistics companies and freight forwarders, which are shipping goods via transport operators. The initiative is particularly relevant for SMEs in these sectors, as it is intended to make SLT more accessible and affordable for smaller and less sophisticated customers, bringing them into the scope of this initiative.

The number of affected SMEs in other sectors will be even larger, but is not quantifiable. For example, increased use of multimodal transport often results in creation of new supporting services, in particular around terminals (hospitality sector).

(2) CONSULTATION OF SME STAKEHOLDERS

How has the input from the SME community been taken into consideration?

There has been ample consultation of SMEs in the framework of this initiative.

- Inception Impact Assessment

Out of 15 stakeholders responding to the IIA, 7 were business associations representing various stakeholders in the rail sector. Two of the business associations specifically represent SMEs.

- Call for evidence of the TBER

[356] https://www.europarl.europa.eu/RegData/etudes/BRIE/2022/698918/EPRS_BRI(2022)698918_EN.pdf and Section 2.1.3.
[357] See footnote 72.
[358] See footnote 79.
[359] See footnote 175.
[360] See footnote 79.

Out of 28 stakeholders responding to the CfE of the TBER, 14 were business associations. In the rail sector, one association representing SMEs exclusively and another mainly representing SMEs replied. In addition, there were replies from two associations mainly representing SMEs in IWW transport and three associations representing road transport, which consists almost exclusively of SMEs.

- Public consultation

Out of 70 stakeholders responding to the public consultation, 23 were companies and 22 were business associations/organisations. In the rail sector, 3 business associations mainly representing SMEs replied. Two business associations representing SMEs in the IWW sector also replied. Of the 23 companies replying to the consultation, 6 were SMEs, mainly logistics companies and railway undertakings.

- Targeted consultation on the draft texts

87 stakeholders replied to the targeted consultation, including 41 business associations and 12 companies. Among the business associations replying that mainly represent SMEs, there are 5 business associations each in the rail and IWW sectors, 4 in the road sector and 1 representing logistics companies (i.e. 15 business associations in total). One SME in the rail sector also replied.

Are SMEs' views different from those of large businesses? Partially.

In addition to confirming comments by the general business community regarding the need for increased and rapid support for the SLT sector, SME representatives particularly insisted on open, transparent and non-discriminatory allocation of aid and the preference for aid schemes open to all instead of *ad hoc* aid to the largest market participants. They called for support schemes that do not create artificial barriers to entry, such as a high administrative burden. Additionally, they pointed to the specific market failures impacting SMEs concerning the financing of rolling stock and vessels. SMEs specifically supported the exclusion of large enterprises and the exclusion of grants from aid for the acquisition of vehicles.

(3) ASSESSMENT OF IMPACTS ON SMES[361]

What are the estimated direct costs for SMEs of the preferred policy option? Not applicable: As set out above, the initiative does not impose any compliance, reporting or administrative obligations on businesses, no matter their size. The introduction of aid schemes is at the discretion of Member States.

Qualitative assessment

Not applicable.

Quantitative assessment

[361] The costs and benefits data in this Annex are consistent with the data in Annex 3. The preferred option includes the mitigating measures listed in Point 4 of this Annex.

Not applicable.
What are the estimated direct benefits/cost savings for SMEs of the preferred policy option[362]?
Qualitative assessment
Not applicable.
Quantitative assessment
Not applicable.
What are the indirect impacts of this initiative on SMEs?
SMEs are impacted in their role as potential aid beneficiaries or their competitors. The impacts of all considered options on SMEs have been assessed in detail in Sections 6.2.1, 6.3.1 and 6.4.1 of this Impact Assessment Report and constitute one of the criteria for the choice of the preferred options. As set out, SMEs (but also other businesses) are indirectly positively affected by the block exemption, as it allows aid to be granted more swiftly, which is particularly relevant for SMEs. The indirect savings (opportunity cost reduction) from this acceleration have been estimated at about EUR 1.19-5.5 million annually for SMEs specifically[363].

(4) MINIMISING NEGATIVE IMPACTS ON SMES
Are SMEs disproportionately affected compared to large companies? No. **If yes, are there any specific subgroups of SMEs more exposed than others?**
No.
Have mitigating measures been included in the preferred option/proposal? Yes.
The initiative improves SME competitiveness in several ways. Retained Option A3 puts the IWW sector, which is dominated by SMEs, on an equal footing with the rail sector. Moreover, compatibility conditions of retained Option C1 help address market failures that affect SMEs specifically, while the block exemption ensures an administrative simplification which is particularly relevant for SMEs. Even though road only freight transport businesses, which are often SMEs, could be indirectly negatively impacted as competitors of potentially aided SLT modes, they could also profit from the present initiative, if they become part of multimodal transport operations, which in addition is likely to improve employment conditions of road hauliers, involving for example short first-/last-mile transport distances instead of long unimodal drives.

[362] The direct benefits for SMEs can also be cost savings.
[363] More details on the calculations are provided in Annex 8.

Finally, as set out above, the impact of the initiative depends on the actions of Member States, as the design and putting in place of State aid measures is at the latters' discretion.

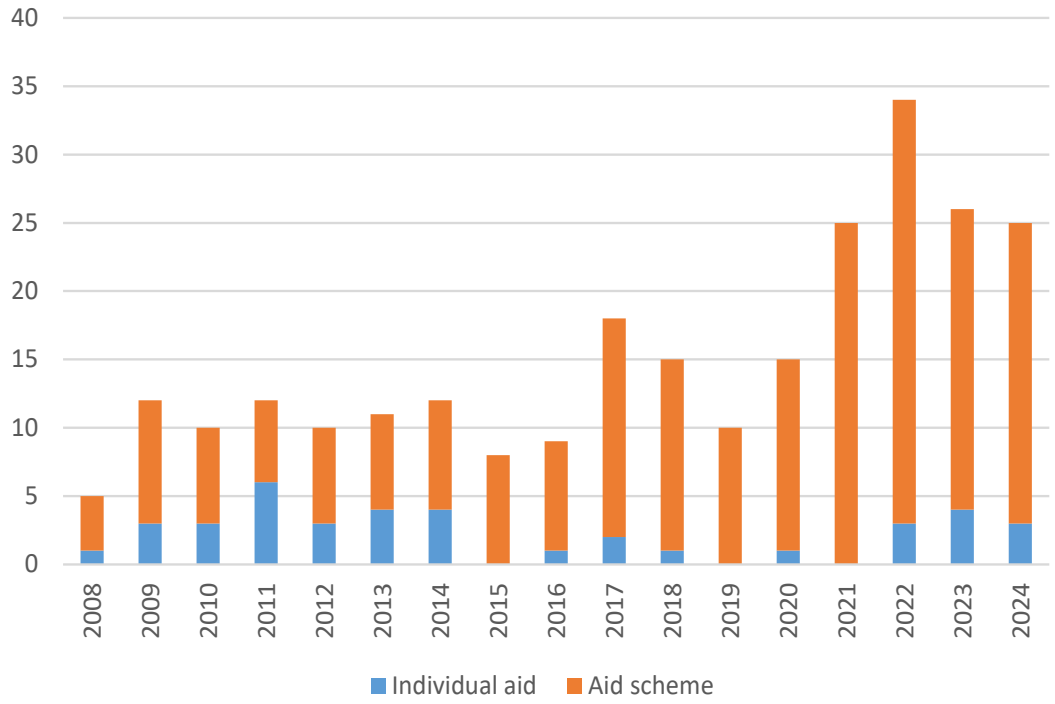
CONTRIBUTION TO THE 35% BURDEN REDUCTION TARGET FOR SMES
Are there any administrative cost savings relevant for the 35% burden reduction target for SMEs?
No.

ADDITIONAL INFORMATION

No.

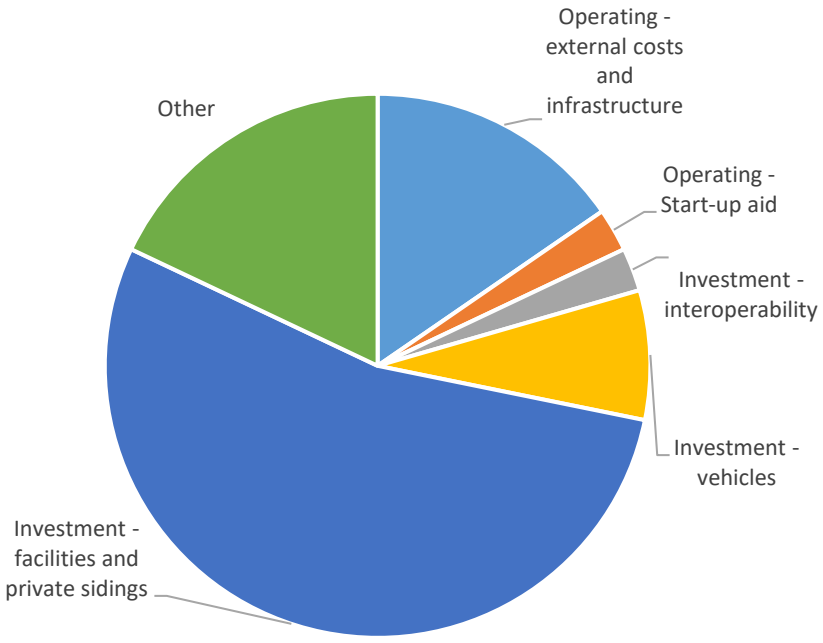
ANNEX 7: OVERVIEW OF CASE PRACTICE 2008 - 2024

Figure 9: Number of SLT decisions: aid schemes vs individual *ad hoc* aid decisions



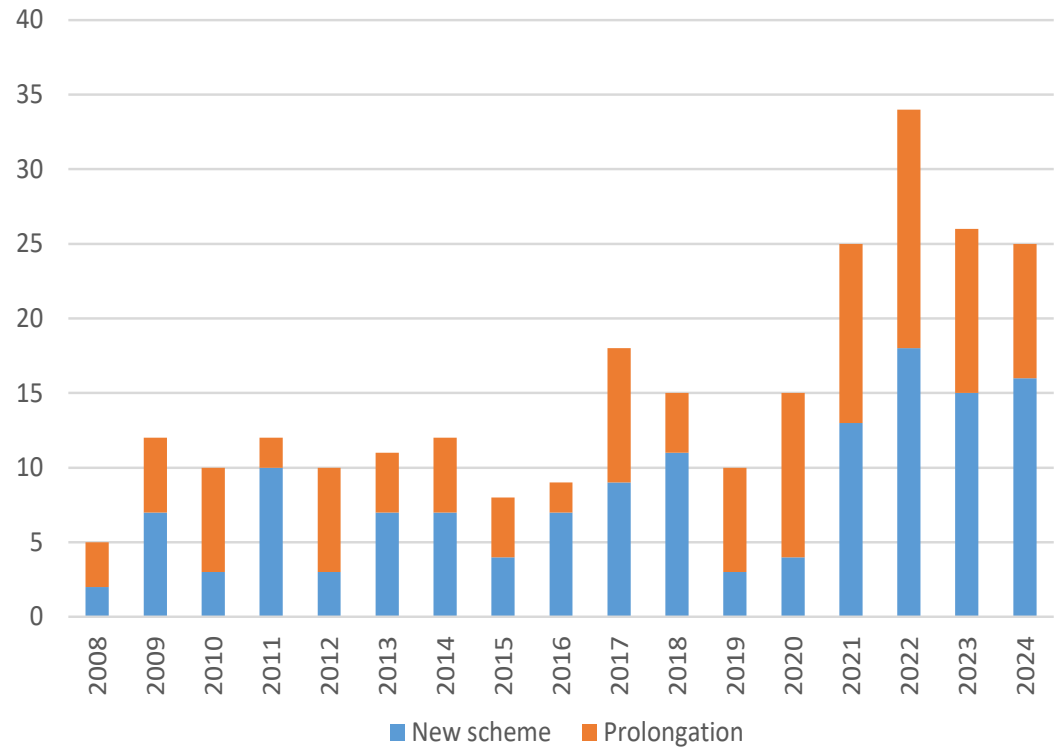
Source: European Commission - Dataset of State Aid cases.

Figure 10: Split of the 39 individual *ad hoc* SLT aid decisions by type of aid



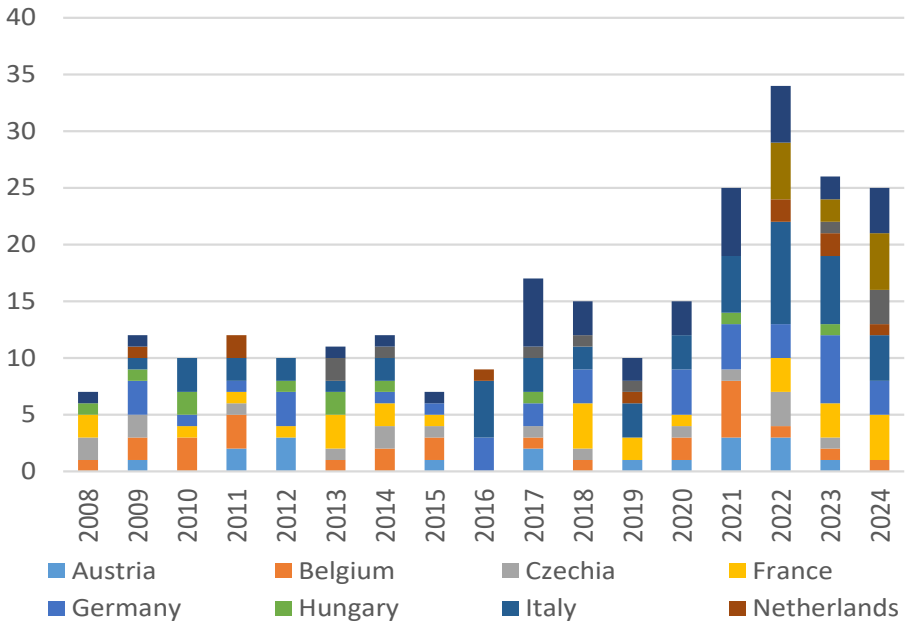
Source: European Commission - Dataset of State Aid cases.

Figure 11: Number of SLT decisions: new scheme vs. prolongation



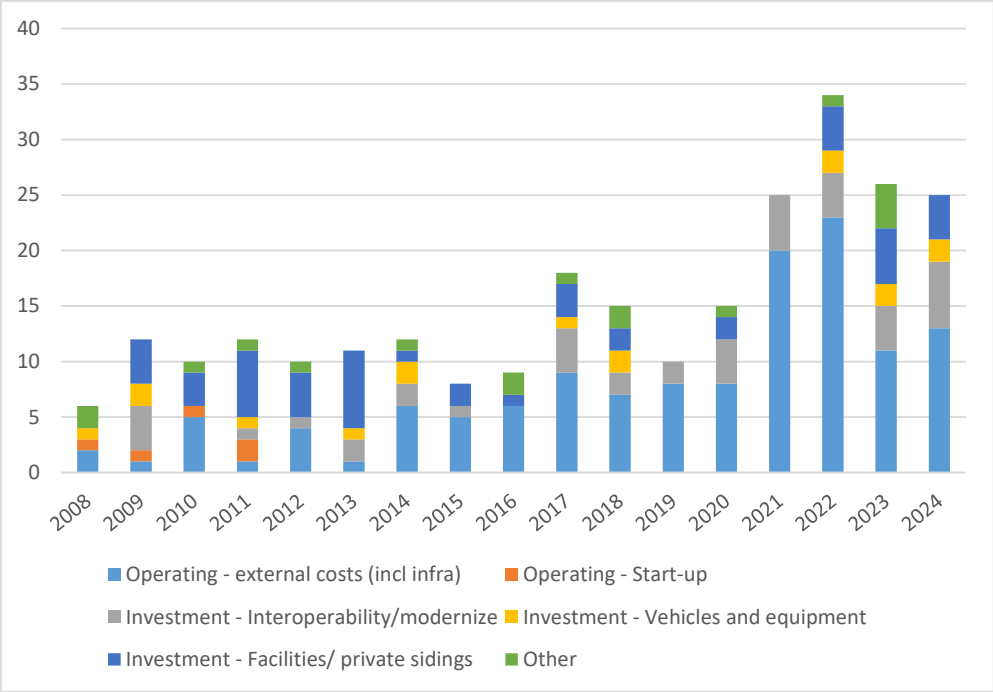
Source: European Commission - Dataset of State Aid cases.

Figure 12: Number of SLT decisions approved by Member State



Source: European Commission - Dataset of State Aid cases.

Figure 13: Number of SLT decisions approved by type of aid per year



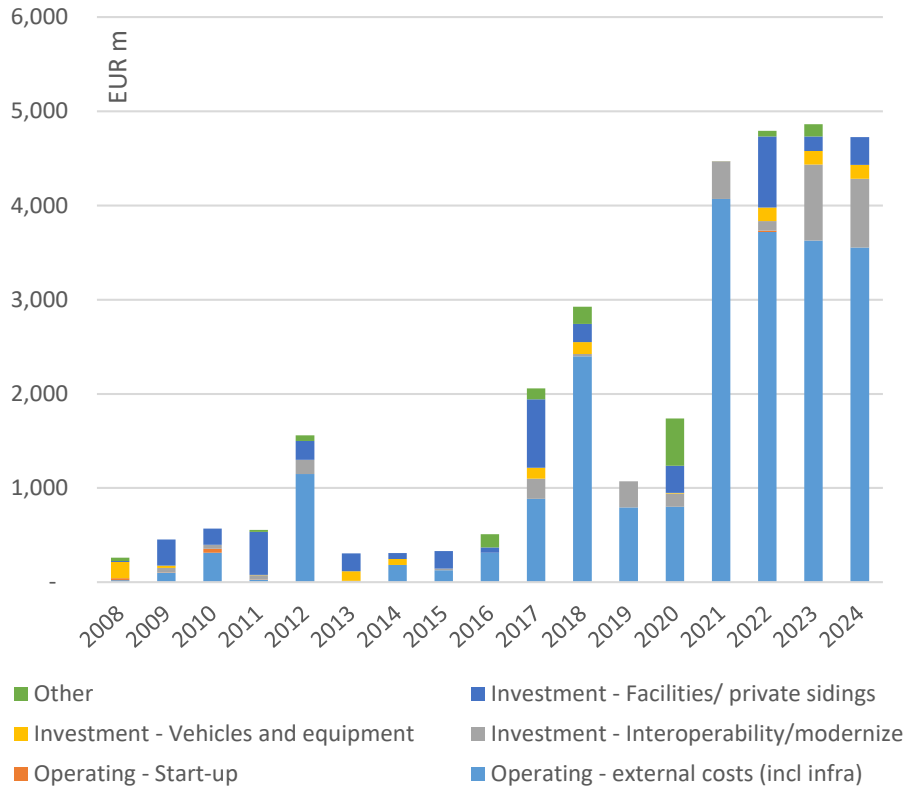
Source: European Commission - Dataset of State Aid cases.

Figure 14: Value of SLT State aid approved each year (EUR millions)



Source: European Commission - Dataset of State Aid cases.

Figure 15: Value of SLT State aid approved by type of aid (EUR millions)



Source: European Commission - Dataset of State Aid cases.

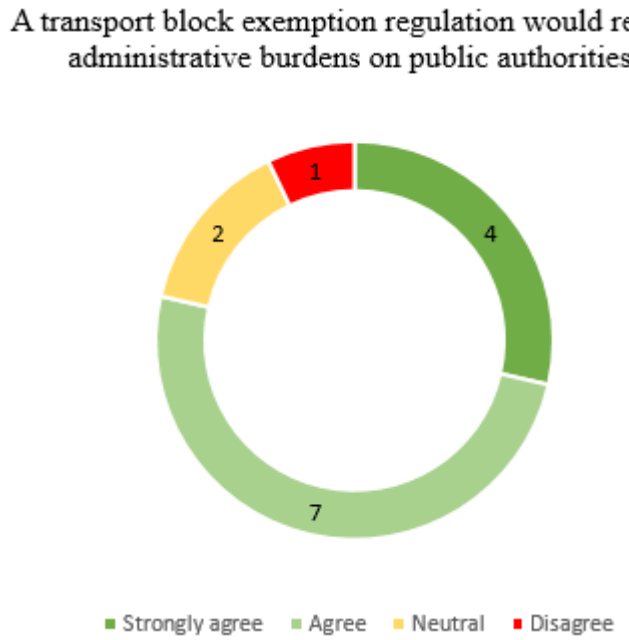
Figure 16: Number of aid decisions in SLT approved 2008-2024

Operating aid - external costs (incl. infrastructure)	130
Operating aid - Start-up	5
Investment aid - Interoperability/modernization	42
Investment aid - Vehicles and equipment	16
Investment aid - Facilities/ private sidings	48
Other	17
Total	**258**

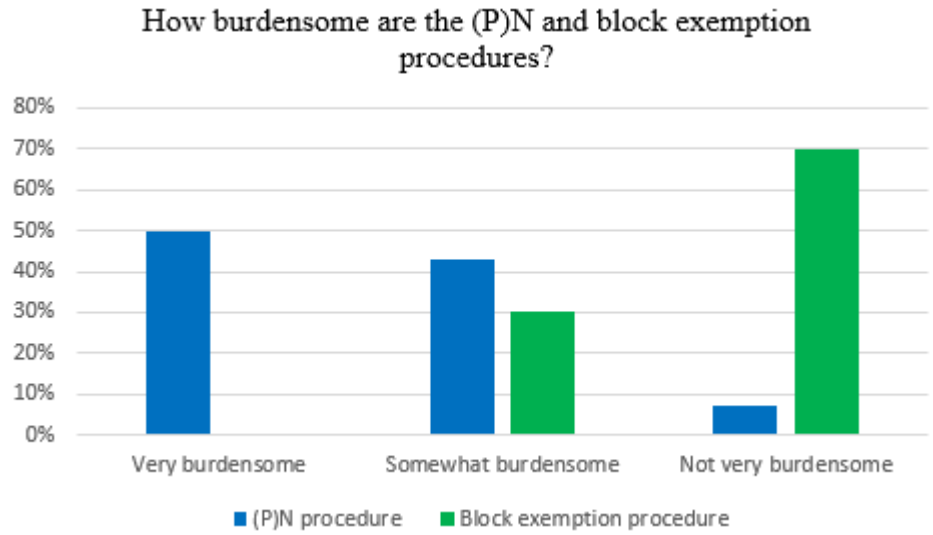
Source: European Commission – Dataset of State aid cases.

ANNEX 8: QUANTIFICATION OF ADMINISTRATIVE BURDEN AND RELATED COST REDUCTIONS

In the targeted consultation of Member State authorities concerning the administrative burden reduction (see Point 4.5 of Annex 2), Member States were asked whether a block exemption would relieve administrative burden. They agreed nearly unanimously:



Indeed, Member States consider that the (pre-)notification procedure is significantly more burdensome than the block exemption procedure:



The (pre-)notification procedure has implications for administrative burden not only in terms of the amount of work involved in those procedures for Member States and the Commission, but also opportunity costs for businesses entailed by the delay between the design of a State aid measure within the Member State and its final implementation. One Member State noted that

the notification procedure is long and that the Commission asks numerous questions at various stages in the procedure, which makes it very unreliable to estimate the timeline of implementation for new measures.

The questionnaire asked Member States to quantify the time involved in (pre-)notifications which could be saved with a block exemption. The replies are displayed in the following Table 16.

Table 16: Overview of Member State responses to the targeted consultation on cost savings[364]

#	Member State	Estimated working time notification total (days)	Estimated working time per block exempted measure (days)	Estimated time notification adds to procedure (months)
1	Belgium	14	na	8
2	Czechia	114.75	16	14
3	France	37.5	0	18
4	Germany	9	0.2	7
5	Hungary	37	1	7
6	Italy	100	20	7.5
7	Luxembourg	24	8	6
8	Malta	21.5	0.5	1.5
9	Netherlands	6.5	0.5	7.5
	Average	40.5	5.8	8.5
	Median	24	0.8	7.5

Source: Targeted consultation of Member States on the administrative burden reduction.

In summary, Member States estimate that the amount of work required to complete (pre)-notification discussions and the preparation and submission of notification documents in SANI, the Commission's IT tool used for that purpose, is equivalent to 40.5 working days per State aid measure on average. The median estimate is 24 working days. For block exempted measures, Member States estimate that the amount of work required to complete procedures involving the Commission (the preparation and submission of an information sheet in SANI) is equivalent to 5.8 working days per State aid measure on average, meaning that nearly 7 times less work is required than in case of notification. The median estimate for the time needed for a Member State to complete the procedures involving the Commission in the case of a block exempted measure is 0.8 working day implying a workload more than 20 times smaller for block exempted measures.

Member States further estimate that the notification procedure on average adds 8.5 months to the process of adopting a State aid measure from start (designing a State aid measure in the Member State) to finish (implementing that measure). The median estimated time added is 7.5

[364] The source data was adjusted in the following ways: Where ranges were provided, averages were used. Where no value was provided, a smaller sample size was used. Where several authorities from the same Member State responded (Malta, Czechia and Italy), the average of the replies was used.

months[365]. This additional time needed from the moment a measure is designed by a Member State until the moment it can actually be disbursed to the beneficiaries involves opportunity costs, which a block exemption would allow to reduce.

In the following, the cost implications (in terms of administrative costs and opportunity costs) for each option in Option Bundle A, which are the options relating to the introduction of a block exemption, have been estimated for three scenarios:

- a central scenario, implying that relevant State aid spending (and number of measures) would remain on the same level as the average of the years 2022-2024 (which could be considered as a baseline post-COVID-19),

- a low scenario in case relevant State aid spending (and the number of measures) would go back to the level observed in 2018 (before the COVID-19 pandemic, due to Member States' possible spending constraints and other priorities), and

- a high scenario in case relevant State aid spending (and the number of measures[366]) would increase by 15% compared to the 2022-2024 average (due to Member States prioritising the decarbonisation of the transport sector via modal shift).

Estimates were then derived for (a) the administrative burden reduction for Member State authorities, (b) the administrative burden reduction for the Commission and (c) the saved opportunity costs for businesses from the swifter implementation of State aid measures.

(a) Quantification of administrative burden reduction for Member State authorities

Taking the median results of the targeted consultation as a conservative basis for quantification, it follows from the replies that Member State authorities save about 23 working days[367] per State aid measure which is block exempted.

To estimate the administrative burden reduction for **Option A1** (the block exemption would only extend to measures for which compatibility conditions are defined in section 6 of the RGL), the central scenario is based on the fact that, as the analysis of case practice shows, during the years 2022-2024, the Commission approved 18 State aid measures on average (per year) which fall under section 6 of the RGL. Based on the objective to block exempt 85% of aid measures[368], this would mean that 15 measures would fall under the block exemption

[365] The reliability of this estimate is supported by the Commission's internal data, which shows that for the 85 State aid decisions in the SLT sector adopted in 2022-2024, the time between the creation of a case and the adoption of a decision is 7.6 months on average.
[366] Assuming measures would be distributed across categories in the same proportion as in the past.
[367] Median of 24 for notification – median of 0.8 for block exempted measures = 23.2, which is rounded to 23. Based on the average figures, Member State authorities would save 35 working days (40.5-5.8).
[368] Under this option, the notification thresholds would be designed in a way to achieve a block exemption of 85% of the measures, in line with GBER experience.

annually. Member States would on this basis have annual administrative savings of **EUR 98 256**[369].

Under the low scenario, the Commission has approved 6 State aid measures in 2018 which fall under section 6 of the RGL. Because of the objective to block exempt 85% of aid measures, this would mean that 5 measures would fall under the block exemption annually. Member States would on this basis have annual administrative savings of EUR 33 407[370].

Under the high scenario, there would be 21[371] State aid measures on average (per year) which would fall under section 6 of the RGL. Given the objective to block exempt 85% of aid measures, this would mean that 18 measures would fall under the block exemption annually. Member States would on this basis have annual administrative savings of EUR 115 254[372].

For **Options A2 and A3** (the block exemption extends to measures covered by today's case practice in the SLT sector), the central scenario is based on the 28 State aid measures approved on average in the SLT sector per year for the years 2022-2024. Again, 85% of State aid measures would be block exempted. This would mean that 24 measures would fall under the block exemption annually. Member States would on this basis have an annual administrative saving of EUR **157 210**[373].

Under the low scenario, the Commission has approved 15 State aid measures in 2018 in the SLT sector. Based on 85% of aid measures being block exempted, this would mean that 13 measures would fall under the block exemption annually. Member States would on this basis have annual administrative savings of EUR 83 518[374].

Under the high scenario, there would be 32 State aid measures on average (per year) [375] in the SLT sector. Since 85% of aid measures would be block exempted, this would mean that 27 measures would fall under the block exemption annually. Member States would on this basis have annual administrative savings of EUR 178 171[376].

An overview of all estimates is provided in Table 17 below:

[369] 23 working days saved (24 for notification – 0.8 for block exempted measures) * 8 hours for a standard working day * 15 State aid measures estimated to benefit from the block exemption * 35.6 (default hourly rate used to represent EU weighted average salary costs) = 98 256.
[370] 23 working days saved * 8 hours for a standard working day * 5 State aid measures estimated to benefit from the block exemption * 35.6 (default hourly rate used to represent EU weighted average salary costs) = 33 407.
[371] 115% * 18 measures = 21 measures.
[372] 23 working days saved * 8 hours for a standard working day * 18 State aid measures estimated to benefit from the block exemption * 35.6 (default hourly rate used to represent EU weighted average salary costs) = 115 254.
[373] 23 working days saved * 8 hours for a standard working day * 24 State aid measures estimated to benefit from the block exemption * 35.6 (default hourly rate used to represent EU weighted average salary costs) = 157 210.
[374] 23 working days saved * 8 hours for a standard working day * 13 State aid measures estimated to benefit from the block exemption * 35.6 (default hourly rate used to represent EU weighted average salary costs) = 83 518.
[375] 115% * 28 measures = 32 measures.
[376] 23 working days saved * 8 hours for a standard working day * 27 State aid measures estimated to benefit from the block exemption * 35.6 (default hourly rate used to represent EU weighted average salary costs) = 178 171.

Table 17: Overview of estimated annual administrative savings for Member States (in EUR)

Option A1			Options A2 and A3		
Low	Central	High	Low	Central	High
33 407	98 256	115 254	83 518	157 210	178 171

(b) Quantification of administrative burden reduction for the Commission

Based on the Commission's internal data for the 85 decisions adopted in the SLT sector in the period 2022-2024, the Commission spends on average 141.9 man-hours per decision, with a median of 116.8[377]. To provide a conservative estimate, ironing out extreme data points, the median estimate will be used to quantify the administrative savings for the Commission.

From the low scenario of Option A1 to the high scenario of Options A2 and A3, the block exemption would reduce the number of cases handled by the Commission by between 5 and 27 cases per year (see analysis above for Member State administrations). Applying the same standard hourly rate of EUR 35.6, that would equate to savings of between EUR 21 206[378] and EUR 113 100[379] per year.

The savings for each scenario are set out in Table 18.

Table 18: Overview of estimated annual administrative savings for the Commission (in EUR)

Option A1			Options A2 and A3		
Low	Central	High	Low	Central	High
21 206	62 371	73 161	53 016	99 794	113 100

(c) Quantification of opportunity cost savings for businesses

Businesses would benefit from the simplification mainly because the approval (and subsequent payment) of support would be faster. Taking the median results of the targeted consultation as a conservative basis for quantification, it follows from the replies to the targeted consultation that Member State authorities save 7.5 months per measure that is block exempted, instead of having to go through the notification procedure. It is assumed that, since the Commission is not involved in the implementation of State aid measures outside of the notification procedure (including the adoption of State aid decisions), these results also imply that applicants can

[377] This includes only the time spent by DG Competition services on exchanges with the Member State concerned and drafting the decision. It does not include resources from other services of the Commission, e.g. in the course of the interservice consultation or adoption of decisions.
[378] 6 State aid measures * 85% to be block exempted * 116.8 hours saved per measure * 35.6 hourly rate = EUR 21 206.
[379] 32 State aid measures * 85% to be block exempted * 116.8 hours saved per measure * 35.6 hourly rate = EUR 113 100.

benefit from the payment of State aid measures 7.5 months earlier, if those measures are block exempted.

For **Option A1** (the block exemption would only extend to measures for which compatibility conditions are defined in section 6 of the RGL), it has been estimated that the faster approval and implementation of measures under the central scenario would apply to 85% of State aid measures which currently fall under section 6 of the RGL going forward. However, 85% of measures being block exempted does not mean 85% of the spending being block exempted. Indeed, block exempted measures have generally lower budgets than notified measures, as the block exemption does not apply beyond certain thresholds. Based on data from existing block exemption regulations, one can estimate the proportion in the overall spending for this type of measures to which 85% of block exempted measures correspond. Under various block exemption regulations (including the GBER), where in 2023 88% of measures were block exempted, this translated to 38% of spending[380]. On that basis it is estimated that 36.7%[381] of the relevant State aid spending will be able to benefit from the block exemption going forward.

Under the central scenario (implying that relevant State aid spending would remain on the same level as the average of the years 2022-2024), one would take as a basis the average annual State aid spending on measures falling under section 6 of the RGL during the years 2022-2024 of EUR 4.2 billion, as the analysis of the case practice shows. Taking into account an acceleration of the procedure by 7.5 months thanks to block exemption and the average discount rate for the years 2022-2024 of 2.8% as a proxy for the discount rates going forward, the savings of businesses due to the quicker availability of support have been estimated to amount to **EUR 27.6 million annually on average**[382], or 0.6% of State aid spending[383].

For the low scenario, State aid spending on measures falling under section 6 of the RGL in 2018 amounted to EUR 2.4 billion. Taking into account an acceleration of the procedure by 7.5 months thanks to block exemption and using the average discount rate for the years 2022-2024 of 2.8% as a proxy for the discount rates going forward, this would translate to savings for businesses due to the quicker availability of support of about EUR 15.6 million annually.

For the high scenario, State aid spending on measures falling under section 6 of the RGL would amount to 115% the average State aid spending in the period 2022-2024, i.e. EUR 4.8 billion. This would translate to savings of businesses due to the quicker availability of support of about EUR 30.9 million[384].

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[380] https://ec.europa.eu/commission/presscorner/detail/en/ip_25_952, showing the link between the proportion of measures and the proportion of expenditure.
[381] 38% * (85/88) = 36.7%
[382] EUR 4.2 billion in average annual State aid spending * 0.367 (proportion of spending estimated to benefit from the block exemption) * 0.028 (applicable discount rate) * (7.5/12) (estimated time saved). Based on the Communication from the Commission on the revision of the method for setting the reference and discount rates. Base rates taken from: https://competition-policy.ec.europa.eu/state-aid/legislation/reference-discount-rates-and-recovery-interest-rates/reference-and-discount-rates_en/. The estimates range between EUR 6.0 in 2022 and 39.3 million in 2024.
[383] 0.367 * 0.028 * (7.5/12).
[384] EUR 2.4 billion in average annual State aid spending * 0.367 (proportion of spending estimated to benefit from the block exemption) * 0.028 (applicable discount rate) * (7.5/12) (estimated time saved).

For **Options A2 and A3** (the block exemption extends to measures covered by today's case practice in the SLT sector), as the block exemption would cover the targeted 85% of aid measures in the SLT sector, this means it would apply to approximately 36.7% of State aid spending in the SLT sector for the years 2022-2024 in the central scenario. Based on average annual State aid spending during the years 2022-2024 of EUR 4.8 billion in the SLT sector, and an acceleration of the procedure by 7.5 months thanks to block exemption, the savings of businesses due to the quicker availability of support have been estimated to amount to **EUR 30.62 million annually on average**[385].

For the low scenario, the estimate would amount to EUR 18.8 million[386] annually. For the high scenario, the estimate would amount to EUR 35.42 million[387] annually.

An overview of all estimates is provided in Table 19.

Table 19: Overview of estimated annual opportunity cost savings for businesses in EUR million

	Option A1			**Options A2 and A3**		
	Low	Central	High	Low	Central	High
Average	15.6	27.6	30.9	18.8	30.62	35.42
Range		6.0-39.3			7.6-43.4	

(d) Quantification of opportunity cost savings for SMEs

In order to quantify the opportunity cost savings for SMEs, the same methodology as above has been applied, while approximating the share of aid received by SMEs in each option and scenario based on their market share in terms of turnover in different segments of SLT. The market shares in terms of turnover have been calculated based on Eurostat data related to Structural Business Statistics, classified by size and NACE Rev.2 activity. Market share data for some of the segments which have not been readily available from the above statistics have been approximated based on the case practice. SMEs have a relatively higher market share in the IWW sector and in the operation of facilities, while the rail transport sector activity is dominated by larger enterprises.

Under the central scenario (implying that relevant State aid spending would remain on the same level as the average of the years 2022-2024), the average annual State aid amounts received by SMEs would amount to EUR 385 million in the case of **Option A1** (i.e. 10% of State aid amounts overall) and EUR 657 million in case of **Options A2 and A3** (i.e. 14% of State aid amounts overall). Taking into account an acceleration of the procedure by 7.5 months thanks to the block exemption and the average discount rate for the years 2022-2024 of 3.2% (higher than the average including large businesses which have easier access to bank financing) as a proxy for the discount rates going forward, the savings of SMEs due to the quicker availability of

[385] EUR 4.8 billion in average annual State aid spending * 0.367 (proportion of spending estimated to benefit from the block exemption) * 0.028 (applicable discount rate) * (7.5/12) (estimated time saved), ranging between EUR 7.6 million in 2022 and EUR 43.4 million in 2024.
[386] EUR 2.9 billion in annual State aid spending * 0.367 (proportion of spending estimated to benefit from the block exemption) * 0.028 (applicable discount rate) * (7.5/12) (estimated time saved).
[387] EUR 5.5 billion in annual State aid spending * 0.367 (proportion of spending estimated to benefit from the block exemption) * 0.028 (applicable discount rate) * (7.5/12) (estimated time saved).

support have been estimated to amount to **EUR 2.7 million** annually on average under **Option A1 and EUR 3.9 million** annually under **Options A2 and A3.** The ranges for each of the years 2022-2024, as well as the estimates under the other scenarios are depicted in Table 20.

Table 20: Overview of estimated annual opportunity cost savings for SMEs in EUR million

	Option A1			**Options A2 and A3**		
	Low	Central	High	Low	Central	High
Average	0.48	2.69	3.25	3.29	3.95	5.55
Range		0.46-3.92			1.19-5.5	

ANNEX 9: RELEVANT PROVISIONS OF THE TFEU

Article 93

(ex Article 73 TEC)

Aids shall be compatible with the Treaties if they meet the needs of coordination of transport or if they represent reimbursement for the discharge of certain obligations inherent in the concept of a public service.

Article 100

(ex Article 80 TEC)

1. The provisions of this Title shall apply to transport by rail, road and inland waterway.

2. The European Parliament and the Council, acting in accordance with the ordinary legislative procedure, may lay down appropriate provisions for sea and air transport. They shall act after consulting the Economic and Social Committee and the Committee of the Regions.

Article 106

(ex Article 86 TEC)

1. In the case of public undertakings and undertakings to which Member States grant special or exclusive rights, Member States shall neither enact nor maintain in force any measure contrary to the rules contained in the Treaties, in particular to those rules provided for in Article 18 and Articles 101 to 109.

2. Undertakings entrusted with the operation of services of general economic interest or having the character of a revenue-producing monopoly shall be subject to the rules contained in the Treaties, in particular to the rules on competition, in so far as the application of such rules does not obstruct the performance, in law or in fact, of the particular tasks assigned to them. The development of trade must not be affected to such an extent as would be contrary to the interests of the Union.

3. The Commission shall ensure the application of the provisions of this Article and shall, where necessary, address appropriate directives or decisions to Member States.

Article 107

(ex Article 87 TEC)

1. Save as otherwise provided in the Treaties, any aid granted by a Member State or through State resources in any form whatsoever which distorts or threatens to distort competition by favouring certain undertakings or the production of certain goods shall, in so far as it affects trade between Member States, be incompatible with the internal market.

2. The following shall be compatible with the internal market:

(a) aid having a social character, granted to individual consumers, provided that such aid is granted without discrimination related to the origin of the products concerned;

(b) aid to make good the damage caused by natural disasters or exceptional occurrences;

(c) aid granted to the economy of certain areas of the Federal Republic of Germany affected by the division of Germany, in so far as such aid is required in order to compensate for the economic disadvantages caused by that division. Five years after the entry into force of the Treaty of Lisbon, the Council, acting on a proposal from the Commission, may adopt a decision repealing this point.

3. The following may be considered to be compatible with the internal market:

(a) aid to promote the economic development of areas where the standard of living is abnormally low or where there is serious underemployment, and of the regions referred to in Article 349, in view of their structural, economic and social situation;

(b) aid to promote the execution of an important project of common European interest or to remedy a serious disturbance in the economy of a Member State;

(c) aid to facilitate the development of certain economic activities or of certain economic areas, where such aid does not adversely affect trading conditions to an extent contrary to the common interest;

(d) aid to promote culture and heritage conservation where such aid does not affect trading conditions and competition in the Union to an extent that is contrary to the common interest;

(e) such other categories of aid as may be specified by decision of the Council on a proposal from the Commission.

Article 108

(ex Article 88 TEC)

1. The Commission shall, in cooperation with Member States, keep under constant review all systems of aid existing in those States. It shall propose to the latter any appropriate measures required by the progressive development or by the functioning of the internal market.

2. If, after giving notice to the parties concerned to submit their comments, the Commission finds that aid granted by a State or through State resources is not compatible with the internal market having regard to Article 107, or that such aid is being misused, it shall decide that the State concerned shall abolish or alter such aid within a period of time to be determined by the Commission.

If the State concerned does not comply with this decision within the prescribed time, the Commission or any other interested State may, in derogation from the provisions of Articles 258 and 259, refer the matter to the Court of Justice of the European Union direct.

On application by a Member State, the Council may, acting unanimously, decide that aid which that State is granting or intends to grant shall be considered to be compatible with the internal

market, in derogation from the provisions of Article 107 or from the regulations provided for in Article 109, if such a decision is justified by exceptional circumstances. If, as regards the aid in question, the Commission has already initiated the procedure provided for in the first subparagraph of this paragraph, the fact that the State concerned has made its application to the Council shall have the effect of suspending that procedure until the Council has made its attitude known.

If, however, the Council has not made its attitude known within three months of the said application being made, the Commission shall give its decision on the case.

3. The Commission shall be informed, in sufficient time to enable it to submit its comments, of any plans to grant or alter aid. If it considers that any such plan is not compatible with the internal market having regard to Article 107, it shall without delay initiate the procedure provided for in paragraph 2. The Member State concerned shall not put its proposed measures into effect until this procedure has resulted in a final decision.

4. The Commission may adopt regulations relating to the categories of State aid that the Council has, pursuant to Article 109, determined may be exempted from the procedure provided for by paragraph 3 of this Article.

Article 109

(ex Article 89 TEC)

The Council, on a proposal from the Commission and after consulting the European Parliament, may make any appropriate regulations for the application of Articles 107 and 108 and may in particular determine the conditions in which Article 108(3) shall apply and the categories of aid exempted from this procedure.

ANNEX 10: SUMMARY OF THE PROVISIONS OF THE RGL

The RGL[388] contain 8 sections, of which only section 6 on coordination of transport is still relevant today. This Annex provides a short description of the content of the other sections of the RGL, explaining why they are not relevant anymore, followed by a detailed description of the compatibility criteria for section 6.

1. The other sections of the RGL

Sections 1 on the context and 8 on final provisions frame the text without setting out any measures or compatibility conditions. Section 2 provides a short description of when public financing of railway infrastructure could constitute aid to railway undertakings. Section 3 on the purchase and renewal of rolling stock refers to the compatibility conditions of other GLs. Section 4 on debt cancellation refers only to debt incurred prior to 15 March 2001. Section 5 on restructuring was only applicable to rail freight divisions of railway undertakings and expired on 1 January 2010. Section 7 calls for the removal of unlimited State guarantees to railway undertakings.

2. The compatibility criteria for the measures falling under section 6 of the RGL

Section 6 refers to coordination of transport and lays down compatibility criteria for three types of measures[389]:

- **Operating aid for infrastructure use**, i.e. aid granted to railway undertakings which have to pay charges for the infrastructure they use, while undertakings providing transport services from other modes do not have to do so (or have to do so to a lesser extent);
- **Operating aid for reducing external cost** due to rail transport generating lower external costs than other transport modes, such as road transport; and
- **Investment aid for interoperability** and for promoting greater safety, removing technical barriers and reducing noise pollution in the rail sector.

The aid is considered compatible, if it is necessary, proportionate and not unduly distorting competition. Section 6.3 of the RGL operationalises these compatibility conditions further.

For aid for infrastructure use, necessity and proportionality are presumed, as long as the aid amount remains below 30% of the total cost of rail transport and 100% of the additional cost for infrastructure use paid by rail transport compared to a more polluting competing transport mode.

For aid for the reduction of external costs, necessity and proportionality are presumed, as long as the aid amount remains below 30% of the total cost of rail transport and 50% of the part of

[388] See footnote 5.

[389] In addition, section 6.4 concerns aid for research and development. However, specific horizontal rules for such measures have since superseded the RGL in the Communication from the Commission, Framework for State aid for research and development and innovation, most recently from 2022, OJ C 414, 28.10.2022 and previously from 2014 (OJ C 198, 27.6.2014). Both texts state that the Commission will apply the principles set out in the Framework concerned for the '*compatibility assessment of all notified R&D&I aid'*.

the external costs, which rail transport makes it possible to avoid compared with competing transport modes.

For both, in case there are several competing transport modes, the highest cost differential can be applied. The calculation has to be based on a transparent, reasoned, quantified and public cost analysis.

As regards aid for interoperability investments, necessity and proportionality are presumed, as long as the aid amount remains below 50% of the investment costs relating to the installation of safety systems and interoperability or noise reduction, in particular investments associated with the deployment of ERTMS and any like measures.

Aid amounts above the thresholds are possible for all three categories, but Member States must then demonstrate the necessity and proportionality of the measure which they propose.

For all three categories, Member States have to prove that the aid has the effect of encouraging the modal shift, i.e. that it is reflected in the price demanded from passengers or shippers (so-called pass-on), as it is the latter who make the choice of the transport mode. For the two operating aid categories, Member States also have to demonstrate that there is a realistic prospect of keeping the traffic transferred to rail.

Finally, aid schemes can be approved for a maximum of 5 years.

ANNEX 11: DATA AND METHODOLOGY USED FOR DISAGGREGATING THE ENVIRONMENTAL IMPACTS

The starting point for the calculations in Table 6 is the Commission Handbook on external costs[390], which contains data on environmental impacts for various transport modes. However, additional data is required to compare the overall environmental impacts of SLT to those of road transport.

The figures for the railway sector combine data on diesel and electric trains, and assume that 80% of rail traffic in the EU is electrified. The Draghi report noted that 80% of rail traffic takes place on electrified tracks[391]. Moreover, in 2022, the share of electricity in the energy consumption in rail transport was 78.9%, compared to 20.4% for diesel trains (the remaining 0.7% coming from biofuels)[392]. Since electric engines are more efficient than diesel ones, the share of electric rail traffic should be higher than 78.9%. In the absence of more granular data, this proportion is applied for both freight and passenger transport.

The figures for SLT in the freight segment combine the figures for the rail and IWW sectors. This calculation assumes that SLT in the freight segment consists of 77.3% rail traffic and 22.7% IWW traffic, consistent with the latest data from the EU statistical pocketbook for the year 2025[393]. Data on the modal share and environmental impacts of short-sea shipping is not available.

In the freight segment, it is assumed that SLT competes specifically with heavy-goods vehicles, i.e. trucks. Data on the environmental impacts of light commercial vehicles, such as delivery vans, exists as well, and the environmental impacts of these vehicles per tonne or passenger-kilometre are worse than for heavy-goods vehicles. This assumption is therefore conservative, in terms of demonstrating how much more environmentally friendly SLT is compared to road transport.

The data on passenger road transport combine separate data from passenger cars, buses, coaches and powered two-wheelers. It is assumed that in the passenger segment, the modal shares of these modes are 88.7% for passenger cars, 8.9% in aggregate for buses and coaches (traffic is split equally among both modes, in the absence of more granular data), and 2.4% for powered two-wheelers, consistent with the latest data from the EU statistical pocketbook for the year 2025[394].

Lastly, the costs of energy production or well-to-tank emissions consist essentially of emissions of air pollutants and GHG emissions, and are spread equally across those two categories.

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[390] See footnote 83.
[391] See footnote 49.
[392] https://ec.europa.eu/eurostat/statistics-explained/index.php?title=Final_energy_consumption_in_transport_-_detailed_statistics.
[393] See footnote 55.
[394] See footnote 55.

ANNEX 12: MONITORING AND EVALUATION

Objective	Indicators	Source of data
General objective: contribute to a modal shift towards SLT modes	Change in amounts of aid approved for SLT (aid approved under revised GLs and the TBER) *(a)*	Database of State aid cases, administered by the Commission based on Member States' notifications and information sheets (for block exempted measures): https://competition-cases.ec.europa.eu/search?caseInstrument=SA The State aid Scoreboard and the related annual reports: https://competition-policy.ec.europa.eu/state-aid/scoreboard_en
	Number of measures and amounts of aid under the TBER, compared to the number of measures and amounts approved under the revised GLs *(c)*	Database of State aid cases, administered by the Commission based on Member States' notifications and information sheets (for block exempted measures): https://competition-cases.ec.europa.eu/search?caseInstrument=SA
	Duration of State aid procedures in SLT sector	Commission internal databases
	Change in share of SLT modes in passenger transport *(b)*	Eurostat statistics on passenger transport: - Expressed as a share in total number of passenger kilometres (tran_hv_psmod)
	Change in share of SLT modes in freight transport *(b)*	Eurostat statistics on freight transport: - Expressed as a share in total number of tonne-kilometres (tran_hv_frmod)
Reduce the external cost gap between road and SLT (SO1)	Change in amounts and intensities of operating aid approved *(a)*	Database of State aid cases, administered by the Commission based on Member States' notifications and information sheets (for block exempted measures): https://competition-cases.ec.europa.eu/search?caseInstrument=SA
	Prices for rail or IWW transport compared to those of road and air transport	Eurostat datasets on HICP and the detailed decompositions (prc_hicp_aind)
	Change in total rail passenger use *(b) (d) (e)*	Eurostat statistics on passenger transport: - Expressed in number of passenger-kilometres using rail (rail_pa_total)
	Change in total rail or IWW freight use *(b) (d) (e)*	Eurostat statistics on freight transport: - Expressed in number of million tonne-kilometres using rail (**rail_go_total**) and using IWW (**iww_go_atygo)**

Objective	Indicators	Source of data
Accelerate the rollout of interoperability technologies (SO2)	Increase in ERTMS deployment – evolution of trains equipped with ERTMS *(b)*	https://transport.ec.europa.eu/transport-modes/rail/ertms/state-play_en
Improve access to finance for SMEs and new entrants (SO3)	Amounts of State aid granted to the incumbent companies compared to new entrants *(e)*	State aid transparency award module: https://webgate.ec.europa.eu/competition/transparency/public?lang=en
	Change in market share of new entrants	Monitoring report on the development of the rail market under Article 15(4) of Directive 2012/34/EU https://transport.ec.europa.eu/transport-modes/rail/market/rail-market-monitoring-rmms_en
Improve access to facilities and private sidings (SO4)	Change in the number of multimodal terminals (in particular those modernized to handle trains of 750m)	https://webgate.ec.europa.eu/tentec-maps/web/public/screen/home
	Change in the number and length of private sidings	National Rail Regulators
	Change in use of multimodal transport containers in freight transport	Eurostat statistics: Expressed in the usage of Intermodal Transport Units in total goods transported by mode of transport (**tran_im_umod)**
	Change in use of multimodal transport containers in rail transport	Eurostat statistics related to the use of ITUs in rail transport (**tran_im_urail)**
	Change in use of freight transport by IWW and the use of multimodal containers	Eurostat statistics: - Transported volumes by IWW (**iww_go_atygo)** Use of Intermodal Transport Units in IWW transport (**tran_im_uiww)**

The indicators above will be compared primarily to their own level in the period before the adoption of the revised rules, in order to quantify how the revision of the rules impacted them. A disaggregation by Member State is also possible. In addition, in some cases, other indicators can be used as basis for comparison or as control factors in order to better isolate the effect of the changes in the rules. These are described below:

(a) The indicator can be compared also with the changes in amounts of State aid approved for all sectors and types (source: the State aid Scoreboard https://competition-policy.ec.europa.eu/state-aid/scoreboard_en).

(b) The changes in the value of total public investments in SLT infrastructure (excluding State-aid approved investments) can be used as control factor (source: Monitoring report on the development of the rail market https://transport.ec.europa.eu/transport-modes/rail/market/rail-market-monitoring-rmms_en).

(c) *The amounts of aid granted under block exemptions compared to those granted under notifications in other sectors (e.g. energy, environment, agriculture etc.) can be used as control factor. (source: Database of State aid cases https://competition-cases.ec.europa.eu/search?caseInstrument=SA).*

(d) *The deployment of track-side ERTMS can be used as a control factor for this indicator for an analysis at country level (source: https://transport.ec.europa.eu/transport-modes/rail/ertms/state-play_en).*

(e) *The degree of market opening measured as the market share of non-incumbent rail operators can be used as control factor for an analysis of the indicator at country level (source: Monitoring report on the development of the rail market https://transport.ec.europa.eu/transport-modes/rail/market/rail-market-monitoring-rmms_en).*

(f) *The evolution of aid amounts under schemes compared with individual ad hoc aid for all sectors can be used as control factor. (source: Database of State aid cases, https://competition-cases.ec.europa.eu/search?caseInstrument=SA).*